



Annual Report and Financial Statements

For the year ended 31 December 2012

CfC Stanbic Holdings Limited
Annual Report
For the year ended 31 December 2012

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Our vision

"We aspire to be a leading financial services organisation in Kenya".

To achieve the vision we subscribe to eight core values

Our Values:

Upholding the highest level of Integrity

Growing our people

Serving our customers

Respecting each other

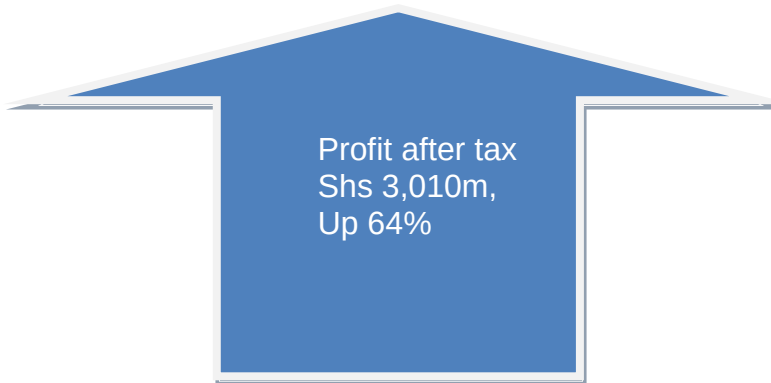
Delivering to our shareholders

Being proactive

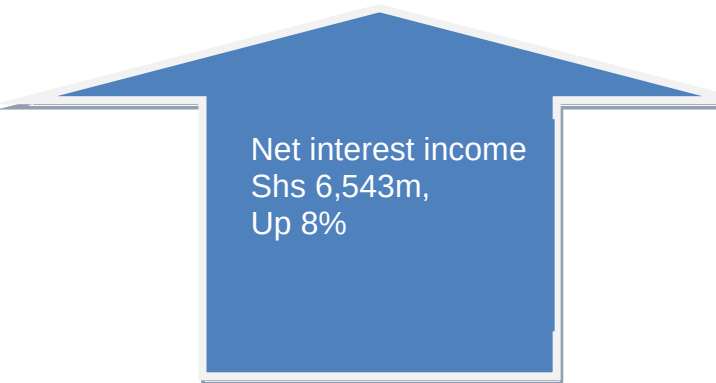
Guarding against arrogance

Working in teams

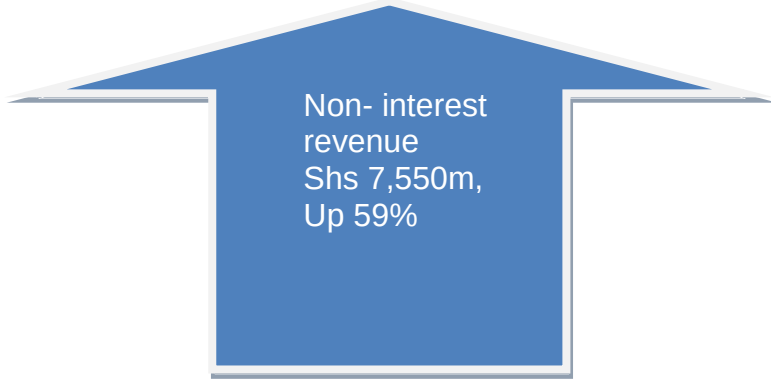
Financial Highlights



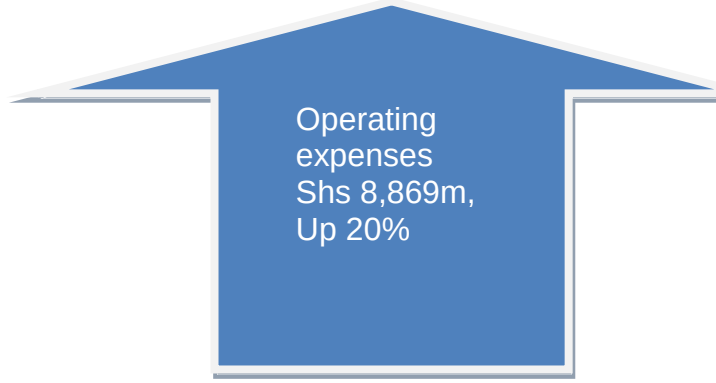
Profit after tax
Shs 3,010m,
Up 64%



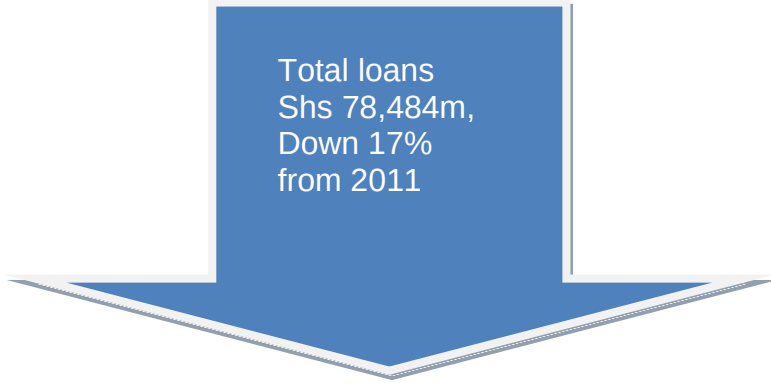
Net interest income
Shs 6,543m,
Up 8%



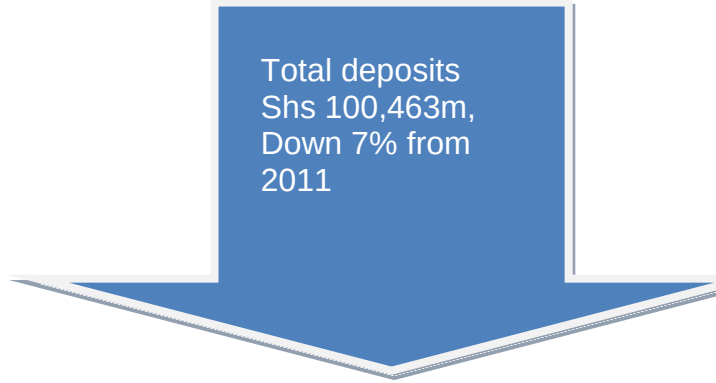
Non- interest
revenue
Shs 7,550m,
Up 59%



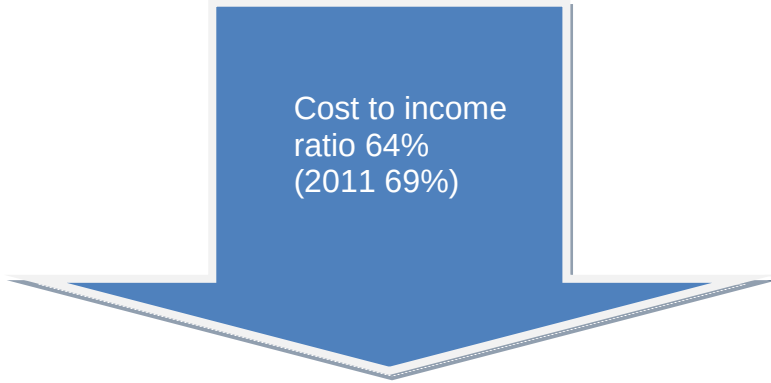
Operating
expenses
Shs 8,869m,
Up 20%



Total loans
Shs 78,484m,
Down 17%
from 2011



Total deposits
Shs 100,463m,
Down 7% from
2011



Cost to income
ratio 64%
(2011 69%)



Return on
average equity
12.73%
(2011: 9.51%)

CfC Stanbic Holdings Limited**Annual Report****For the year ended 31 December 2012****Financial Highlights – Five Year Review**

	2012	2011	2010	2009	2008
	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000
Assets					
Cash and balances with CBK	23,366,583	7,104,647	5,444,892	4,606,140	6,289,827
Government and other securities	26,021,103	25,462,779	21,998,217	29,727,224	20,194,094
Total loans and advances	78,483,828	94,884,596	75,224,630	70,922,412	65,210,086
Loans and advances to banks	12,333,987	30,627,842	16,239,669	25,081,964	20,548,781
Loans and advances to customers	66,149,841	64,256,754	58,984,961	45,840,448	44,661,305
Current income tax recoverable	158,846	158,846	158,846	166,882	351,222
Deferred income tax asset	478,395	616,128	-	11,424	280,722
Other assets	1,950,825	8,853,175	1,475,623	5,961,542	3,823,885
Intangible assets - goodwill	9,349,759	9,349,759	10,434,405	10,434,405	10,434,405
Interest in associated companies	-	-	100,111	337,675	236,770
Other intangible assets	1,034,430	1,373,214	1,726,053	2,074,927	1,610,735
Property and equipment	2,302,671	2,299,202	1,911,102	2,962,665	2,296,530
Prepaid operating lease rentals	65,715	68,669	71,622	73,654	34,023
Investment properties	-	-	-	412,000	366,500
Assets classified as held for distribution	-	-	21,534,701	-	-
Total assets	143,212,155	150,171,015	140,080,202	127,690,950	111,128,799
Equity and Liabilities					
Equity	27,240,888	19,329,127	24,768,615	20,341,602	19,247,973
Liabilities					
Total Deposits	100,463,247	107,681,320	85,694,598	82,534,005	73,071,678
Deposits from banks	25,556,484	33,674,186	14,269,483	21,059,626	11,096,605
Deposits from customers	74,906,763	74,007,134	71,425,115	61,474,379	61,975,073
Current taxation	377,033	587,723	246,827	-	257,033
Other liabilities	5,963,608	8,408,629	3,118,581	19,493,754	16,359,850
Derivative liabilities	2,469,648	6,429,260	-	16,228	55,383
Trading liabilities	-	648,671	729,153	-	-
Borrowings	6,697,731	7,086,285	7,066,362	5,256,618	2,080,161
Deferred taxation	-	-	200,443	48,743	56,721
Liabilities directly associated with assets classified as held for distribution	-	-	18,255,623	-	-
Total equity and liabilities	143,212,155	150,171,015	140,080,202	127,690,950	111,128,799

CfC Stanbic Holdings Limited**Annual Report****For the year ended 31 December 2012****Financial Highlights – Five Year Review (continued)**

	2012	2011	2010	2009	2008
	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000
Continuing operations					
Interest income	11,653,458	8,603,450	6,079,464	6,162,060	5,073,229
Interest expense	(5,110,671)	(2,561,426)	(1,922,806)	(2,341,192)	(2,004,391)
Non-interest revenue (NIR)	7,549,557	4,756,855	4,640,493	2,699,343	1,844,864
Credit impairment charges	(635,429)	(652,853)	(521,441)	(599,149)	(859,959)
Operating expenditure	(8,868,827)	(7,390,363)	(6,313,759)	(4,837,041)	(3,082,633)
Profit in associates	-	43,238	44,016	21,635	20,709
Profit before tax	4,588,088	2,798,901	2,005,967	1,105,656	991,819
Income tax	(1,578,197)	(1,159,744)	(598,324)	(479,106)	(305,824)
Profit for the year from continuing operations	3,009,891	1,639,157	1,407,643	626,550	685,995
Discontinued operations					
Profit/(loss) for the year from discontinued operations	-	199,835	379,725	(590,622)	160,598
Profit for the year	3,009,891	1,838,992	1,787,368	35,928	846,593
Selected ratios					
Return on equity %	11.05%	9.51%	7.22%	0.18%	4.16%
Return on assets %	2.10%	1.22%	1.28%	0.03%	0.66%
NIR to total income %	53.57%	35.60%	43.29%	36.92%	36.56%
Cost to income ratio %	63.93%	69.0%	74.0%	86.07%	70.11%

Corporate profile

CfC Stanbic Holdings Limited ("the Group") is a subsidiary of Stanbic Africa Holdings Limited ("SAHL"), which is in turn owned by Standard Bank Group Limited ("the Group"), Africa's leading banking and financial services group.

CfC Stanbic Holdings Limited owns 100% of CfC Stanbic Bank Limited and 100% of CfC Stanbic Financial services Limited.

CfC Stanbic Holdings Limited

Corporate and Investment Banking (CIB)

CIB offers services to larger corporates, financial institutions and international counterparties in Kenya and East Africa

Gross revenue
Kshs. 10,220m

Up 29% from 2011

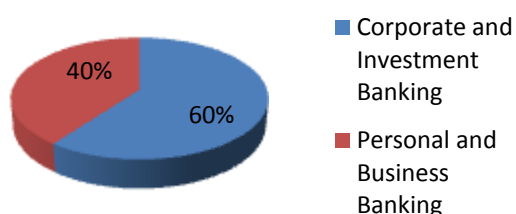
Personal and Business Banking (PBB)

PBB offers banking and other financial services to individuals and small to medium size enterprises

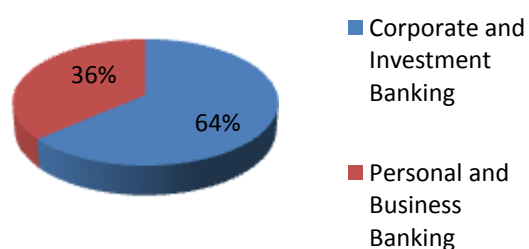
Gross revenue
Kshs. 3,872m

Up 30% from 2011

Customer loans and advances



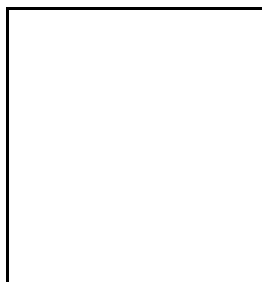
Customer deposits



CfC Stanbic Holdings Limited
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Corporate information

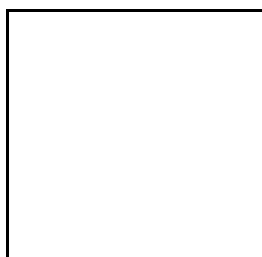
Chairman:	Fred N. Ojiambo, MBS, SC
Managing Director:	Kitili Mbathi
Managing Director of CfC Stanbic Bank Limited:	Greg R Brackenridge *
Regional Head Corporate & Investment Banking	Victor Williams*** (Appointed as a Director on 2 nd August 2012, retired 31 January 2013)
Non-Executive Directors:	J Babsa-Nzibo E W Njoroge R W Kimotho GR May** CK Muchene RT Ngobi
	* South African
	** British
	*** American
Secretary:	L N Mbindyo P.O. Box 72833 00200 Nairobi
Auditor:	PricewaterhouseCoopers PwC Tower Waiyaki Way/Chiromo Road P O Box 43963 00100 Nairobi
Registered Office:	CfC Stanbic Centre Chiromo Road P O Box 72833 00200 Nairobi
Principal Bankers:	CfC Stanbic Bank Limited Chiromo Road P O Box 30550 00100 Nairobi GPO

CfC Stanbic Holdings Limited
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Board of Directors



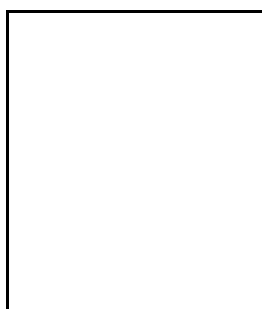
**Fred N. Ojiambo, MBS, SC
(63)**
Appointed 2010
Chairman

Mr. Fred N Ojiambo was appointed the Chairman of the Board on 21 May 2010 having previously served on the CfC Bank Limited Board as a non-executive director. Mr. Ojiambo is a lawyer and holds a Bachelor of Laws, (LLB) (Hons) Degree from the University of Nairobi and a Post Graduate Diploma in Advocacy (Council of Legal Education) from the Kenya School of Law. He has had a long career in private practice and his experience was recognised with an award of Senior Counsel in 2007. Mr. Ojiambo also sits on the boards of Bata Shoe Company Limited and Quadrant Services Limited. He is a member of the Law Society of Kenya and the International Bar Association and is also a Senior Partner at Kaplan & Stratton Advocates.



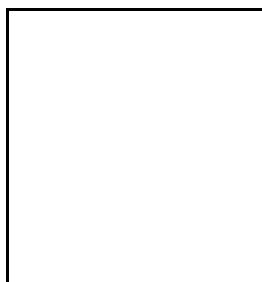
Kitili Mbathi (54)
Appointed 2008
Managing Director

Mr. Kitili Mbathi is the Managing Director of CfC Stanbic Holdings Limited, a Director of CfC Stanbic Bank Limited, CfC Stanbic Financial Services Limited, Chairman of Kenya Tourist Board and member of the University of Nairobi Council. He holds a Bachelor of Arts degree (Economics and Political Science) from University of Michigan, Ann Arbor, Michigan, USA and a Masters of Banking and Finance for Development from Instituto Finafrica - Milan, Italy. He has vast experience in banking which was acquired when serving in various banking institutions. He has also served as Investment Secretary in the Ministry of Finance and Planning – Government of Kenya.



G R Brackenridge (56)
Appointed 2010
Managing Director
CfC Stanbic Bank Ltd

Mr. Greg Brackenridge was appointed the Managing Director CfC Stanbic Bank Limited on 5th March, 2010. He first joined the Standard Bank Group (Group) in 1992 as General Manager, Corporate and Investment Banking with Stanbic Bank Zimbabwe Limited. He became Managing Director of Stanbic Bank Zimbabwe Limited in 1997 before transferring to the Head Office in Johannesburg as Chief Operating Officer in 2003. In 2004 he took over as Chief Executive, Stanbic Africa and then in 2005, he was appointed Regional Managing Director, West Africa and Managing Director of Stanbic Bank Nigeria Limited. Whilst in Nigeria he successfully completed his mandate to see the Group through the Nigerian re-capitalisation process, build a new in-country leadership team, established a fully fledged and universal bank and successfully consummated merger with IBTC Chartered Bank Plc.

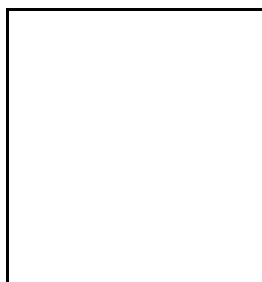


V E Williams (43)
Appointed 2nd August
2012

Mr. Victor E. Williams is the Regional Head of Corporate and Investment Banking (CIB), East Africa for Standard Bank Group. Based in Nairobi, Kenya, he heads all of Standard Bank's CIB activities in Kenya, Uganda, Tanzania, Mauritius and South Sudan. He is a director on the boards of CfC Stanbic Holdings Ltd, CfC Stanbic Bank Limited and CfC Stanbic Financial Services.

Previously, Mr. Williams worked in investment banking with Goldman Sachs and Wells Fargo Securities in the USA. He has an undergraduate degree from Brown University and an MBA degree from Harvard Business School. Mr. Williams is a native of Sierra Leone and also holds US citizenship

Board of Directors



G R May (70)
Appointed 2008
Chairman Board Audit
Committee

Mr. Gayling R. May is a Director of CfC Stanbic Holdings Limited; CfC Stanbic Bank Limited; The Heritage Insurance Company Limited and CfC Life Assurance Limited; Liberty Kenya Holdings Ltd; British American Tobacco (Kenya) Limited and is a Governor of the Kenya Private Sector Alliance. He is a Fellow of the Institute of Chartered Accountants in England and Wales and is a Member of the Institute of Certified Public Accountants of Kenya, and the Institute of Certified Public Secretaries of Kenya. He has had much business experience in Kenya and East Africa having served with PricewaterhouseCoopers as a Partner providing various audit and business advisory services and later as a Senior Partner. He is currently the Regional Representative of the Eastern Africa Association, a business information service, based in Nairobi but operating throughout East Africa.



E W Njoroge (60)
Appointed 2010

Mr. Edward W Njoroge graduated with honours in Bachelor of Science from Makerere University. He was appointed on 26 March 2003 as Director (Executive) and the Managing Director of Kenya Electricity Generating Company Limited. He started his career with Twiga Chemical Industries in 1975. He then held a senior position with Akile Associates Limited before moving to Affiliated Business Contacts (ABCON) Group in 1977. His other directorships include REAL Insurance Company Limited, Aquatech Industries Limited, Nerifa Holdings Limited, and ABCON. He is also the Chairman of the Nairobi Securities Exchange and Telkom Kenya.



Jane Babsa- Nzibo (53)
Appointed 2010

Mrs Nzibo is currently the Managing Director of Skynet Worldwide Express Limited. In 1994, she founded the company in Kenya as a locally incorporated company affiliated to Skynet Worldwide International specialising in rapid door-to-door delivery of documents and parcels worldwide. Mrs Nzibo is also the Chairperson of the Courier Industry Association of Kenya board and the vice-chairperson of the SOSSA Welfare Group. She previously worked at DHL Limited as the Regional Sales and Marketing Manager for the East Africa region. Mrs Nzibo is also a member of the Marketing Society of Kenya and brings to the Board her business and market experience.

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Board of Directors



R Kimotho (57)
Appointed 2008

Ms. Rose W Kimotho is the Executive Director of Mediamax Network Limited. She is a media owner and has a marketing and communications background. Ms. Kimotho holds a Diploma in Journalism, University of Nairobi, a Management Diploma from Columbia University Graduate School and a Marketing Certificate from the Marketing Society of Kenya.



C K Muchene (55)
Appointed 2011

Mr Charles K Muchene was appointed to the board as a non-executive director of CfC Stanbic Holdings Limited and CfC Stanbic Bank Limited in February 2011. Prior to this appointment, he was the Country Senior Partner of PricewaterhouseCoopers, leading a practice that provides auditing, tax and advisory services to major businesses in the region. For more than a decade, he has been actively involved in fora on issues affecting businesses in the region and was one of the founders, and is also a past chairman, of the East African Business Summit. He holds a Bachelor of Commerce degree from the University of Nairobi, is a Fellow of the Institute of Certified Public Accountants of Kenya, a Member of the Institute of Certified Public Secretaries of Kenya and a member of the Institute of Directors. Mr Muchene also serves on the board of East African Breweries Limited in addition to a number of other private companies.



R T Ngobi (52)
Appointed 2011

Ms. Ruth T Ngobi is a lawyer of over twenty-six years standing, having been admitted as an Advocate of the High Court of Kenya in 1985. She holds a bachelors degree in law from University of Kent in Canterbury and a Master of Laws degree from University of Cambridge, both in the United Kingdom.

She worked with Unilever Kenya Ltd for 15 years as Legal Counsel and Company Secretary before joining British American Tobacco Kenya Ltd in 2002 as Area Legal Counsel. Ms. Ngobi is the Founder of Cosec Solutions Ltd a company that provides company secretarial services and corporate governance solutions. Ms Ngobi is also a Board member of the Public Procurement Oversight Authority.



Ms L N Mbindyo
(Company Secretary)

Ms. Lillian N Mbindyo holds a Bachelor of Laws and a Master of Laws from University of Warwick, as well as a Master of Business Administration from Warwick Business School. Ms. Mbindyo is an advocate of the High Court of Kenya and a Certified Public Secretary. Prior to joining CfC Stanbic Bank, she worked as the Head of Compliance and Legal at the Nairobi Securities Exchange and thereafter as the Head of Legal and Compliance at CfC Stanbic Financial Services Ltd. Ms. Mbindyo has over ten years work experience and currently serves as the Company Secretary of CfC Stanbic Holdings Ltd and CfC Stanbic Bank Limited.

CfC Stanbic Holdings Limited
Annual Report
For the year ended 31 December 2012
Notice of Annual General Meeting

Notice is hereby given that the Fifty-Eighth Annual General Meeting of the Members of CfC Stanbic Holdings Limited will be held on Friday, 24 May 2013, at the National Museum, Louis Leakey hall, at 11.00am to transact the following business:

1. The Secretary to read the notice convening the meeting and confirm the presence of a quorum.
2. To receive and consider the Audited Financial Statements for the year ended 31 December 2012 and the Directors' and Auditor's Report thereon.
3. To consider and approve a dividend of KShs 0.73 per share of which an amount of KShs 0.73 per share was paid as an interim dividend to shareholders on 30 October 2012.
4. To elect Directors:
 - i) In accordance with Article 110 of the Company's Articles of Association, Mr Fred Ncruba Ojiambo retires by rotation and, being eligible, offers himself for re-election.
 - ii) In accordance with Article 110 of the Company's Articles of Association, Ms. Rose Wairimu Kimotho retires by rotation and, being eligible, offers herself for re-election.
 - iii) In accordance with Article 110 of the Company's Articles of Association, Mr Gayling Richard May, a director who is 70 years of age retires by rotation. Special Notice has been received by the Company pursuant to Section 142 of the Companies Act (Chapter 486, Laws of Kenya) of the intention to propose the following resolution, in accordance with Section 186(5) of the said Act, to be considered and if thought fit, passed by the Members:

"That Mr Gayling Richard May, a Director who is 70 years of age be and is hereby re-elected to serve as a Director of the Company until he next comes up for retirement by rotation under the Company's Articles of Association."
 - iv) In accordance with Article 109 of the Company's Articles of Association, Mr Peter Nderitu Gethi, a director appointed to fill a casual vacancy retires at the dissolution of the meeting and being eligible, offers himself for re-election.
5. To approve the Directors' remuneration for the year ended 31 December 2012 as provided in the Financial Statements.
6. To note that Messrs PricewaterhouseCoopers have indicated their willingness to continue in office as the auditors under Section 159(2) of the Companies Act and to authorise the Directors to fix their remuneration.
7. Any other business for which due notice has been given.

BY ORDER OF THE BOARD

Lillian Mbindyo
Company Secretary
Date: 1 March 2013

NOTE:

1. *In accordance with section 136(2) of the Companies Act, every member entitled to attend and vote at the above meeting and any adjournment thereof is entitled to appoint a proxy to attend and vote on his/her behalf. A proxy need not be a Member of the Company. A proxy form can be downloaded from the Company's website, www.cfcstanbicbank.co.ke, or from the Registered Office of the Company at CfC Stanbic Centre, Chiromo Road, Westlands, Nairobi.*
2. *Completed proxy forms should be returned to the Company Secretary by delivery to the Registered Office or by post to P.O. Box 72833-00200 Nairobi, to arrive not later than 48 hours before the meeting.*
3. *In accordance with Article 165 of the Company's Articles of Association, a copy of the Annual Report may be obtained from the website stated above or from the Company Secretary at the Registered Office.*
4. *Shareholders wishing to receive a proxy form and/or a copy of the Annual Report by e-mail may send a request, quoting their full name and account number, to registrar@stanbic.com*

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“It has been 101 years since we opened our first two branches in Kenyatta Avenue Nairobi, and Nkrumah road in Mombasa. As an organisation we have grown to be the largest banking group in Africa and we are proud to be rooted in Kenya and for being part of the economic and social development of Kenya.”

I am pleased to present to you the Annual report of CfC Stanbic Holdings Limited (the Bank) for the year ended 31 December 2012. The Board set out to improve shareholder value by delivering higher profitability through business growth and cost and operational efficiency. I am pleased to report to you that we have had a very positive year.

Operating environment

After a challenging start in 2012, the Kenya economy began a gradual return to stability towards the second half of the year. The tight Central Bank monetary policy stance in the first half of the year effectively brought inflation under control and stabilised the exchange rate. This however had an adverse impact on economic growth which reduced to 3.4 % from 4.4% in 2011.

In the banking sector, the Central Bank monetary policy stance resulted in the highest lending rates charged by commercial banks we have seen in recent times. This in turn depressed demand for credit especially for business borrowers who preferred to postpone the investments decisions due to the increased cost of borrowing.

On a positive note, the steep hike in the Central Bank policy rate created demand for Kenya Shilling denominated assets which led to short term foreign investor inflows which in turn helped to stabilise the Kenya shilling.

Group Strategy

In our communications with shareholders, we have set out several medium term goals as we aspire to deliver even higher shareholder value.

I am pleased to report that we have made significant progress on these.

❑ **Cost discipline** – *The target Cost to Income Ratio (CIR) is 55% or below.* Our cost to income ratio is currently at 64% (2011- 69%) including the results of investing in the South Sudan branch. The improvement is as a result of cost discipline and reaping from the Group's investments in the years following the merger.

❑ **Return on Equity (ROE) performance (target of 20% or higher).** The Groups ROE stood at 21% excluding goodwill. There was however injection of new capital from the holding company CfC Stanbic Holdings Limited which presents an opportunity to expand the business and provide similar returns over the medium term.

❑ **Non Interest Revenue (NIR) as a proportion of total income (target of at least 50% share of NIR of total income).** The Group has surpassed this target by 3 percentage points following strong performance by our Global Market franchise.

❑ **Improved customer liabilities funding mix (target – to increase share of core accounts – transactional, current and savings accounts – as a percentage of total deposits).** The Group improved its savings account product offering and we have seen the volume of this product grow by over three times compared to the balances held at the end of 2011. Current accounts have also grown by 23% and core accounts now form 70% of our total deposits compared to 53% in 2011.

□ ***Increase the contribution of the Personal and Business Banking (PBB) business' contribution to profit after tax and balance sheet*** – PBB revenues increased by 31% compared to prior year and its share of balance sheet is 25%. We are confident that the investment and operational changes we have made in this business will help PBB turn a profit in the foreseeable future.

In driving the business to deliver the medium term goals set out above, we will focus on the following areas:

□ Leveraging existing strengths in our Corporate Investment Banking franchise and 'push down' these to Commercial Banking, Small and Medium-size Enterprises and traders who are part of our business banking offering in PBB.

□ Being the Bank of choice for the employees of the businesses we bank through workplace banking offering.

□ Providing financial services solutions to Private banking and High Net-worth Individuals, owners and senior executives of the businesses we bank.

I am confident that we are adequately resourced to deliver on the Group's strategy.

Expansion to South Sudan

In April 2012, the bank opened its first branch in Juba, South Sudan. The performance of this branch has exceeded our expectations and the branch broke even in the first eight months of operation. I wish to thank the Government of South Sudan and the people in South Sudan for their support in achieving these results. We believe that there are still plenty of growth opportunities in South Sudan and we are positioning ourselves to expand our branch footprint accordingly.

150 years celebration

In 2012, the Standard Bank Group celebrated 150 years since being incorporated in South Africa. It is also 101 years since we opened our first two branches in Kenyatta Avenue Nairobi, and Nkrumah road in Mombasa. As an organisation we have grown to be the largest banking group in Africa and we are proud to be rooted in Kenya and for being part of the economic and social development of Kenya.

To celebrate this landmark, all bank staff contributed 150 minutes in community development activities in the year. As the country celebrates 50 years since independence we remain committed to supporting the growth of the Kenyan economy through provision of relevant financial services to all Kenyans.

Corporate governance

The Bank continues to embrace and implement global best practice in the governance and management of the business. As a result, we are confident that the business is managed prudently and is in compliance with all regulatory obligations. A corporate governance report is included on pages 21 to 23.

Directorate

The changes to the Board of Directors are highlighted in the corporate governance statement and the Directors' report.

Outlook for 2013

It is estimated that the Kenyan economy will grow by 5% in the coming year. The growth will be supported by a pick-up in credit demand amidst a stable macro-economic environment. Beyond this, we expect that domestic investment should increase as political risk diminishes and a projected improvement in the global economy should boost exports.

In the banking sector, the transition to the new prudential guidelines issued by the Central Bank of Kenya which are effective 1 January 2013 may impact both access to and cost of banking services.

We will stay committed to our strategy as we are convinced it will not only ensure we remain a relevant banking services provider of value to our customers but it will also increase shareholder value.

Whilst risks and uncertainty remain, we believe we are well positioned for another good year in 2013.

Appreciation

As always, it is important to recognise the team effort it takes to deliver strong performance and I wish to take this opportunity to express my sincere appreciation and gratitude to the Board, Management and staff for their tireless dedication during the year. I thank our customers for their steadfast support and patronage. We shall endeavour to continuously improve and broaden our offerings to fulfil the banking needs of our customers.

Finally, I would like to thank the government and regulatory bodies for their mutual trust, guidance and support.

Fred Ojiambo, MBS, SC
1 March 2013

Fiscal austerity begets recession in developed countries

2012 was remarkable for the extraordinary measures that central banks in some of the major developed economies continued to take to shore up financial markets. What was clear was that while some countries continued to enjoy a measure of revival in economic activity, economic growth in the Eurozone, Japan, the United Kingdom and the United States of America was not assured.

Indeed, as the year progressed financial markets began to fret over the possibility of a global recession recurring. Worries were not focussed on only the four major economies, but also on China. It became clear that the Chinese economy would slow, dampening demand for commodities.

Consequently, towards the middle of the year there was a synchronised sell-off of risky assets. Emerging market currencies, commodities, equities, all sold off. As often happens in these situations, investors sought the safety of US Treasuries, amongst other assets. As a result the 10-y US Treasury yield fell to a multi-year low of just below 1.4% in July from around 2.0% at the beginning of the year. The US Dollar also strengthened against various currencies, with EUR/USD falling below 1.2050 in July from over 1.2900 at the beginning of the year.

To combat this, central banks in the major economies redoubled their easing efforts. The Federal Reserve in the US increased its bond purchases, later resorting to unlimited purchases of mortgage backed securities and Treasuries. The European Central Bank committed itself to buying bonds of troubled Eurozone countries, helping to cap government bond yields of those countries, which had been rising to unsustainable levels.

A crucial aspect of the ECB's promise, indeed, a notable aspect of the European response to the region's bond crisis, is the insistence that countries seeking aid must be committed to implementing fiscal austerity measures. But over the course of 2012 it became abundantly clear that exercising fiscal restraint in an

environment with depressed general economic activity worsens the economic malaise. And so it has turned out that both the United Kingdom and the Eurozone were confirmed to have relapsed into recession.

It is far from clear that the European crisis is over. Fiscal austerity in a depressed economy worsens the economic malaise, depressing tax revenue collection too. The danger is that a destabilising spiral of fiscal austerity, leading to recession, resulting in persistent deficits that call for ever more austerity, could become set.

The US is the one major economy where an economic recovery seems to be strengthening. So much so that even the housing market, which has been persistently weak for more than four years, appears to be perking up. The general consensus is that a revitalised housing market will be required if the US economic recovery is to be self-sustaining.

Yet even there the threat of fiscal austerity threatens not only to undermine market confidence, but also scupper the economic recovery. As part of a political deal to increase the country's debt limit in 2011, Congress and the President agreed to a package of automatic tax increases and spending cuts beginning on 1 January 2013 if they could not agree to long term measures to reduce deficits and bring the debt to a sustainable path.

2012 having been an election year, no serious effort was made to negotiate those long term measures. Only after the elections in November was there a scramble to avoid this politically self-imposed austerity from being implemented. Even the Chairman of the Federal Reserve and the Congressional Budget Office have indicated that if this austerity is implemented the US economy will relapse into a recession.

While a last minute deal was worked out, limiting tax increases to only the wealthy while making tax cuts on low incomes permanent, an even worse stand-off in early 2013 is likely to prove destabilising to the markets. Congress and the administration need to negotiate another increase in the debt limit.

Falling inflation and depressed economic growth characterise 2012

Naturally, against such an unfavourable global backdrop, economic activity in Kenya was also subdued. Most notably, exports have been subdued, reflecting the economic strains in Europe. Tourist arrivals have actually been falling for most of the year.

While the economic hardships in Europe no doubt contributed to the slowdown in tourist arrivals, security concerns were also a factor.

Numerous terrorist bombings, abduction of foreign nationals and outbreak of violence in parts of the country prompted several foreign governments to issue travel advisories discouraging their citizens from visiting certain areas of the country.

But the most pervasive factor dampening economic activity was the tight monetary policy stance adopted by the Central Bank of Kenya. Having increased the Central Bank Rate to 18.0% and the overnight discount rate to 24.0% in December 2011, the CBK kept the rates at these levels until July.

As could be expected, credit lending fell dramatically. Having grown at an average of 29.6% y/y in 2011 commercial bank's lending to the private sector fell to an average growth rate of 19.2% y/y in the 9 months to September, actually recording just 7.7% y/y in September.

Overall economic growth was also subdued over the course of the year. GDP growth averaged 4.4% y/y in 2011. But it fell to an average of about 3.8% y/y in the first nine months of 2012. Even a closer examination of the Q3:12 data, when growth registered 4.7% y/y, does not indicate any palpable resurgence in economic activity. Most of the uptick in Q3:12 growth, from an average of about 3.5% y/y in H1:12, is attributable to a pick-up in the agricultural sector, no doubt a recovery from the drought.

An attendant consequence of the tight monetary policy stance and subdued economic activity has been a dramatic decline in inflation. Peaking at 19.7% y/y in November 2011, headline inflation reached 3.2% y/y in December 2012, the magnitude of the decline far exceeding most forecasts.

Partly in response to this subsidence in inflation, the CBK began to ease the monetary policy stance in July. By December 2012, the CBK had reduced the CBR by 700 bps to 11.0% and the discount rate to 17.0%.

Market interest rates declined even more dramatically over the course of the year, albeit not linearly. The 91-day Treasury bill yield fell as low as 7.5% in September, but ending the year at 8.1%, from over 20.0% at the beginning of the year. Overnight inter-bank rates fell as low as 5.2% in December, ending the year at 5.6%, from over 25.0% at the beginning of the year.

Economic resurgence and greater market stability likely in 2013

2013 could be the year in which economic resurgence resumes. Of course, there are still the elections in March to get over, but a post-election revival in economic growth appears most likely. Certainly, the CBK will be looking to engender as much stability in the markets as possible, while the main thrust of policy will be to boost economic activity.

Perhaps the most challenging period will be the run-up to the elections in March. There might be some volatility in interest rates, possibly with Treasury bill yields rising above 10.0% again. But given a fairly subdued outlook for inflation over the course of the year, such an increase in rates is unlikely to be the commencement of an increasing trend in rates, but will probably be reversed later. Treasury bill yields are likely to be mostly in single digits during the year.

The combination of a still weak economy and CBK intervention will probably also ensure that the exchange rate remains fairly range bound. For most of 2011 USD/KES traded between 83.0 and 85.50. In January and May the rate spiked to about 88.0, and on both occasions reversed course promptly after the CBK sold foreign exchange into the market.

This ability of the central bank to calm the market thus has been brought about by a more conducive trade balance. Indications are that this state of affairs will persist for most of 2013 as well. Thus, the exchange rate will likely be fairly stable over the course of 2013 as well.

The Group commenced the year operating in a market characterised by tight liquidity, high interest rates and compressed margins in local currency amidst a recovering global economy.

Against this background, the Group delivered excellent results from a diversified business driven by the tactical positioning of the balance sheet in anticipation of sharp movement in interest rates, positive results from the South Sudan operations and prudent cost management.

This year's financial performance demonstrates successes in various areas namely:

- Sustained strong performance in the Global markets business;
- Positive returns from expansion of operations into South Sudan, and
- Increase in revenues from the transactional products and services segment.

Profitability

Profit before tax grew by 64 percent to Kshs 4,588 million, an increase of Kshs 1,789 million from the results of the year ended 31 December 2011. Profit after tax increased by 64 percent from Kshs 1,838 million in 2011 to Kshs 3,009 million in 2012. This resulted in an increase in earnings per share to Kshs 9.90 per share from Kshs 6.44 per share in 2011.

Return on equity

The return on equity increased to 12.61 percent in 2012 an increase of 3.1 percent compared to last year computed on the basis of year-end weighted average capital balances following the fresh injection of capital in November 2012.

Economic factors affecting the results

Inflation

The year-end inflation rate stood at 3% compared to 18% in 2011. The decline in the rate occurred from the second half of 2012 as the tight Central Bank monetary stance bore fruit.

Central Bank rate

The Central Bank Monetary Policy Committee has progressively decreased the CBR rate to 11 percent compared to 18 percent at the end of 2011. The Bank's cost of funding decreased in tandem from the second half of 2012.

Interest rates

There was a downward adjustment in interest rates. Short term rates decreased amid declining inflation. The declining interest rates environment had a significant impact on the value of financial instruments held at fair value.

Key financial highlights

Performance Indicators	2012	2011
Total income growth	32%	25%
Credit impairment charges growth	-3%	25%
Profit before tax growth	64%	49%
Gross loans and advances growth	3%	9%
Deposit growth	2%	5%
Capital adequacy (tier 1 ratio)	23%	12%
Return on average equity (post tax)	11%	21%
Earnings per share (Kshs)	9.90	6.44

Net interest income and non-interest revenue increased by Kshs 501 million and Kshs 2,793 million respectively. In the current year, non-interest income accounted for 56 percent of total operating income as compared to 47 percent in 2011.

This increase was mainly driven by gains in the money market trading desk as a result of falling interest rates and increased corporate sales volumes. Operating costs grew by Kshs 1,478 million, a 20 percent increase from the previous year. The cost to income ratio reduced to 65.9 percent from 69 percent in 2011.

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Net interest income

	2012 Kshs 000	2011 Kshs 000	Change
Interest income	11,653,458	8,603,450	35%
Interest expense	(5,110,671)	(2,561,426)	100%
Net interest Income	6,542,787	6,042,024	8%

The growth in net interest income was mainly driven by revision of the Bank's base rate while interest expense was mainly driven by the tight liquidity conditions in the local currency market which drove up the interest rate earned by depositors especially in the first half of 2012.

Net fees and commission income

Net fees and commission income increased from 2,095 million in 2011 to Kshs 2,543 million. This was mainly attributable to transactional volumes from a growing customer base and successful uptake of our new electronic banking platform "New Business Online". Revenues earned from cash management in South Sudan and growth of the trade business also contributed to increased fees.

Trading revenue

Income from trading in foreign exchange and debt securities increased by Kshs 2,460 million. This increase was mainly driven by gains in the money market trading desk as a result of falling interest rates and increased corporate sales volumes.

Other income

Other income decreased by Kshs 262m compared to prior year. Other income in 2011 included profit on sale of an associate company, Stanbic Investment Management Services Limited of Kshs 109 million. The Group held a 24% shareholding.

Impairment losses

	2012 KShs'000	2011 KShs'000
Impairment charge for non-performing loans	1,387,522	824,148
Impairment charge for performing loans	120,106	478,247
Recoveries during the period	(872,199)	(650,018)
Other movements	-	476
Net impairment charge on loans and advances	635,429	652,853

Increase in provisions was mainly due to specific provisioning for exposures that materialised in the year.

Recoveries improved significantly due to large one off collections as well as a more focused approach on follow up of past due accounts.

Operating expenses

	2012 KShs'000	2011 KShs'000	Change
Staff Costs	3,543,387	2,947,416	20%
Operating Expenses	5,325,440	4,442,947	20%
Total Expenses	8,868,827	7,390,363	20%

Operating expenses include costs for expansion of points of representation including setting up operation in South Sudan, automation and upgrade of our Information Technology infrastructure and attracting and retaining quality people.

Other operating costs increased to Kshs 5,325 million compared to Kshs 4,442 million in 2011. The increase is due to costs incurred for incremental travel expenses and costs incurred in setting up and running operations in South Sudan.

Employee compensation and related costs increased by Kshs 595 million from Kshs 2,947 million in 2011. This was mainly due to South Sudan operations, annual salary reviews, coupled with an increase in staff head count to support the Group's growth strategy.

Statement of financial position

During the year under review, the Group's total assets declined by 5 percent to Kshs 143,212 million as at close of 2012. This was largely driven by a decrease in amount placed with other banks by Kshs 18,293 million.

Customer loans posted modest growth owing to high interest rates that saw reduced credit appetite in the market.

Customer deposits increased to Kshs 74,906 million from Kshs 74,007 million. This increase was mainly due to growth in the number of customers and the Group's deliberate efforts to reduce reliance on wholesale funds in light of the new capital injection.

Shareholders' equity grew to Kshs 27,240 million from Kshs 19,329 million in 2011, a growth of 41 percent. This was mainly driven by proceeds from the rights issue of Kshs 3,881. Shareholders equity includes a reserve for unrealised gains/losses on available for sale government securities which increased from a Kshs 915 million loss at 31 December 2011 to Kshs 143 million gain at 31 December 2012 due to market conditions.

Capital adequacy

At 31 December 2012, the Bank's total capital ratio was 32.05 percent (2011: 19.04 percent) of risk-weighted assets, with core capital at 23.01 percent (2011: 12.59 percent). The capital adequacy ratios at 31 December 2012 remain above the stipulated regulatory minimum of 12 percent and 8 percent respectively.

Part of the earnings for the year will be reinvested in the business to enable it to grow its asset base.

The processor has offered a lifeline for farmers in landlocked/poor infrastructure highly productive area whose produce would otherwise go to waste

Kinangop Dairy Limited (KDL) is a milk processing plant located in Nyandarua County in Central Kenya 130 kms from Nairobi city. It started processing with a rented space and equipment in 2008 eventually moving to own site in August 2010 with an installed capacity of 50,000 litres per shift. KDL products include pasteurised milk, yoghurt, cream and ghee under the brand name "JAMAA".

KDL has grown from turnovers of Kes.111M in 2008 to Kes.804M currently.

Financing

CfC Stanbic Holdings Limited supported KDL through a Kes.120 million facility for acquisition

of a milk processing plant. The plant has provided for value addition to milk which would otherwise go to waste in a region dependant on weather based dairy enterprises. The plant has also created employment along the dairy value chain right from production, collection, bulking, processing to marketing and distribution of the processed products.

Market

Nairobi city offers a market for KDL's milk products among both the high end superstores and in small retail outlets.

The Group is one of the beneficiaries of the high quality "JAMAA" milk products.

Triumph Power and Gulf Power

In 2012, CfC Stanbic Holdings closed on two important power project financings for Kenya: the USD 147 million Triumph Power Generation Limited and EUR 84 million Gulf Power Limited transactions. These power plants, which will come on line in the next year, will add megawatts to the national grid and decrease Kenya's reliance on expensive diesel fuel, a benefit to all consumers and businesses on Kenya's grid.

CfC Stanbic acted as co-arranger on both transactions, and provided financial structuring services, term facilities, transactional banking, and hedging to the projects. On Triumph Power, CfC Stanbic worked with Chinese commercial bank ICBC; on Gulf Power, CfC Stanbic worked with international development finance institutions. These transactions showcase CfC Stanbic's undisputed market leadership in structuring complex multicurrency financial transactions in the power sector involving lenders. Also key to success was our intimate knowledge of the Kenyan power markets and regulatory framework, along with an ability to work with the World Bank to develop the credit support structure that underpinned the transactions.

CfC Stanbic is especially proud to have supported local developers on these projects, which highlight our efforts to bring global expertise and relationships to the local market.

Kwale International Sugar Company Limited

Kwale International Sugar Company Limited ("Kiscol") is a Kenyan Company that was established in 2007 to develop a 5,000 hectare sugar plantation, 3,000 tons crushed sugar per day mill, an ethanol production facility, and a power plant fuelled by waste sugar cane. With the help of CfC Stanbic Holdings limited the project reached financial close in 2012, with a total cost of USD 200 million.

Kenya has suffered from a significant shortage of locally grown sugar and Kiscol, in line with its vision, is assisting in curing this deficit by introducing modern factory technology, creating employment and harnessing new sources of renewable energy (ethanol and electricity through bagasse) to the benefit of the Kenyan economy. CfC Stanbic Holdings was a joint mandated lead arranger on Kiscol, providing financial structuring services, term loans, transactional banking and hedging products to the project. The Group also leveraged the relationship with its affiliate, the Standard Bank of Mauritius, to bring in Mauritian banks to a Kenyan project financing for the first time. CfC Stanbic is pleased to have brought this project – which is notable for its size, complexity, and positive impact on the country – to financial close.

We are proud to be the only Group currently offering a fully-staffed, locally-based project finance team in Kenya, capable of structuring, financing and syndicating large Kenyan transactions to the local and international financial markets.

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Standard Bank Group Limited: an overview

The Standard Bank Group understands that good corporate governance is fundamental to earning the trust of our stakeholders, itself critical to sustaining the organisation's success while preserving shareholder value. In line with this philosophy, the Board is committed to adopt sound governance practices.

The Standard Bank Group's governance framework enables the Board to fulfil its role of providing oversight and strategic counsel in consonance with responsibility while ensuring conformity with regulatory requirements and acceptable risk tolerance parameters. CfC Stanbic Holdings Limited, as a member of the Standard Bank Group is guided by these principles in its governance framework.

CfC Stanbic Group: an overview

The CfC Stanbic Group operates in a highly regulated industry and is committed to complying with legislation, regulation and Codes of Best Practice while seeking to maintain the highest standards of governance, including transparency and accountability.

Whilst the Group continues to nurture a strong culture of governance and responsible risk management in line with the Standard Bank Group's risk appetite and governance framework, the Group is constantly monitoring its practices to ensure that they are the best fit for the Group and serve to enhance business and community objectives.

Codes and regulations

The Group complies with all applicable legislation, regulations, standards and codes, with the Board continually monitoring regulatory compliance.

Shareholders' responsibilities

The shareholders' role is to appoint the Board of Directors and the external auditor. This role is extended to holding the Board accountable and responsible for efficient and effective corporate governance.

Board of Directors

The Group is led by independent members of the Board who, by their skills and diversity, contribute to the efficient running of the Group.

The Board is responsible for the overall corporate governance of the Group, ensuring that appropriate controls, systems and practices are in place.

Board composition and evaluation

There are ten directors on the Board, three of whom are executive and seven are non-executive.

The Group's Board of Directors remains steadfast in implementing governance practices where substance prevails over form. This provides direction for subsidiary entities, which structure their respective governance frameworks according to Group standards.

The governance framework allows the Board of Directors to consider conformance and performance, enabling them to balance their responsibility for oversight with their role as strategic counsel.

The Board has the right balance between independent, non-executive and executive directors of diverse skills, expertise, competencies and experience to effectively guide the Group and ensure that the objective of shareholder value maximisation is achieved.

All the Group's subsidiary entities have boards of directors. The directors of these boards independently manage the affairs of the entities. A number of committees have been established that assist the various boards in fulfilling stated objectives. The committees' roles and responsibilities are set out in terms of agreed mandates, which are reviewed annually to ensure they remain relevant.

Strategy

The Board considers and approves the Group's strategy at an annual meeting with executive management. Through quarterly management reporting, the Board monitors performance against financial objectives and detailed budgets.

Directors' appointment, induction and training

Since the last Annual General Meeting, the Board, on 2 August 2012, appointed one executive Director, Mr. Victor Williams to the Company's Board of Directors. Further, Mr. Jeremiah G Kiereini retired as a member of the Board during the 2012 Annual General Meeting.

In the Articles of Association, the appointments are only effective until the next Annual General Meeting, at which time the shareholders will be asked to approve the appointments. The appointments comply with the requirements of the Companies Act and the Capital Markets Act of the Republic of Kenya and the regulations of the Reserve Bank of the Republic of South Africa.

On appointment, an induction programme designed to meet the needs of each new director is implemented. The Company Secretary manages the induction programme. The Bank's Code of Ethics is provided to new directors on their appointment.

Save for the Directors who retired at the last Annual General Meeting, as mentioned above, no Directors have retired or resigned from the Board.

Directors are advised of new laws and regulations and changing risks to the organisation on an ongoing basis.

Going concern

The Board has reviewed the facts and assumptions, on which it relied and, based on these, will continue to view the Group as a going concern for the foreseeable future.

Remuneration

CfC Stanbic Holdings Limited has a clear policy on remuneration of executive and non-executive directors at levels that are fair and reasonable in a competitive market for the skills, knowledge, experience required, nature and size of the Board.

The amounts paid to directors are included in note 37 which represents the total remuneration paid to executive and non-executive directors for the year under review.

Social responsibility

As a Kenyan business, the Group understands the challenges and benefits of doing business in Kenya, and owes its existence to the people and societies within which it operates. The Group is committed therefore not only to the promotion of the economic development but also to the strengthening of civil society and human well-being.

The Group concentrates its social investment expenditure in defined focus areas in order to make the greatest impact. These areas of focus are subject to annual revision as the country's socio-economic needs change.

Board meetings

The Board meets at least once every quarter. Additional meetings are held whenever deemed necessary. Directors are provided with comprehensive board documentation at least seven days prior to each of the scheduled meetings.

Attendance at board meetings during the year under review is set out in the following table:

CfC Stanbic Holdings Limited – Directors' Attendance, 2012

NAME	MAR 23	MAY 23	AUG 22	NOV 21
FN Ojiambo, MBS, SC	P	P	P	P
GR Brackenridge	P	P	P	P
K Mbathi	P	P	P	P
V Williams	N/A	N/A	P	P
EW Njoroge	P	P	P	P
JB Nzibo	P	P	P	P
GR May	P	P	P	P
RN Kimotho	P	P	P	P
RT Ngobi	P	P	P	P
CK Muchene	P	P	P	P
JG Kiereini	P	AP	N/A	N/A

P = Present; AP = Absent with apology; N/A = Was not a Director

Board Committees

The Group is headed by a Board of Directors, which has ultimate responsibility for the management and strategic guidance and assumes the primary responsibility of fostering the sustainability of the Group's business. The Board has the overall responsibility for the establishment and oversight of the Group's risk management framework.

The Board monitors the agreed financial and corporate governance objectives for the following year. The performance against financial and corporate governance objectives is monitored by the Board through management's quarterly reporting. The implementation of the Group's strategic objectives is done at the individual subsidiary companies, through various established Board and Management committees.

The Board Audit Committee meets at least twice a year in accordance with the half-yearly financial reporting period adopted by the Group.

The members attended the meetings as shown herebelow;

Directors' BAC attendance, 2012

NAME	FEB 29	AUG 10
G R May (Chairman)	P	P
GR Brackenridge	P	P
K Mbathi	P	P
J B Nzibo	P	P
C K Muchene	P	P

P = Present; AP = Absent with apology

Financial Literacy: Personal finance forums and 'You and Your Money' Financial Magazine

While most Kenyans can boast of having received a good education, financial literacy is quite low and it remains a challenge for many, thus making Financial Literacy an area that is sought after at both a personal and business level.

Most Kenyans have more than one source of income. This is mainly driven by the desire to want a better life for themselves and their families as well as the responsibilities that come with being a member of a larger family unit. With the varied sources of income, one has access to higher levels of disposable income. The challenge then becomes how to best manage the income(s). Money management skills is still an area that is lacking for many.

CfC Stanbic Holdings sees financial literacy as one of the unique ways of engaging the Kenyan market through relevant financial literacy engagement programs. These have been done through our own in house programs such as:

Publications: *You and Your Money* (highlighting personal finance matters); and *You and Your Money Biashara Edition* (targeting business owners).

In addition to the publications, we have taken Financial Literacy further by offering value add services to the organisations we bank and by engaging with their employees through a series of scheduled personal finance training programs.

Biz Aids Training Program:

Another aspect of the financial literacy program is delivered through the BizAids in collaboration with the Pan African Business Coalition. The programmes have been carried out in areas where we have representation such as Nairobi, Kisumu, Eldoret, Nakuru and Mombasa.

The program is aimed at Small and Medium Enterprises (SMEs) and it provides the attendees, who are our customers, with training in the area of business and health. The program

tackles various facets of business management including basic finance and record keeping, while the health training covers matters related to HIV and Aids, Malaria and Tuberculosis and how to deal with the disease(s) if they impact the business owner or their staff, and as a result the business.

Investing in Communities and Employee Involvement

CfC Stanbic Holdings understands the role it plays in the community and ensures that its programs not only impact the society from a business perspective but also from a social involvement aspect. The staff members are involved in the communities we operate in and at the forefront of getting involved in working with other organisations that are aimed at uplifting the economic and social status of the communities around us. We see ourselves as catalysts of positive change within the wider community and seek ways to play our part to support various causes.

We work on three key pillars as far as social upliftment, engagement and involvement is concerned. These are: Community Health and Wellness, Education and Entrepreneurship/Enterprise development.

The financial literacy and BizAids programs are not only business driven but also support our social upliftment programs from an education and entrepreneurship development point of view.

Supporting education is one of the key pillars of our Corporate Social Investment initiatives. We ensure that we not only support the selected students through their education, but we also get employees of CfC Stanbic Holdings to interact with the beneficiaries through various mentoring programs. Through the various programmes, we seek to provide the beneficiaries with a holistic education and impart them with the right skills, values and mindset aimed at making them responsible and accountable citizens of the society and country. Our grass-roots focused corporate social investments seek to connect us with the community while raising our brand and profile within our target markets.

Corporate Social Investments Highlights

Mater 2012 Heart Run

The Annual Mater Heart Run is an event that seeks to raise funds for surgical operations for children with heart conditions. It is an event that we have participated in and the Group has supported it over the years by sponsoring our staff members to participate in the run.

Palmhouse Foundation Sponsorship and Mentorship Programme

CfC Stanbic Holdings got involved in this sponsorship four years ago with a commitment to sponsor 4 students through their four years of secondary school education.

The Group has continued with this commitment and currently sponsors 16 students. The Palm House Foundation runs a mentorship programme every school holiday that provides Group employees with an opportunity to mentor the students on the program.

SOS Villages sponsorship- House Number 13 and 2 Sponsorship

CfC Stanbic Holdings has continued to support SOS Villages through the sponsorship of house no. 13 for quite a number of years. In 2011, the Group took up a second house, no. 2. In 2012, the Group renewed its sponsorship of the two houses. The sponsorship caters for the

education and upkeep of 20 children (10 in each house) of different ages for a year.

For the 2nd year running, the Group also organised a fun day for all the children at the home. The Group employees got an opportunity to contribute food stuff to the Village as well as interact with the children through various activities which included games, cleaning the compound, cooking as well as having lunch together.

The employees based in Kisumu, Eldoret, Meru and Mombasa also had an opportunity to interact with the SOS Villages Children in their locations through food donations as well as visiting the children.

The Nest Children's Home Charitable Trust

The Group donated towards the building of a water tower and well for the home that caters for about 150 children between the ages of 0 to 16 years, who have been abandoned or have parents in prison.

In addition, Group employees visited the home and spend a whole day out with the children at the Nairobi Orphanage, a treat that the children will live to remember for many days to come.

CfC Stanbic Holdings Scholarship Fund

The Group has for the last 2 years sponsored qualified students from needy backgrounds to pursue their university education. The Group is currently sponsoring 4 university students through the CfC Stanbic Holdings Scholarship Fund at the United States International University (USIU). The students are all pursuing degrees in the area of finance or accounting.

Oyola Primary School – Kisumu

The branch in Kisumu has been involved with Oyola Primary School for a number of years. The engagement with the school started with donations of much needed books for the pupils. This then grew to include renovations of classrooms to ensure that they did not crumble when it flooded during the rainy season. The school is located in an area which floods when it rains.

In 2012 the Group provided funding for a classroom which will allow the children to learn the whole year round as the classroom will not be affected by the floods like the previous mud walled classrooms were whenever it rained.

Usratuna Primary School – South Sudan

CfC Stanbic Bank opened a branch in Juba, South Sudan in April 2012. In line with its commitment to be part of the community, the Group funded the building of classrooms at Usratuna Primary School.

The Murumbi Trust

CfC Stanbic Holdings is committed to heritage and culture and believes that it is one way of preserving our history so that future generations can be educated on the same. The Murumbi Trust aims at turning the Old PC's office in Nairobi to an art gallery where art items from Joseph Murumbi's art collections will be exhibited.

To this end, the Group has contributed towards the renovations works of the Old PC's office for purposes of setting up the gallery.

Other Corporate Social Investment initiatives in 2012

Other initiatives and partnership programmes under taken have covered the following:

- Starehe Girls Centre
- Harambee Khalsa Primary School
- Christ Chapel Children's Home
- Kaaga School For the Deaf
- Haki Trust
- Damascus Primary School
- Loreto Convent Msongari
- El-Shaddai Children's Centre
- Wema Girls Centre
- Good Hope Orphanage
- Child Welfare Society Nanyuki Children's Home
- SAWA Charity Fundraising
- Taraja Boys Home
- The Nest
- Maji Mazuri Children's Home (Wheel Chairs)

Introduction

The effective management of risk is critical to the earnings and financial position of CfC Stanbic Holdings where a culture that encourages sound economic decision-making, which adequately balances risk and reward is embedded in all our banking activities.

Risks are controlled at individual exposure level as well, in aggregate within and across all business lines and risk types.

The Bank's two business lines are:

- Personal & Business Banking;
- Corporate & Investment Banking.

A description of the Bank's approach to risk management covering a summary of the overall methodology and the management of individual types of risks is expounded below.

Risk management approach

The Bank's approach to risk management is based on a well-established governance process and relies on individual responsibility and collective oversight, supported by comprehensive and independent reporting. This approach balances stringent corporate oversight with independent risk management structures within the business units.

The Bank has completed the implementation of governance standards for all major risk types. All the standards are applied consistently across the Bank and are approved by the Board. These standards form an integral part of the Bank's governance infrastructure, reflecting the expectations and requirements of the Board in respect of key areas of control across the Bank. The standards ensure alignment and consistency in the manner that major risk types across the Bank are identified, measured, managed, controlled and reported.

The Group internal audit unit independently audits the adequacy and effectiveness of the Bank's risk management, control and governance processes. The head of audit reports and provides independent assurance to the audit committee and has unrestricted

access to the Managing Director and the Chairman of the Board Audit Committee.

Risk appetite and tolerance

Risk appetite is an expression of the amount or type of risk that the Bank is *generally* willing to take in pursuit of its financial and strategic objectives, reflecting its capacity to sustain losses and continue to meet its obligations as they fall due, under both normal and a range of stress conditions. Risk appetite could be exceeded either as a result of an adverse economic event more severe than that envisaged under the range of stress conditions (passive), or as a result of a decision to increase the risk profile to accommodate market, client or portfolio requirements (active).

Risk taken within "appetite" may lead to expected losses, but expected earnings should cover these.

Risk tolerance is the *maximum* amount or type of risk the Bank is prepared to *tolerate* above risk appetite for short periods of time on the understanding that management action is taken to get back within risk appetite. It emphasises the "downside" of the risk distribution, and the Bank's capacity to survive unexpected losses. The capacity to absorb unexpected losses depends on having sufficient capital and liquidity available to avoid insolvency. Risk tolerance typically provides a useful upper boundary for the Bank's risk appetite.

The Bank's Board of Directors has ultimate responsibility for risk management, which includes evaluating key risk areas and ensuring the process for risk management and systems of internal control are implemented. The Board has delegated its risk-related responsibilities primarily to five committees: the board risk committee and board credit committees, the risk management committee, the audit committee, and the credit committee, with each committee focusing on different aspects of risk management.

Basel II

The Basel II Capital Adequacy Framework (Basel II) is defined by the Bank of International Settlements (IBS) and aims to encourage banks, through lower capital requirements, to improve their risk management process.

The Standard Bank Group adopted Basel II from 1 January 2008. As a result, all its operations world-wide have had to align their processes to ensure that the Group complies with the Basel II requirements as required by the South African Reserve Bank (SARB), the Group regulator.

New prudential guidelines

The Central Bank of Kenya issued new prudential guidelines in November 2012 with an effective date of 1 January 2013. This represents the most substantial regulatory change to the industry since the issue of the previous guidelines in 2006.

Some of the significant changes to the regulatory regime include the following:

The introduction of a 2.5% capital conservation buffer to enable financial institutions withstand future periods of stress. This will effectively increase minimum core capital from 8.0% to 10.5% and total capital to 14.5% from 12%. The buffer is to be built over a phased period of 24 months, effective 1st January 2013.

A requirement to hold capital for operational and market risk has been introduced. Banks have been granted a 12 months observation period after which compliance with capital requirements will be expected effective 1st January 2014. Previously no capital was held for these two risk types.

The new prudential guidelines include new sections that cover areas such as Consumer Protection, Stress Testing and Outsourcing.

The Bank has sufficient capital to comply with the new requirements and the technical capability to implement the additional requirements within the prescribed deadlines.

Risk management in banking activities

The management of all risks that are significant to CfC Stanbic Holdings and the general banking industry in Kenya are discussed below.

Credit risk

Credit risk is the risk of loss arising out of failure of counterparties to meet their financial or contractual obligations when due, for any reason.

Credit risk comprises counterparty risk, settlement risk and concentration risk. These risk types are defined as follows:

Counterparty risk: The risk of credit loss to the Bank as a result of failure by a counterparty to meet its financial and/or contractual obligations to the Bank.

Settlement risk: The risk of loss to the Bank from settling a transaction where value is exchanged, but where the Bank may not receive all or part of the counter value.

Credit concentration risk: The risk of loss to the Bank as a result of excessive build-up of exposure to a specific counterparty or counterparty group, an industry, market, product, financial instrument or type of security, or geography, or a maturity. This concentration typically exists where a number of counterparties are engaged in similar activities and have similar characteristics, which could result in their ability to meet contractual obligations being similarly affected by changes in economic or other conditions.

The Bank has set in place comprehensive resources, expertise and controls to ensure efficient and effective management of credit risk.

Approach to managing credit risk

Credit risk is managed by means of a governance structure with clearly defined mandates and delegated authorities and also the use of relevant credit assessment tools in the evaluation of new loan commitments and outstanding facilities for the customers under the respective business units discussed below.

Corporate and Investment Banking (CIB)

The use of risk rating models combined with an in-depth knowledge and understanding of each customer is essential in assessing the credit risk of each CIB counter-party. A consistent credit rating framework is in place to assist the Bank in making credit decisions on new commitments and in managing the portfolio of existing exposures. The probabilities of default under these models are an important component of the formal credit assessment of new and existing business. The validation and on-going enhancement of these models is a continuous focus area to ensure that the tools used in these credit assessments remain relevant and adequate.

Personal and Business Banking (PBB)

The nature of the product and strength of historical data is the fundamental area under credit risk management for the Personal and Business Banking customers. A diverse range of performance analysis techniques are applied across product sets and potential credits in recognition of the differing asset, maturity and individual or business profiles. The use of risk rating models for PBB is gradually being introduced.

Collection forms a key component of the credit cycle. The underlying principle is to collect appropriately and promptly using available technologies as the main driver. All credit portfolios are closely monitored on a regular basis to evaluate the level of risk assumed against expected risk levels.

Liquidity risk

Liquidity risk arises when the Bank, despite being solvent, is unable to maintain or generate sufficient cash resources to meet its payment obligations as they fall due, or can only do so on materially disadvantageous terms. This inability to maintain or generate sufficient cash resources occurs when counterparties who provide the Bank with funding withdraw or do not rollover that funding, or as a result of a general disruption in asset markets that renders normally liquid assets illiquid.

The nature of banking and trading activities results in a continuous exposure to liquidity risk. The Bank's liquidity risk management framework however is designed to measure and manage the liquidity position at various levels to ensure that all payment obligations can be met under both normal and stressed conditions.

Approach to managing liquidity risk

The following elements are incorporated as part of a cohesive liquidity management process:

- a) Maintaining a structurally sound statement of financial position; with actual cash flows typically varying significantly from the contractual position, behavioural profiling is applied to assets, liabilities and off-balance sheet commitments with an indeterminable maturity or drawdown period, as well as to certain liquid assets. Behavioural profiling assigns probable maturities based on historical customer behaviour. This is used to identify significant additional sources of structural liquidity in the form of liquid assets and core deposits, such as current and savings accounts, which exhibit stable behaviour despite being repayable on demand or at short notice.

Structural liquidity mismatch analysis are performed regularly to anticipate the mismatch between payment profiles of balance sheet items, in order to highlight potential risks within the Bank's defined liquidity risk thresholds.

- b) Foreign currency liquidity management;
A number of indicators are observed to monitor changes in either market liquidity or exchange rates. Foreign currency loans and advances are restricted to the availability of foreign currency deposits.
- c) Ensuring the availability of sufficient contingency liquidity;
Funding markets are evaluated on an ongoing basis to ensure appropriate Bank funding strategies are executed depending on the market, competitive and regulatory environment. The Bank employs a diversified funding strategy.
- d) Preserving a diversified funding base;
Concentration risk limits are used within the Bank to ensure that funding diversification is maintained across products, sectors, and counterparties.
- e) Undertaking regular liquidity stress testing;
Stress testing and scenario analysis are based on hypothetical as well as historical events. These are conducted on the funding profiles and liquidity positions of the Bank. The crisis impact is typically measured over a two-month period, as this is considered the most crucial time horizon for a liquidity event.
- f) Maintaining adequate liquidity contingency plans;
Portfolios of highly marketable securities over and above prudential requirements are maintained as protection against unforeseen disruptions in cash flows. These portfolios are managed within ALCO-defined limits on the basis of diversification and liquidity.
- g) Short-term and long-term cash flow management.

Active liquidity and funding management is an integrated effort across a number of functional areas. Short-term cash flow projections are used to plan for and meet the day-to-day requirements of the business, including adherence to prudential and internal requirements.

The Bank long term funding strategy is derived from the projected net asset growth which includes consideration of Personal & Business Banking and Corporate & Investment Banking asset classes, capital requirements, the maturity profile of existing wholesale funding and anticipated changes in the retail deposit base. Funding requirements and initiatives are assessed in accordance with ALCO requirements for diversification, tenure and currency exposure, as well as the availability and pricing of alternative liquidity sources.

Liquidity contingency plans are designed to, as far as possible, protect stakeholder interests and maintain market confidence in order to ensure a positive outcome in the event of a liquidity crisis. The plans incorporate an extensive early warning indicator methodology supported by a clear and decisive crisis response strategy. Early warning indicators cover bank-specific and systemic crises and are monitored according to assigned frequencies and tolerance levels.

The cumulative impact of the above elements is monitored on a monthly basis by the Bank's Asset and Liability Committee (ALCO) and the process is underpinned by a system of extensive internal and external controls. In periods of increased volatility, the frequency of meetings is increased as required to facilitate appropriate and timely management action.

To ensure integrity of the process there is use of application of purpose built technology, documented processes and procedures, independent oversight by risk management and regular independent reviews and evaluations of the effectiveness of the system.

Market risk

Market risk is the risk of a change in the actual or effective market value, earnings or future cash flows of a portfolio of financial instruments, including commodities, caused by movements in market variables such as equity, bond and commodity prices, currency exchange rates and interest rates, credit spreads, recovery rates, correlations and implied volatilities in all of these measures. Market risk exposures as a result of trading activities are contained within the Bank's Corporate and Investment Banking (CIB) trading operations. The Board grants general authority to take on market risk exposure to the ALCO. The Bank manages market risk through a range of market risk and capital risk limits. It uses a suite of risk measurement methodologies and tools to establish limits, including Value at Risk (VaR), Securities revaluation models (Present Value One Basis Point - PV01), stress testing, scenario analysis, stop loss triggers, backtesting and other basic risk management measures.

Market risk exposure on banking operations

Banking-related market risk exposure principally involves the management of the potential adverse effect of interest rate movements on net interest income and the economic value of equity. This structural interest rate risk is caused by the differing re-pricing characteristics of banking assets and liabilities. They include endowment risk, repricing risk, basis risk, optionality risk and yield curve risk. The governance framework adopted for the management of structural interest rate risk mirrors that of liquidity risk management in terms of committee structures and the setting of standards, policies and limits. This is also true for the monitoring process and internal controls.

The market risk function is independent of trading operations and it is accountable to ALCO. It is responsible for identifying, measuring, managing, controlling and reporting market risk as outlined in the market risk governance standard, with support from the central market risk function. The market risk function also has the ability to set individual

trader mandates. Exposures and excesses are monitored and reported daily. Where breaches in limits and triggers occur, actions are taken by market risk management unit to move exposures back in line with approved market risk appetite, with such breaches being reported to management and ALCO.

Operational risk

Operational risk is the risk of loss suffered as a result of inadequacy of, or a failure in internal processes, people, systems or external events.

The Bank recognizes the significance of operational risk, which is inherent in all areas of its business. The Bank's operational risk governance standard codifies the core governing principles for operational risk management and defines a common framework with the basic components for the identification, assessment, and management, monitoring and reporting of operational risk. In 2012 an enhanced operational risk framework was approved that is designed to meet the qualifying criteria of the Advanced Measurement Approach (AMA) under Basel II. This common framework defines the minimum requirements whilst ensuring an element of flexibility for each business unit's particular operating environment. This framework is further supported by a set of comprehensive operational risk management policies.

The operational risk framework is based on the following core components:

Risk identification and control methodology

Facilitates the identification of risks and the management thereof across each business and operational function. It comprises of two key elements:

- **Risk and control self assessments:**
Each business unit and enabling function is required to analyse their business activities and critical processes to identify the key operational risks to which they are exposed and assess the adequacy and effectiveness of their controls. For any area where management conclude that the level of residual risk is beyond an acceptable level, they are required to define action plans to reduce the level of risk. The assessments are facilitated, monitored and challenged by the operational risk function

- **Indicators:**
Based on the key risks and controls identified above, relevant indicators are used to monitor key business environment and internal control factors that may influence the Bank's operational risk profile. Each indicator has trigger thresholds to provide an early-warning indicator of potential risk exposures and/or a potential breakdown of controls.

Operational risk incidents

All areas are required to report operational risk incidents to the operational risk function. The definition of operational risk incidents includes not only events resulting in actual loss, but also those resulting in non-financial impact and near misses. This process is intended to enable the root cause of individual incidents or trends of incidents to be analysed and actions taken to reduce the exposure or to enhance controls. All incidents relating to the group's banking operations are consolidated within a central group database, which is also integrated with risk and control self assessments and indicators.

External data:

The Standard Bank group analyses external industry incidents and loss data through a

combination of publicly available data and the confidential loss data. This information which is shared across the countries enhances the identification and assessment of risk exposures and provides additional data for scenario analysis purposes.

Scenarios

Initially applying only to Standard Bank South Africa (SBSA), scenarios are generated to represent the exposure to potentially severe operational risk losses. Internal subject matter experts develop estimates of potential impact and likelihood, which support the identification and assessment of key risks and controls, and provide data for quantitative modelling purposes. Scenario roll out for Kenya is scheduled for the second-half of 2013.

Reporting

Operational risk reports are produced on both a regular and an event-driven basis. The reports include a profile of the key risks to business unit's achievement of their business objectives, relevant control issues and operational risk incidents. Specific reports are prepared on a regular basis for the relevant business unit and risk committees.

Approach to managing operational risk

The Bank's approach to managing operational risk is to adopt fit-for-purpose operational risk practices that assist business line management in understanding their inherent risks and reducing their risk profile in line with the Bank's risk tolerance while maximizing operational performance and efficiency. This approach is aligned to the Bank's enterprise risk management framework and adopts the sound practices recommended by various sources, including the Basel II Accord's "Sound Practices for the Management and Supervision of Operational Risk."

The independent operational risk functions perform control and oversight roles, including the setting of appropriate policies, governance standards and tools.

The Bank further maintains a comprehensive insurance programme to cover losses from fraud, theft, professional liability claims and damage to physical assets and it operates a comprehensive internal audit programme on the entire Bank's operations.

Financial crime control

Financial crime control is defined as the prevention, detection and response to all financial crime in order to mitigate economic loss, reputational risk and regulatory sanction.

Financial crime includes fraud, money laundering, violent crime and misconduct by employees, customers, suppliers, business partners, stakeholders and third parties.

The Bank's financial crime control unit is mandated by the audit committee to provide financial crime control capabilities which support the Bank in minimising the overall impact of financial crime. This ensures the safety of our people and assets as well as trust from our stakeholders. The Bank maintains a zero tolerance approach towards fraud and dishonesty.

Business continuity management

Business continuity management (BCM) is defined as a holistic management process that identifies potential impacts that threaten an organisation, provides a framework for building resilience and the effective response that safeguards the interests of its key stakeholders, reputation, brand and value creating activities.

Business continuity ensures timely availability of all key processes, which are required to support essential activities and customer services in the event of a disruption of business.

The Bank's ability to protect life, assets, resources and ensure continued services to customers in the event of a disruption is critical to its sustained financial success.

The Bank has business resiliency and continuity plans in place to ensure its ability to operate on an ongoing basis and limit losses in the event of severe business disruptions.

Business continuity management is an integral component of the Bank's risk management framework. The Bank's business continuity strategy is structured to ensure strong central monitoring and reporting and decentralised execution, and is supported by an entrenched governance process. The Bank continues to ensure that business continuity is managed in an effective manner through a framework of policies, procedures and tools to identify, assess, monitor, control and report such risks. In the course of 2012 the Bank regularly performed disaster recovery system functionality tests and it will continue to ensure preparedness in the event of a disaster as a part of its assurance process.

Compliance risk

Compliance risk is the risk of legal or regulatory sanctions, financial loss or damage to reputation that the group may suffer as a result of its failure to comply with laws, regulations, codes of conduct and standards of good practice that are applicable to its financial services activities.

Approach to compliance risk management

Compliance is an independent core risk management activity, which also has unrestricted access to the Managing Director and the Chairman of the Board Risk Committee. The Bank is subject to extensive supervisory and regulatory regimes, and while the executive management remains responsible for overseeing the management of the Bank's compliance risk, group compliance actively engages with management and the compliance officers within subsidiaries to proactively support the generation of legal, ethical and profitable business.

The Bank operates a centralised compliance risk management structure run by a fully equipped specialised unit that grants oversight on all compliance related matters. The compliance unit supports business in complying with current and emerging regulatory developments, including money laundering and terrorist financing control, sanctions management, identifying and managing conflicts of interest and market abuse and mitigating reputational risks.

Money laundering and terrorist financial control

Legislation pertaining to money laundering and terrorist financing control imposes significant requirements in terms of customer identification, record keeping and training, as well as obligations to detect, prevent and report money laundering and terrorist financing. To this end, anti - money laundering training is carried out for all the staff and the Bank has in place the necessary processes and systems to comply with "The Proceeds of Crime and Anti-Money Laundering Act 2009 and The Prevention of Terrorism Act 2012."

Occupational health and safety

The health and safety of all employees, clients and other stakeholders continues to be a priority. The Bank aims to effectively identify, reduce or control accidents or injuries to employees, contractors and clients. The framework ensures compliance with current legislation and that occupational health and safety procedures are closely linked to the operational needs of the business. Training of health and safety officers and employee awareness is an ongoing endeavour.

Legal risk

Legal risk is defined as exposure to the adverse consequences of non-compliance with legal or statutory responsibilities and/or inaccurately drafted contracts and their execution, as well as the absence of written agreements or inadequate agreements. This includes exposure

to new laws as well as changes in interpretations of existing law by appropriate authorities.

Legal risk arises where:

- the Bank's businesses or functions may not be conducted in accordance with applicable laws;
- regulatory requirements are incorrectly applied;
- the Bank may be liable for damages to third parties; or
- contractual obligations may be enforced against the Bank in an adverse way, resulting from legal proceedings being instituted against it.

The Bank has processes and controls in place to manage its legal risk, failure to manage risks effectively could result in legal proceedings impacting the Bank adversely, both financially and reputationally.

Taxation risk

Taxation risk is the possibility of suffering loss, financial or otherwise, as a result of the misapplication of tax systems (whether in legislative systems, rulings or practices) applicable to the entire spectrum of taxes and other fiscal imposts to which the Bank is subject.

The Bank fulfils its responsibilities under tax law in relation to compliance, planning and client service matters. Tax law includes all responsibilities, which the Bank may have in relation to company taxes, personal taxes, capital gains taxes, indirect taxes and tax administration.

The identification and management of tax risk is the primary objective of the Bank's tax and regulatory function, and this objective is achieved through the application of a tax risk matrix approach, which measures the fulfilment of tax responsibilities against the specific requirements of each category of tax to which the Bank is exposed, in the context of the various types of activity the Bank conducts.

Reputational risk

Reputational risk results from damage to the Bank's image which may impair its ability to retain and generate business. Such damage may result from a breakdown of trust, confidence or business relationships. Safeguarding the Bank's reputation is of paramount importance to its continued success and is the responsibility of every member of staff.

Reputational risks can arise from social, ethical or environmental issues, or as a consequence of operational risk events. CfC Stanbic Holdings's strong reputation is dependent upon the way in which it conducts its business but it can also be affected by the way in which its clients, to whom it provides financial services, conduct themselves.

Management of all operating activities is required to establish a strong internal control structure to minimise the risk of operational and financial failure and to ensure that a full assessment of reputational implications is made before strategic decisions are taken. The Bank sets clear standards and policies on all major aspects of business and these standards and policies are integral to the Bank's system of internal control and are communicated through procedures, manuals and appropriate staff training.

Each business unit or support function executive is responsible for identifying, assessing and determining all reputational risks that may arise within their respective areas of business. Risks to reputation can be evaluated by considering the likelihood of the risk occurring and the likely impact. The impact of such risks is considered alongside financial or other impacts.

Reputational risks are considered and assessed by the Board, the Bank's Risk Management Committee and executive management.

Business risk

Business risk is the risk of loss, usually from inflexible cost structures or inefficiencies, due to adverse operating conditions caused by market-driven pressures such as decreased demand, increased competition or cost increases, or caused by factors such as a poor choice of strategy, reputational damage or the decision to absorb costs or losses to preserve reputation. Business risk includes strategic risk.

It is not cost effective to attempt to eliminate all business risk and it would not, in any event, be possible to do so. The Bank mitigates business risk in a number of ways including:

- due diligence during the investment appraisal process;
- the business lines have a new product process through which the risks and mitigating controls for new/amended products and services are tabled and discussed;
- consistently monitoring the profitability of product lines and customer segments;
- maintaining tight control over the cost base of the Bank, including the management of cost-to-income ratio. This allows for early intervention and management action to reduce costs where necessary;
- being alert and responsive to changes in market forces, exploiting potentially favourable changes and managing the downside risk due to unfavourable changes;
- as part of the Bank's budget process. The Bank continually aims to increase the ratio of variable costs to fixed costs, allowing for more flexibility to proactively manage cost.

Internal audit assurance

The internal audit function provides an independent assessment of the adequacy and effectiveness of the overall risk management framework and risk governance structures.

Internal audit unit operates under a mandate from the audit committee and has the authority to determine the scope and extent of work to be performed. Internal audit's primary objective is the provision of assurance to the audit committee on the quality of controls in the Bank's operational activities.

It assists the executive management teams in meeting their business objectives by examining the Bank's activities, assessing the risks involved and evaluating the adequacy and effectiveness of processes, systems and controls to manage these risks.

A risk-based audit approach has been adopted by the Bank. Material or significant control weaknesses and planned management remedial actions are reported to the Board Audit Committee. These issues are tracked to ensure that agreed remedial actions have been implemented. Overdue issues are reported to the audit committee on a quarterly basis.

Capital adequacy

Minimum requirements

The capital adequacy ratio reflects the capital strength of an entity compared to the minimum requirement set out by the regulator.

CfC Stanbic Bank is required to meet the Central Bank of Kenya's capital requirements, set at a minimum capital adequacy ratio of 8% (based on core capital). These regulations are based on guidelines for International Settlements.

Qualifying capital

Qualifying capital is divided into two tiers: primary and secondary.

Primary capital (Tier I) comprises funds raised through the issue of ordinary shares; non-redeemable, non-cumulative preference shares; retained earnings and reserves (other than regulatory reserves).

Secondary capital (Tier II) comprises cumulative preference shares, certain subordinated loan funding and regulatory credit risk reserve.

Risk-weighted assets

Risk-weighted assets are determined by applying credit risk conversion factors to the principal amounts of both on and off-balance sheet financial instruments. The credit risk conversion factor is determined in accordance with the relative credit risk of the counter-party.

Included in the overall risk-weighted assets is a notional risk-weighting for trading assets, based on the market, counter-party and large exposure risks.

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CfC Stanbic Holdings Limited
Annual Report and Financial Statements
For the year ended 31 December 2012

Directors' Report

The directors submit their report together with the audited financial statements for the year ended 31 December 2012, in accordance to section 157 of the Kenyan Companies Act, which disclose the state of affairs of the Group and the Company.

Principal activities

The Group is engaged in the business of banking and stock broking.

Results and dividends

The net profit for the year of Kshs 3,009,891,000 (2011: Kshs 1,838,992,000) has been added to retained earnings.

The Directors paid an interim dividend of Shs 200,000,000 (2011: Nil).

Share capital

The total number of shares as at 31 December 2012 was 395,321,638 (2011: 273,684,211), ordinary shares of Shs 5 each.

Directors

The directors who held office during the year and to the date of this report were:

F.N Ojiambo MBS, SC

K Mbatia

J G Kiereini (Retired on May 25th, 2012)

J Babsa-Nzibo

G R May**

R W Kimotho

G R Brackenridge*

E W Njoroge

R T Ngobi

C K Muchene

V E Williams*** (Appointed: 02 August 2012- Retired 31 January 2013)

* - South African

** - British

*** -American

Events subsequent to the end of the reporting period

There is no material event that has occurred between the end of the reporting period and the date of this report.

Auditor

PricewaterhouseCoopers has indicated its willingness to continue in office in accordance with Section 159(2) of the Kenyan Companies Act (Cap. 486).

BY ORDER OF THE BOARD

Lillian Mbindyo

COMPANY SECRETARY

1 March 2013

Statement of Directors' Responsibilities

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the group and of the company as at the end of the financial year and of the group's profit or loss. It also requires the directors to ensure that the group keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the group and company. They are also responsible for safeguarding the assets of the group.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and of the company and of the group's profit or loss in accordance with International Financial Reporting Standards. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement.

Nothing has come to the attention of the directors to indicate that the Company and its subsidiaries will not remain a going concern for at least twelve months from the date of this statement.

.....
Fred N Ojiambo, MBS, SC

Chairman

.....
K. Mbathi

Managing Director

1 March 2013

REPORT OF THE INDEPENDENT AUDITOR TO THE MEMBERS OF CfC STANBIC HOLDINGS LIMITED

Report on the consolidated financial statements

We have audited the accompanying consolidated financial statements of CfC Stanbic Holdings Limited (the company) and its subsidiaries (together, the group), as set out on pages 41 to 125. These financial statements comprise the consolidated statement of financial position at 31 December 2012 and the consolidated income statement, consolidated statement of comprehensive income, consolidated statement of changes in equity and the consolidated statement of cash flows for the year then ended, together with the statement of financial position of the company standing alone as at 31 December 2012 and the income statement, statement of comprehensive income and changes in equity of the company for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' responsibility for the financial statements

The directors are responsible for the preparation and fair presentation of these consolidated financial statements in accordance with International Financial Reporting Standards and with the requirements of the Kenyan Companies Act and for such internal control, as the directors determine necessary to enable the preparation of consolidated financial statements that are free from material misstatements, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion the accompanying financial statements give a true and fair view of the state of the financial affairs of the group and of the company at 31 December 2012 and of the profit and cash flows of the group for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

REPORT OF THE INDEPENDENT AUDITOR TO THE MEMBERS OF CfC STANBIC HOLDINGS LIMITED (CONTINUED)

Report on other legal requirements

The Kenyan Companies Act requires that in carrying out our audit we consider and report to you on the following matters. We confirm that:

- we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- in our opinion proper books of account have been kept by the company, so far as appears from our examination of those books;
- the company's statement of financial position and income statement are in agreement with the books of account.

**Certified Public Accountants
Nairobi**

_____ **2013**

CfC Stanbic Holdings Limited
Annual Report and Financial statements
For the year ended 31 December 2012
Consolidated and Company Income Statement

		Group		Company	
		31	31	31	31
		December	December	December	December
		2012	2011	2012	2011
	Note	Shs'000	Shs'000	Shs'000	Shs'000
Continuing operations					
Net interest income		6,542,787	6,042,024	21,535	-
Interest income	6	11,653,458	8,603,450	21,535	-
Interest expense	7	(5,110,671)	(2,561,426)	-	-
Credit impairment charges	13	(635,429)	(652,853)	-	-
Net interest income after loan impairment charges		5,907,358	5,389,171	21,535	-
Non-interest revenue		7,549,557	4,756,855	200,000	221,744
Net fee and commission revenue		2,543,199	2,095,809	-	-
Fee and commission revenue	8	2,718,045	2,350,880	-	-
Fee and commission expense	9	(174,846)	(255,071)	-	-
Trading revenue	10	4,973,862	2,513,521	-	-
Other revenue	11	32,496	147,525	200,000	221,744
Share of profit from associates	24	-	43,238	-	-
Total income		13,456,915	10,189,264	221,535	221,744
Operating expenses		(8,868,827)	(7,390,363)	(80,815)	(101,650)
Staff costs	14	(3,543,387)	(2,947,416)	-	-
Other operating expenses	15	(5,325,440)	(4,442,947)	(80,815)	(101,650)
Profit before income tax		4,588,088	2,798,901	140,720	120,094
Income tax expense	16	(1,578,197)	(1,159,744)	-	-
Profit for the year from continuing operations		3,009,891	1,639,157	140,720	120,094
Discontinued operations					
Profit for the year from discontinued operations (attributable to equity holders of the company)	12	-	199,835	-	-
Profit for the year		3,009,891	1,838,992	140,720	120,094
Profit attributable to :					
Owners of the parent		3,009,891	1,738,855	140,720	120,094
Non controlling interest		-	100,137	-	-
		3,009,891	1,838,992	140,720	120,094
Earnings per share basic and diluted					
From continuing operations (Shs)	17	9.90	5.99	0.46	0.44
From discontinued operations (Shs)		-	0.73	-	-

The notes set out on pages 48 to 125 form an integral part of these financial statements.

CfC Stanbic Holdings Limited
Annual Report and Financial statements
For the year ended 31 December 2012
Consolidated and Company Statement of Comprehensive Income

	Group		Company	
	31 December 2012 Shs'000	31 December 2011 Shs'000	31 December 2012 Shs'000	31 December 2011 Shs'000
Profit for the year	3,009,891	1,838,992	140,720	120,094
Other comprehensive income for the year, net of tax	1,152,589	(1,596,988)	-	-
Exchange differences on translation of foreign operations	(35,105)	-	-	-
Gains on fair valuation of available - for- sale financial assets	1,696,706	(2,281,412)	-	-
Deferred tax (charge) / credit on revaluation of available - for - sale financial assets	(509,012)	684,424	-	-
Total comprehensive income for the year	4,162,480	242,004	140,720	120,094

Total Comprehensive income attributable to:				
Owners of the parent	4,162,480	141,867	140,720	120,094
Non controlling interest	-	100,137	-	-
Total comprehensive income for the year	4,162,480	242,004	140,720	120,094

Total comprehensive income attributable to equity shareholders arises from				
Continuing operations	4,162,480	42,169	140,720	120,094
Discontinued operations	-	199,835	-	-
	4,162,480	242,004	140,720	120,094

The notes set out on pages 48 to 125 form an integral part of these financial statements.

CfC Stanbic Holdings Limited**Annual Report and Financial statements****For the year ended 31 December 2012****Consolidated and Company Statement of Financial Position**

		Group		Company	
	Note	As at 31 December		As at 31 December	
		2012	2011	2012	2011
		Shs'000	Shs'000	Shs'000	Shs'000
Assets					
Cash, banks and Central Bank of Kenya balances	18	23,366,583	7,104,647	177,680	47,453
Financial investments	20	20,966,076	21,818,882	-	-
Pledged assets	19	3,123,196	3,643,897	-	-
Derivative assets	30	1,931,831	6,377,410	-	-
Loans and advances		78,483,828	94,884,596	-	-
Loans and advances to banks	22(a)	12,333,987	30,627,842	-	-
Loans and advances to customers	22(b)	66,149,841	64,256,754	-	-
Balances due from group companies	37	-	-	-	10,866
Other assets	23	1,950,825	2,475,765	3,230	10,950
Investment in subsidiaries and associates	24	-	-	18,175,338	14,294,644
Property and equipment	25	2,302,671	2,299,202	60	166
Prepaid operating lease	26	65,715	68,669	-	-
Other intangible assets	27	1,034,430	1,373,214	-	-
Intangible assets - goodwill	28	9,349,759	9,349,759	-	-
Current income tax recoverable	34(a)	158,846	158,846	140,031	140,031
Deferred income tax asset	34(c)	478,395	616,128	-	-
Total assets		143,212,155	150,171,015	18,496,339	14,504,110
Equity and liabilities					
Equity		27,240,888	19,329,127	18,039,646	14,180,197
Equity attributable to company's equity holders		27,240,888	19,329,127	18,039,646	14,180,197
Ordinary share capital	29	1,976,608	1,368,421	1,976,608	1,368,421
Ordinary share premium	29	16,897,389	13,586,847	16,897,389	13,586,847
Revenue reserves		8,223,466	5,289,343	(834,351)	(775,071)
Other reserves	40	143,425	(915,484)	-	-
Non controlling interest		-	-	-	-
Total liabilities		115,971,267	130,841,888	456,693	323,913
Derivative liabilities	30	2,469,648	6,429,260	-	-
Trading liabilities	21	-	648,671	-	-
Deposits and current accounts	31	100,463,247	107,681,320	-	-
Deposits from banks		25,556,484	33,674,186	-	-
Deposits from customers		74,906,763	74,007,134	-	-
Borrowings	32	6,697,731	7,086,285	-	-
Other liabilities	33	5,963,608	8,408,629	101,619	103,296
Balances due to group companies	37	-	-	355,074	220,617
Current income tax payable	34(b)	377,033	587,723	-	-
Total equity and liabilities		143,212,155	150,171,015	18,496,339	14,504,110

The notes set out on pages 48 to 125 form an integral part of these financial statements.

The financial statements on pages 41 to 125 were approved for issue by the Board of Directors on 1 March 2013 and signed on its behalf by:

Fred N Ojiambo, MBS, SC
Chairman

K. Mbathi
Managing Director

G.R. May
Director

Lillian Mbindyo
Company Secretary

CfC Stanbic Holdings Limited
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For the year ended 31 December 2012

Consolidated Statement of Changes in Equity

Year ended 31 December 2012	Note	Share Capital Shs'000	Share Premium Shs'000	Statutory Reserve Shs'000	Fair value Reserve Shs'000	Revaluation reserve Shs'000	Currency Translation Reserve Shs'000	Share-based Payment Reserve Shs'000	Revenue Reserve Shs'000	Total equity Shs'000
At start of year		1,368,421	13,586,847	(77,846)	(988,656)	85,819	-	65,199	5,289,343	19,329,127
Total comprehensive income for the year		-	-	(124,232)	1,187,694	-	-	-	3,134,123	4,197,585
Income for the year		-	-	-	-	-	-	-	3,009,891	3,009,891
Other comprehensive income:										
Transfer from statutory reserves		-	-	(124,232)	-	-	-	-	124,232	-
Available-for-sale financial assets net of tax		-	-	-	1,187,694	-	-	-	-	1,187,694
Total other comprehensive income		-	-	(124,232)	1,187,694	-	-	-	124,232	1,187,694
Contribution and distributions to owners										
2012 Interim dividend - paid		-	-	-	-	-	-	-	(200,000)	(200,000)
Share based payment reserve	40	-	-	-	-	-	-	30,552	-	30,552
Foreign translation reserve		-	-	-	-	-	(35,105)	-	-	(35,105)
Rights issue during the year	29	608,187	3,310,542	-	-	-	-	-	-	3,918,729
Total contributions by and distributions to owners		608,187	3,310,542	-	-	-	(35,105)	30,552	(200,000)	3,714,176
At end of year		1,976,608	16,897,389	(202,078)	199,038	85,819	(35,105)	95,751	8,223,466	27,240,888

CfC Stanbic Holdings Limited
Annual Report and Financial Statements
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Consolidated Statement of Changes in Equity

	Note	Share Capital	Share Premium	Capital Reserve	Statutory Reserve	Fair value Reserve	Revaluation reserve	Currency Translation Reserve	Share- based Payment Reserve	Revenue Reserve	Non controlling Interest	Total equity
Year ended 31 December 2011		Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At start of year		1,368,421	13,586,847	288,173	246,329	1,534,664	132,461	(32,348)	32,394	4,676,820	2,934,854	24,768,615
Total comprehensive income for the year		-	-	-	(316,213)	(1,596,988)	-	-	-	2,055,068	100,137	242,004
Income for the year		-	-	-	-	-	-	-	-	1,738,855	100,137	1,838,992
Other comprehensive income:												-
Transfer from statutory reserves		-	-	-	(316,213)	-	-	-	-	316,213	-	-
Available-for-sale financial assets net of tax		-	-	-	-	(1,596,988)	-	-	-	-	-	(1,596,988)
Total other comprehensive income		-	-	-	(316,213)	(1,596,988)	-	-	-	316,213	-	(1,596,988)
Contribution and distributions to owners												
2010 final dividend - paid		-	-	-	-	-	-	-	-	(220,220)	-	(220,220)
Distribution of investment		-	-	-	-	-	-	-	-	(867,453)	-	(867,453)
Share based payment reserve	40	-	-	-	-	-	-	-	32,805	-	-	32,805
Reserve distribution upon demerger		-	-	(288,173)	(7,962)	(926,332)	(46,642)	32,348	-	(354,872)	(3,034,991)	(4,626,624)
Total contributions by and distributions to owners		-	-	(288,173)	(7,962)	(926,332)	(46,642)	32,348	32,805	(1,442,545)	(3,034,991)	(5,681,492)
At end of year		1,368,421	13,586,847	-	(77,846)	(988,656)	85,819	-	65,199	5,289,343	-	19,329,127

CfC Stanbic Holdings Limited
Annual Report and Financial Statements
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Company Statement of Changes in Equity

	Note	Share capital	Share Premium	Revenue Reserve	Total
Year ended 31 December 2012		Shs'000	Shs'000	Shs'000	Shs'000
At start of year		1,368,421	13,586,847	(775,071)	14,180,197
Other comprehensive income for the year		-	-	140,720	140,720
Income for the year		-	-	140,720	140,720
Dividend paid		-	-	(200,000)	(200,000)
Rights issue during the year	29	608,187	3,310,542	-	3,918,729
Total contributions by and distributions to owners		608,187	3,310,542	(200,000)	3,718,729
At end of year		1,976,608	16,897,389	(834,351)	18,039,646

		Share capital	Share Premium	Revenue Reserve	Total
Year ended 31 December 2011		Shs'000	Shs'000	Shs'000	Shs'000
At start of year		1,368,421	13,586,847	192,508	15,147,776
Other comprehensive income for the year		-	-	120,094	120,094
Income for the year		-	-	120,094	120,094
Dividend paid		-	-	(220,220)	(220,220)
Distribution of investment		-	-	(867,453)	(867,453)
Total contributions by and distributions to owners		-	-	(1,087,673)	(1,087,673)
At end of year		1,368,421	13,586,847	(775,071)	14,180,197

CfC Stanbic Holdings Limited
Annual Report and Financial Statements
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Consolidated Statement of Cash Flows

	Note	31 December 2012 Shs '000	31 December 2011 Shs '000
Cash flows generated from operating activities	35(a)	5,740,280	3,417,118
Income tax paid	34(b)	(2,152,696)	(1,286,333)
Net cash generated from operating activities before changes in operating assets		3,587,584	2,130,785
Changes in operating assets and liabilities		(1,240,919)	(4,280,802)
Loans and advances to customers		(1,893,087)	(5,271,793)
Other assets		524,939	(1,029,650)
Cash ratio requirement		165,889	(852,087)
Financial investments		2,007,983	(4,999,339)
Customer deposits		899,629	2,582,019
Loans and advances to banks		(1,449,081)	-
Deposits with banks		947,831	-
Other liabilities		(2,445,022)	5,290,048
Net cash used in operating activities		2,346,665	(2,150,017)
Cash flow (used)/from investing activities		(295,152)	(436,257)
Additions to property and equipment	25(a)	(283,160)	(587,905)
Additions to intangible assets	27	(16,151)	(22,305)
Proceeds from the sale of equipment		4,159	5,426
Dividend from associates		-	44,016
Proceeds from the disposal of associate		-	124,511
Cash flows (used)/from financing activities		3,330,175	(406,245)
Proceeds from rights issue		3,918,729	-
Dividends paid to equityholders of parent		(200,000)	(426,168)
Proceeds from borrowings and shareholder loan		(388,554)	19,923
Decrease in cash equivalents as a result of demerger	12(b)	-	(5,138,689)
Currency translation differences		(44,826)	-
Net Increase/ (decrease) in cash and cash equivalents		5,336,862	(8,131,208)
Cash and cash equivalents at 1 January		472,907	8,604,115
Cash and cash equivalents at 31 December	35 (b)	5,809,769	472,907

Notes

1 General information

CfC Stanbic Holdings Limited is incorporated in Kenya under the Companies Act as a limited liability company, and is domiciled in Kenya. The address of its registered office is:

CfC Stanbic Centre
Chiromo Road
P O Box 72833
00200 Nairobi

The Company's shares are listed on the Nairobi Securities Exchange.

For Kenyan Companies Act reporting purposes, the statement of financial position is represented by the statement of financial position and the profit and loss account by the income statement, in these financial statements.

2 Summary of significant accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

a. Basis of preparation

The consolidated and company financial statements ('financial statements') are prepared in accordance with International Financial Reporting Standards (IFRS) and the Kenyan Companies Act. The financial statements have been prepared under the historical cost convention, as modified for the following material items in the statement of financial position:

- available-for-sale financial assets, financial assets and liabilities at fair value through profit or loss, investment property, liabilities for cash-settled share-based payment arrangements, are measured at fair value; and

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Group's accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the financial statements, are disclosed in Note 3.

Changes in accounting policies and disclosures

The accounting policies are consistent with those adopted in the previous year, except for the following:

(i) New and amended standards adopted by the Company and the Group

There are no IFRSs or IFRIC interpretations that are effective for the first time for the financial year beginning on 1 January 2012 that would be expected to have a material impact on the Group and the Company.

Notes (continued)

2. Summary of significant accounting policies (continued)

a) Basis of preparation (continued)

(ii) Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the Group

Amendment to IAS 1, 'Presentation of Financial Statements' regarding other comprehensive income. The main change resulting from these amendments is a requirement for entities to group items presented in 'other comprehensive income' (OCI) on the basis of whether they are potentially reclassifiable to profit or loss subsequently (reclassification adjustments). The amendments do not address which items are presented in OCI.

IFRS 13, 'Fair value measurement', aims to improve consistency and reduce complexity by providing a precise definition of fair value and a single source of fair value measurement and disclosure requirements for use across IFRSs. The requirements, which are largely aligned between IFRSs and US GAAP, do not extend the use of fair value accounting but provide guidance on how it should be applied where its use is already required or permitted by other standards within IFRSs or US GAAP.

IAS 19, 'Employee benefits', was amended in June 2011. The impact on the Company and the Group will be as follows: to immediately recognise all past service costs; and to replace interest cost and expected return on plan assets with a net interest amount that is calculated by applying the discount rate to the net defined benefit liability (asset). The directors are yet to assess the full impact of the amendments.

IFRS 9, 'Financial instruments', addresses the classification, measurement and recognition of financial assets and financial liabilities. IFRS 9 was issued in November 2009 and October 2010. It replaces the parts of IAS 39 that relate to the classification and measurement of financial instruments. IFRS 9 requires financial assets to be classified into two measurement categories: those measured as at fair value and those measured at amortised cost. The determination is made at initial

recognition. The classification depends on the entity's business model for managing its financial instruments and the contractual cash flow characteristics of the instrument. For financial liabilities, the standard retains most of the IAS 39 requirements. The main change is that, in cases where the fair value option is taken for financial liabilities, the part of a fair value change due to an entity's own credit risk is recorded in other comprehensive income rather than the income statement, unless this creates an accounting mismatch. The directors are yet to assess IFRS 9's full impact and intend to adopt IFRS 9 no later than the accounting period beginning on or after 1 January 2015. The directors will also consider the impact of the remaining phases of IFRS 9 when completed by the IASB.

IFRS 10, 'Consolidated financial statements', builds on existing principles by identifying the concept of control as the determining factor in whether an entity should be included within the consolidated financial statements of the parent. The standard provides additional guidance to assist in the determination of control where this is difficult to assess. The directors are yet to assess IFRS 10's full impact and intends to adopt IFRS 10 no later than the accounting period beginning on or after 1 January 2013.

IFRS 12, 'Disclosures of interests in other entities', includes the disclosure requirements for all forms of interests in other entities, including joint arrangements, associates, special purpose vehicles and other off balance sheet vehicles. The directors are yet to assess IFRS 12's full impact and intends to adopt IFRS 12 no later than the accounting period beginning on or after 1 January 2013.

There are no other IFRSs or IFRIC interpretations that are not yet effective that would be expected to have a material impact on the Group and the Company.

Notes (continued)

2. Summary of significant accounting policies (continued)

a) Consolidation

The consolidated financial statements incorporate the financial statements of CfC Stanbic Holdings Limited and its subsidiaries; CfC Stanbic Bank Limited and CfC Stanbic Financial Services Limited. The financial statements have been made up to 31 December.

(i) Subsidiaries

Subsidiaries are all entities (including special purpose entities) over which the Group has the power to govern the financial and operating policies generally accompanying a shareholding of more than one half of the voting rights. The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether the Group controls another entity. The Group also assesses existence of control where it does not have more than 50% of the voting power but is able to govern the financial and operating policies by virtue of de-facto control.

De-facto control may arise in circumstances where the size of the Group's voting rights relative to the size and dispersion of holdings of other shareholders give the Group the power to govern the financial and operating policies etc.

The Group applies the acquisition method of accounting to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The Group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's

proportionate share of the recognised amounts of acquiree's identifiable net assets.

Acquisition-related costs are expensed as incurred. If the business combination is achieved in stages, the acquisition date carrying value of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date; any gains or losses arising from such remeasurement are recognised in profit or loss.

Inter-company transactions, balances, income and expenses on transactions between group companies are eliminated. Profits and losses resulting from intercompany transactions that are recognised in assets are also eliminated. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group

Any contingent consideration to be transferred by the Group is recognised at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration that is deemed to be an asset or liability is recognised in accordance with IAS 39 either in profit or loss or as a change to other comprehensive income. Contingent consideration that is classified as equity is not remeasured, and its subsequent settlement is accounted for within equity.

Goodwill is initially measured as the excess of the aggregate of the consideration transferred and the fair value of non-controlling interest over the net identifiable assets acquired and liabilities assumed. If this consideration is lower than the fair value of the net assets of the subsidiary acquired, the difference is recognised in profit or loss.

Notes (continued)

2. Summary of significant accounting policies (continued)

b) Consolidation

(ii) Changes in ownership interests in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

(iii) Disposal of subsidiaries

When the Group ceases to have control, any retained interest in the entity is remeasured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

(iv) Associates

Associates are all entities over which the Group has significant influence but not control, generally accompanying a shareholding of between 20% and 50% of the voting rights. Investments in associates are accounted for by the equity method of accounting. Under the equity method, the investments are initially recognised at cost, and the carrying amount is increased or decreased to recognise the investor's share of the profit or loss of the investee after the date of acquisition. The Group's investment in associates includes goodwill identified on acquisition.

If the ownership interest in an associate is reduced but significant influence is retained, only a proportionate share of the amounts previously recognised in other comprehensive income is reclassified to profit or loss as appropriate.

The Group's share of its associates' post-acquisition profits or losses is recognised in profit or loss, and its share of post-acquisition movements in other comprehensive income is recognised in other comprehensive income, with a corresponding adjustment to the carrying amount of the investment. When the Group's share of losses in an associate equals or exceeds its interest in the associate, including any other unsecured receivables, the Group does not recognise further losses, unless it has incurred legal or constructive obligations or made payments on behalf of the associate.

The Group determines at each reporting date whether there is any objective evidence that the investment in the associate is impaired. If this is the case, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value and recognises the amount adjacent to 'share of profit/ (loss) of an associate' in the income statement. Dilution gains and losses arising from investments in associates are recognised profit or loss.

Notes (continued)

2. Summary of significant accounting policies (continued)

c) Functional currency and translation of foreign currencies

(i) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The consolidated financial statements are presented in 'Kenyan Shillings (Kshs)', which is the CfC Stanbic Holdings Limited's presentation currency.

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency using exchange rates prevailing at the dates of the transactions or valuation where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

Foreign exchange gains and losses that relate to borrowings and cash and cash equivalents are presented in profit or loss within 'finance income or cost'. All other foreign exchange gains and losses are presented in profit or loss within 'other income' or 'other expenses'.

Translation differences related to changes in amortised cost are recognised in profit or loss, and other changes in carrying amount are recognised in other comprehensive income.

Translation differences on non-monetary financial assets and liabilities, such as equities held at fair value through profit or loss, are recognised in profit or loss as part of the fair value gain or loss. Translation differences on non-monetary financial assets, such as equities classified as available-for-sale financial assets, are included in other comprehensive income.

(iii) Group companies

The results and financial position of all the Group entities (none of which has the currency of a hyperinflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- (i) assets and liabilities for each statement of financial position presented are translated at the closing rate at the end of the reporting period;
- (ii) income and expenses for each income statement amount are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions); and
- (iii) all resulting exchange differences are recognised in other comprehensive income.

Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the closing rate.

d) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker (CODM). The CODM, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Executive Management Board.

All transactions between business segments are conducted on an arm's length basis, with intra-segment revenue and costs being eliminated in head office. Income and expenses directly associated with each segment are included in determining business segment performance.

Notes (continued)

2. Summary of significant accounting policies (continued)

e) Revenue and expenditure

Banking activities

Revenue is derived substantially from the business of banking and related activities and comprises interest income, fee and commission revenue and other non-interest revenue.

Net interest income

Interest income and expense (with the exception of those borrowing costs that are capitalised), are recognised in the income statement on an accrual basis using the effective interest method for all interest-bearing financial instruments, except for those classified at fair value through profit or loss. In terms of the effective interest method, interest is recognised at a rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, where appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability.

Direct incremental transaction costs incurred and origination fees received, including loan commitment fees, as a result of bringing margin-yielding assets or liabilities into the statement of financial position, are capitalised to the carrying amount of financial instruments that are not at fair value through profit or loss and amortised as interest income or expense over the life of the asset or liability as part of the effective interest rate.

Where the estimates or receipts on financial assets (except those that have been reclassified) are subsequently revised, the carrying amount of the financial asset is adjusted to reflect actual and revised estimated cash flows. The carrying amount is calculated by computing the present value of the estimated cash flows at the financial asset's original effective interest rate. Any adjustment to the carrying value is recognised in interest income.

Where financial assets have been impaired, interest income continues to be recognised on the impaired value based on the original effective interest rate.

Gains and losses on the disposal of dated financial instruments, including amounts removed from other comprehensive income in respect of available-for-sale financial assets, and excluding those classified as held for trading, are included in other revenue.

Non-interest revenue

Net fee and commission revenue

Fee and commission revenue, including transactional fees, account servicing fees, investment management fees, sales commission, placement fees and syndication fees are recognised as the related services are performed. Loan commitment fees for loans that are not expected to be drawn down are recognised on a straight-line basis over the commitment period.

Loan syndication fees, where the Group does not participate in the syndication or participates at the same effective interest rate for comparable risk as other participants, are recognised as revenue when the syndication has been completed. Syndication fees that do not meet these criteria are capitalised as origination fees and amortised as interest income.

The fair value of issued financial guarantee contracts on initial recognition is amortised as income over the term of the contract.

Fee and commission expense included in net fee and commission revenue are mainly transaction and service fees relating to financial instruments, which are expensed as the services are received.

Trading revenue

Trading revenue comprises all gains and losses from changes in the fair value of trading assets and liabilities, together with related interest income, expense and dividends.

Other revenue

Other revenue includes gains and losses on equity instruments designated at fair value through profit or loss, gains and losses on realised undated available-for-sale financial assets, dividends relating

Notes (continued)

2. Summary of significant accounting policies (continued)

e) Revenue and expenditure (continued)

to those financial instruments and underwriting profit from the Group's short-term insurance operations and related insurance activities.

Net income from financial instruments designated at fair value includes all gains and losses from changes in the fair value of undated financial assets and liabilities designated at fair value through profit or loss, including dividend income arising on these financial instruments.

Gains and losses on undated available-for-sale financial assets are transferred from other comprehensive income to profit or loss on realisation of the investments. Dividends on these instruments are recognised in profit or loss.

Gains and losses on all other undated financial instruments that are not held for trading are recognised in other revenue.

Dividend income

Dividends are recognised in profit or loss when the right to receipt is established.

f) Cash and cash equivalents

Cash and cash equivalents disclosed in the statement of cash flows consist of cash and balances with central banks and other short term highly liquid investments with maturities of three months or less including investment securities with original maturities of 90 days or less and balances with other banks. Cash and cash equivalents exclude the cash reserve held with Central Bank of Kenya. Cash and balances with central bank comprise coins and bank notes and balances with central banks. Cash flows arising from operating funds are stated after excluding the impact of foreign currency translation differences on asset and liability classes.

g) Financial instruments

Financial instruments include all financial assets and liabilities held for liquidity, investment, trading or hedging purposes.

All financial instruments are initially recognised at fair value plus directly attributable transaction costs, except those carried at fair value through profit or loss where transaction costs are recognised immediately in profit or loss. Financial instruments are recognised (derecognised) on the date the Group commits to purchase (sell) the instruments (trade date accounting).

Subsequent to initial measurement, financial instruments are measured either at fair value or amortised cost, depending on their classification.

(i) Classification

Held-to-maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has both the positive intent and ability to hold to maturity. Were the Group to sell more than an insignificant amount of held-to-maturity assets, the entire category would be tainted and reclassified as available-for-sale assets with the difference between amortised cost and fair value being accounted for in other comprehensive income.

Held-to-maturity investments are carried at amortised cost, using the effective interest method, less any impairment losses.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than those classified by the Group as at fair value through profit or loss or available-for-sale. This category includes purchased loans.

Notes (continued)

2. Summary of significant accounting policies (continued)

g) Financial instruments (continued)

Loans and receivables (continued)

Loans and receivables are measured at amortised cost using the effective interest method, less any impairment losses. Origination transaction costs and origination fees received that are integral to the effective rate are capitalised to the value of the loan and amortised through interest income as part of the effective interest rate. The majority of the Group's advances are included in the loans and receivables category.

Financial assets and liabilities designated at fair value through profit or loss

This category comprises two sub-categories: financial assets classified as held for trading, and financial assets designated by the Group as at fair value through profit or loss upon initial recognition. A financial asset is classified as held for trading if it is acquired or incurred principally for the purpose of selling or repurchasing it in the near term or if it is part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking.

Derivatives are also categorised as held for trading unless they are designated and effective as hedging instruments. All derivatives are carried as assets when fair value is positive and as liabilities when fair value is negative.

The Group designates certain financial assets upon initial recognition as at fair value through profit or loss (fair value option). This designation cannot subsequently be changed and can only be applied when the following conditions are met:

- the application of the fair value option reduces or eliminates an accounting mismatch that would otherwise arise; or
- the financial assets are part of a portfolio of financial instruments which is risk managed and reported to senior management on a fair value basis; or

- the financial assets consist of debt host and an embedded derivatives that must be separated.

Financial instruments included in this category are recognised initially at fair value; transaction costs are taken directly to profit or loss. Gains and losses arising from changes in fair value are included directly in profit or loss and are reported as trading revenue under non-interest revenue.

Interest income and expense and dividend income and expenses on financial assets held for trading are included in trading revenue. Fair value changes relating to financial assets designated at fair value through profit or loss are recognised in profit or loss.

Available-for-sale

Financial assets classified by the Group as available-for-sale are generally strategic capital investments held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices, or non-derivative financial assets that are not designated as another category of financial assets.

Available-for-sale financial assets are subsequently measured at fair value. Unrealised gains or losses arising from changes in the fair value of available-for-sale financial assets are recognised directly in the available-for-sale reserve until the financial asset is derecognised or impaired. When dated (undated) available-for-sale financial assets are disposed of, the cumulative fair value adjustments in other comprehensive income are transferred to interest income (other revenue).

(ii) Recognition and measurement

Regular purchases and sales of financial assets are recognised on the trade date, which is the date on which the Group commits to purchase or sell the asset. Investments are initially recognised at fair value, plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets carried at fair value through profit or loss are initially recognised at fair value, and transaction costs are expensed.

Notes (continued)

2. Summary of significant accounting policies (continued)

g) Financial instruments (continued)

(ii) Recognition and measurement (continued)

Financial assets are derecognised when the rights to receive cash flows from the investments have expired or have been transferred and the Group and Company has transferred substantially all risks and rewards of ownership. Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity financial assets are carried at amortised cost using the effective interest method.

Gains and losses arising from changes in the fair value of the 'financial assets at fair value through profit or loss' category are included in the income statement in the period in which they arise. Dividend income from financial assets at fair value through profit or loss is recognised in profit or loss as part of other income when the Group's right to receive payments is established.

Changes in the fair value of monetary and non-monetary securities classified as available-for-sale are recognised in other comprehensive income.

When securities classified as available-for-sale are sold or impaired, the accumulated fair value adjustments recognised in equity are included in profit or loss.

Interest income, calculated using the effective interest method, is recognised in profit or loss. Dividends received on available-for-sale instruments are recognised in profit or loss when the Group's right to receive payment has been established. Foreign exchange gains or losses on available-for-sale debt instruments are recognised in profit or loss.

(iii) Impairment of financial assets

The Group assesses at each reporting date whether there is objective evidence that a financial asset or Group of financial assets is impaired. A financial asset or Group of financial assets is impaired if

objective evidence indicates that a loss event has occurred after the initial recognition of the asset and that loss event had a negative effect on the estimated future cash flows of the financial asset or Group of financial assets that can be estimated reliably.

Assets carried at amortised cost

The Group first assesses whether there is objective evidence of impairment individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. Retail loans and advances are considered non-performing when amounts are due and unpaid for three months.

Corporate loans are analysed on a case-by-case basis taking into account breaches of key loan conditions.

The impairment of non-performing loans takes account of past loss experience adjusted for changes in economic conditions and the nature and level of risk exposure since the recording of the historic losses. The methodology and assumptions used for estimating future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

When a loan carried at amortised cost has been identified as impaired, the carrying amount of the loan is reduced to an amount equal to the present value of estimated future cash flows, including the recoverable amount of any collateral, discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account and the loss is recognised as credit impairment in profit or loss.

If the Group determines that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses impairment. Assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognised are not included in a collective assessment for impairment.

Notes (continued)

2. Summary of significant accounting policies (continued)

g) Financial instruments (continued)

(iii) Impairment of financial assets (continued)

Impairment of performing loans is only recognised if there is objective evidence that a loss event has occurred after the initial recognition of the financial asset but before the reporting date.

In order to provide for latent losses in a portfolio of loans that have not yet been individually identified as impaired, a credit impairment for incurred but not reported losses is recognised based on historic loss patterns and estimated emergence periods. Loans are also impaired when adverse economic conditions develop after initial recognition, which may impact future cash flows.

Increases in loan impairments and any subsequent reversals thereof, or recoveries of amounts previously impaired, are reflected in profit or loss. Previously impaired advances are written off once all reasonable attempts at collection have been made and there is no realistic prospect of recovering outstanding amounts.

Any subsequent reductions in amounts previously impaired are reversed by adjusting the allowance account with the amount of the reversal recognised as a reduction in impairment for credit losses in profit or loss. Subsequent recoveries of previously written off advances are recognised in profit or loss.

Subsequent to impairment, the effects of discounting unwind over time are treated as interest income.

Impairment losses on financial assets measured at cost are not reversed.

Renegotiated loans

Loans that are either subject to collective impairment assessment or individually significant, and whose terms have been renegotiated are no longer considered to be past due but are reset to performing loan status. Loans whose terms have

been renegotiated are subject to ongoing review to determine whether they are considered impaired or past due.

Available-for-sale financial assets

Available-for-sale financial assets are impaired if there is objective evidence of impairment, resulting from one or more loss events that occurred after initial recognition but before the reporting date, that have a negative impact on the future cash flows of the asset. In addition, an available-for-sale equity instrument is considered impaired if a significant or prolonged decline in the fair value of the instrument below its cost has occurred.

In that instance, the cumulative loss, measured as the difference between the acquisition price and the current fair value, less any previously recognised impairment losses on that financial asset, is transferred from other comprehensive income to profit or loss.

If, in a subsequent period, the amount relating to impairment loss decreases and the decrease can be linked objectively to an event occurring after the impairment loss was recognised in profit or loss, the impairment loss is reversed through profit or loss for available-for-sale debt instruments. An impairment loss in respect of an available-for-sale equity instrument is not reversed through profit or loss but accounted for directly in other comprehensive income.

(iv) Offsetting financial instruments

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is a legally enforceable right to set-off the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted by the accounting standards, or for gains and losses arising from a group of similar transactions.

Notes (continued)

2. Summary of significant accounting policies (continued)

g) Financial instruments (continued)

(v) Derecognition of financial instruments

Financial assets are derecognised when the contractual rights to receive cash flows from the financial assets have expired, or where the Group has transferred its contractual rights to receive cash flows on the financial asset such that it has transferred substantially all the risks and rewards of ownership of the financial asset. Any interest in transferred financial assets that is created or retained by the Group is recognised as a separate asset or liability.

Financial liabilities are derecognised when they are extinguished, i.e. when the obligation is discharged, cancelled or expires.

The Group enters into transactions whereby it transfers assets recognised in its statement of financial position, but retains either all or a portion of the risks or rewards of the transferred assets. If all or substantially all risks and rewards are retained, then the transferred assets are not derecognised. Transfers of assets with retention of all or substantially all risks and rewards include securities lending and repurchase agreements.

When assets are sold to a third party with a concurrent total rate of return swap on the transferred assets, the transaction is accounted for as a secured financing transaction, similar to repurchase transactions.

In transactions where the Group neither retains nor transfers substantially all the risks and rewards of ownership of a financial asset, it derecognises the asset if control over the asset is lost.

The rights and obligations retained in the transfer are recognised separately as assets and liabilities as appropriate. In transfers where control over the asset is retained, the Group continues to recognise the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

(vi) Derivative financial instruments

Derivatives, which comprise solely forward foreign exchange contracts, are initially recognised at fair value on the date the derivative contract is entered into and are subsequently re-measured at their fair value. The derivatives do not qualify for hedge accounting. Changes in the fair value of derivatives are recognised immediately in the income statement. These derivatives are trading derivatives and are classified as a current asset or liability.

h) Financial guarantee contracts

A financial guarantee contract is a contract that requires the Group (issuer) to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

Financial guarantee liabilities are initially recognised at fair value, which is generally equal to the premium received, and then amortised over the life of the financial guarantee. Subsequent to initial recognition, the financial guarantee liability is measured at the higher of the present value of any expected payment, when a payment under the guarantee has become probable, and the unamortised premium.

i) Sale and repurchase agreements and lending of securities

Securities sold subject to linked repurchase agreements are reclassified in the statement of financial position as pledged assets when the transferee has the right by contract or custom to sell or repledge the collateral. The liability to the counterparty is included under deposit and current accounts.

Securities purchased under agreements to resell are recorded as loans granted under resale agreements and included under loans and advances to other banks or customers, as appropriate.

Notes (continued)

2. Summary of significant accounting policies (continued)

i) Sale and repurchase agreements and lending of securities (continued)

The difference between the sale and repurchase price is treated as interest and amortised over the life of the repurchase agreement using the effective interest method.

Securities lent to counterparties are retained in the financial statements and are classified and measured in accordance with the measurement policy above. Securities borrowed are not recognised in the financial statements unless sold to third parties. In these cases, the obligation to return the securities borrowed is recorded at fair value as a trading liability.

Income and expenses arising from the securities borrowing and lending business are recognised on an accrual basis over the period of the transactions.

j) Intangible assets

Goodwill

Goodwill arises on the acquisition of subsidiaries, associates and joint ventures and represents the excess of the consideration transferred over the Company's interest in net fair value of the net identifiable assets, liabilities and contingent liabilities of the acquiree and the fair value of the non-controlling interest in the acquiree.

For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each of the CGUs, or groups of CGUs, that is expected to benefit from the synergies of the combination. Each unit or group of units to which the goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the operating segment level.

Goodwill impairment reviews are undertaken annually or more frequently if events or changes in circumstances indicate a potential impairment. The carrying value of goodwill is compared to the recoverable amount, which is the higher of value in

use and the fair value less costs to sell. Any impairment is recognised immediately as an expense and is not subsequently reversed.

Computer software

Generally, costs associated with developing or maintaining computer software programmes and the acquisition of software licenses are recognised as an expense as incurred. However, direct computer software development costs that are clearly associated with an identifiable and unique system, which will be controlled by the Group and have a probable future economic benefit beyond one year, are recognised as intangible assets.

Capitalisation is further limited to development costs where the Group is able to demonstrate its intention and ability to complete and use the software, the technical feasibility of the development, the availability of resources to complete the development, how the development will generate probable future economic benefits, and the ability to reliably measure costs relating to the development.

Direct costs include software development employee costs and an appropriate portion of relevant overheads.

Subsequent expenditure on computer software is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

Direct computer software development costs recognised as intangible assets are amortised on the straight-line basis at rates appropriate to the expected useful lives of the assets (2 to 10 years), and are carried at cost less accumulated amortisation and accumulated impairment losses. The carrying amount of capitalised computer software is reviewed annually and is written down when impaired.

Notes (continued)

2. Summary of significant accounting policies (continued)

j) Intangible assets (continued)

Other intangible assets

The Group recognises the costs incurred on internally generated intangible assets such as brands, customer lists, customer contracts and similar rights and assets, in profit or loss as incurred. Prepayment assets are recognised for advertising or promotional expenditure until the Group has obtained the right to access the goods purchased or received the services.

The Group capitalises brands, customer lists, customer contracts and similar rights acquired in business combinations.

Capitalised intangible assets are measured at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful lives of intangible assets, not exceeding 20 years, from the date that they are available for use.

Amortisation methods, useful lives and residual values are reviewed at each financial year-end and adjusted, if necessary. There have been no changes in the estimated useful lives from those applied in the previous financial year.

k) Property and equipment

Equipment and owner-occupied properties

Land and buildings comprise mainly branches and offices. All property and equipment is stated at historical cost less depreciation. Historical cost includes expenditure that is directly attributable to the acquisition of these assets.

Subsequent costs are included in the asset's carrying amount or are recognised as a separate asset, as appropriate, only when it is probable that future economic benefits will flow to the Group and

the cost of the item can be measured reliably. Maintenance and repairs, which do not meet these criteria, are recognised in profit or loss as incurred.

Depreciation, impairment losses and gains or losses on disposal of assets are included in profit or loss.

Owner-occupied properties are held for use in the supply of services or for administrative purposes.

Property and equipment are depreciated on the straight-line basis over the estimated useful lives of the assets to their residual values. Land is not depreciated.

Leasehold buildings are depreciated over the period of the lease or over a lesser period, as is considered appropriate.

The assets' residual values and useful lives and the depreciation method applied are reviewed, and adjusted if appropriate, at each financial year-end.

The estimated useful lives of tangible assets for the current financial year are as follows:

Leasehold buildings	The shorter of the lease period or 50
Furniture & fittings	5 - 13 years
Motor vehicles	4 - 5 years
Computer and other computer equipment	3 - 5 years
Office equipment	3 - 13 years

Capitalised leased assets – over the shorter of the lease term or its useful life.

There has been no change to the estimated useful lives from those applied in the previous financial year.

Notes (continued)

2. Summary of significant accounting policies (continued)

l) Impairment of non-financial assets

Intangible assets that have an indefinite useful life and goodwill are tested annually for impairment. Intangible assets that are subject to amortisation and other non-financial assets are reviewed for impairment at each reporting date and tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognised in profit or loss for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. Fair value less costs to sell is determined by ascertaining the current market value of an asset and deducting any costs related to the realisation of the asset.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purposes of assessing impairment, assets that cannot be tested individually are grouped at the lowest levels for which there are separately identifiable cash inflows from continuing use (cash-generating units).

Impairment losses recognised in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the units, and then to reduce the carrying amounts of the other assets in the unit on a pro rata basis.

An impairment loss in respect of goodwill is not reversed. In respect of other non-financial assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed through profit or loss only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment

loss had been recognised.

m) Leases

Group as lessee

Leases, where the Group assumes substantially all the risks and rewards of ownership, are classified as finance leases. Finance leases are capitalised at the inception of the lease at the lower of the fair value of the leased asset and the present value of the minimum lease payments. Lease payments are separated using the interest rate implicit in the lease to identify the finance cost, which is recognised in profit or loss over the lease period, and the capital repayment, which reduces the liability to the lessor.

Leases of assets are classified as operating leases if the lessor retains a significant portion of the risks and rewards of ownership. Payments made under operating leases, net of any incentives received from the lessor, are recognised in profit or loss on a straight-line basis over the term of the lease. When an operating lease is terminated before the lease period has expired, any payment required to be made to the lessor by way of penalty is recognised as an expense in the period in which termination takes place.

Group as lessor

Lease and instalment sale contracts are primarily financing transactions in banking activities, with rentals and instalments receivable, less unearned finance charges, being included in loans and advances in the statement of financial position.

Finance charges earned are computed using the effective interest method, which reflects a constant periodic rate of return on the investment in the finance lease. Initial direct costs and fees are capitalised to the value of the lease receivable and accounted for over the lease term as an adjustment to the effective rate of return.

Notes (continued)

2. Summary of significant accounting policies (continued)

m) Leases (continued)

Group as lessor (continued)

The benefits arising from investment allowances on assets leased to clients are accounted for in tax.

Leases of assets under which the Group retains a significant portion of the risks and rewards of ownership are classified as operating leases. Operating lease income from properties held as investment properties, net of any incentives given to lessees, is recognised on the straight-line basis over the lease term.

When an operating lease is terminated before the lease period has expired, any payment required by the lessee by way of a penalty is recognised as income in the period in which termination takes place.

n) Provisions and contingent liabilities

Provisions are recognised when the Group has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made. Provisions are determined by discounting the expected future cash flows using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the liability.

A provision for restructuring is recognised when the Group has approved a detailed formal plan, and the restructuring either has commenced or has been announced publicly. Future operating costs or losses are not provided for.

A provision for onerous contracts is recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting its obligations under the contract.

The provision is measured at the present value of

the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established, the Group recognises any impairment loss on the assets associated with that contract.

Contingent liabilities include certain guarantees, other than financial guarantees, and letters of credit pledged as collateral security. Contingent liabilities are not recognised in the financial statements but are disclosed in the notes to the financial statements unless they are remote.

o) Employee benefits

(i) Defined contribution plan

The majority of the Group's employees are eligible for retirement benefits under a defined contribution plan. The Group and all its employees also contribute to the National Social Security Fund, which is a defined contribution scheme. A defined contribution plan is a retirement benefit plan under which the Group pays fixed contributions into a separate entity.

The Group has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods.

The assets of all schemes are held in separate trustee administered funds, which are funded by contributions from both the Group and employees. The Group's contributions to the defined contribution schemes are charged to the income statement in the year in which they fall due.

(ii) Defined benefit plan

The Group operates a defined benefit fund, with membership generally limited to employees who were in the employment at specified dates.

The liability recognised in the statement of financial position in respect of the defined benefit plan is the present value of the defined benefit obligation at the reporting date less the fair value of plan assets, together with adjustments for unrecognised actuarial

Notes (continued)

2. Summary of significant accounting policies (continued)

o) Employee benefits (continued)

(ii) Defined benefit plan (continued)

gains or losses and past service costs. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of government securities that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension liability.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions in excess of the greater of 10% of the value of plan assets or 10% of the defined benefit obligation are charged or credited to income over the employees' expected average remaining working lives. Past-service costs, experience adjustments and the effect of changes in actuarial assumptions are recognised as expenses or income in the current year to the extent that they relate to retired employees or past service.

The assets of the plan are held in a separate trustee administered fund. The amount recognised in the statement of financial position represents the present value of the defined benefit obligation as adjusted for unrecognised actuarial gains and losses and unrecognised past service cost, and reduced by the fair value of plan assets.

(iii) Short-term benefits

Short-term benefits consist of salaries, accumulated leave payments, profit share, bonuses and any non-monetary benefits such as medical aid contributions.

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

A liability is recognised for the amount expected to

be paid under short-term cash bonus plans or accumulated leave if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

The share based arrangement is accounted for as equity settled in the consolidated financial statements of the parent. The company measures the services received from the employees, by reference to the grant date fair value, and recognised as an expense over the vesting period, with a corresponding credit to equity.

p) Current income tax

(i) Current income tax

The tax expense for the period comprises current and deferred income tax. Tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of tax laws enacted or substantively enacted at the reporting date. The directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. They establish provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

(ii) Deferred income tax

Deferred income tax is recognised, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements.

However, deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill; deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss.

Notes (continued)

2. Summary of significant accounting policies (continued)

p) Current income tax (continued)

(ii) Deferred income tax (continued)

Deferred income tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the reporting date and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilised.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current income tax assets against current income tax liabilities and when the deferred income taxes assets and liabilities relate to income taxes levied by the same taxation authority on either the same entity or different taxable entities where there is an intention to settle the balances on a net basis.

q) Non-current assets held for sale and disposal groups

Non-current assets, or disposal groups comprising assets and liabilities that are expected to be recovered primarily through sale rather than continuing use are classified as held for sale.

Non-current assets held as investments for the benefit of policyholders as part of the Group's investment management and life insurance activities are not classified as held for sale as ongoing investment management implies regular purchases and sales in the ordinary course of business. Immediately before classification as held for sale, the assets (or components of a disposal group) are

remeasured in accordance with the Group's accounting policies.

Thereafter, the assets (or components of a disposal group) are measured at the lower of their carrying amount and fair value less costs to sell. Impairment losses on initial classification as held for sale and subsequent gains or losses on remeasurement are recognised in profit or loss.

r) Management fees on assets under management

Fee revenue includes management fees on assets under management and administration fees. Management fees on assets under management are recognised over the period for which the services are rendered, in accordance with the substance of the relevant agreements.

Administration fees received for the administration of medical schemes are recognised when the services are rendered.

s) Provisions

Provisions are recognised when the Group has a present legal or constructive obligation as a result of past events, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made.

Employee entitlements to annual leave are recognised when they accrue to employees.

A provision is made for the estimated liability for annual leave and long-service leave as a result of services rendered by employees up to the reporting date.

Notes (continued)

2. Summary of significant accounting policies (continued)

t) Share capital

Ordinary shares are classified as equity. Any premium received over and above the par value of the shares is classified as 'share premium' in equity.

u) Investment property

Property held to earn rental income and/or for capital appreciation that is not owner-occupied is classified as investment property. Investment property includes property under construction or development for future use as investment property.

Investment property is measured initially at cost, including transaction costs. Subsequent to initial recognition, investment property is measured at fair value with fair value changes recognised in profit or loss as investment gains or losses.

The fair value of investment property is based on valuation information at the reporting date. If the valuation information cannot be reliably determined, the Group uses alternative valuation methods such as discounted cash flow projections or recent prices on active markets.

Fair value adjustments on investment property recognised in profit or loss are adjusted for any double-counting arising from the recognition of lease income on the straight-line basis compared to the accrual basis normally assumed in the fair value determination.

When the use of a property changes such that it is reclassified as property and equipment, its fair value at the date of reclassification becomes its cost for subsequent accounting.

v) Dividends on ordinary shares

Dividends are recognised in equity in the period in which they are declared. Dividends declared after the reporting date are disclosed in the dividends note.

w) Fiduciary activities

The Group commonly acts as trustees and in other fiduciary capacities that result in the holding or placing of assets on behalf of individuals, trusts, post-employment benefit plans and other institutions. These assets and the income arising thereon are excluded from these financial statements as they are not assets of the Group.

Notes (continued)

3 Critical accounting estimates and judgements in applying accounting policies

The Group makes estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

a) Impairment losses on loans and advances

The Group reviews its loan portfolios to assess impairment at least on a monthly basis. In determining whether an impairment loss should be recorded in the income statement, the Group makes judgement as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of loans before the decrease can be identified with an individual loan in that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a Group, or national or local economic conditions that correlate with defaults on assets in the Group. Management uses estimates based on historical loss experience for assets with credit risk characteristics and objective evidence of impairment similar to those in the portfolio when scheduling its future cash flows. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience. Management's estimates of future cash flows on individually impaired loans are based on historical loss experience for assets with similar credit risk characteristics. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

b) Fair value of derivatives

The fair value of financial instruments that are not quoted in active markets are determined by using valuation techniques. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of the area that

created them. All models are certified before they are used, and models are calibrated to ensure that outputs reflect actual data and comparative market prices. To the extent practical, models use only observable data, however areas such as credit risk (both own and counterparty), volatilities and correlations require management to make estimates. Changes in assumptions about these factors could affect reported fair value of financial instruments.

c) Impairment of goodwill

The Group tests annually whether goodwill has suffered any impairment, in accordance with the accounting policy stated in Note 2(b). The recoverable amounts of cash-generating units have been determined based on value-in-use calculations. The carrying amount of the goodwill and the key assumptions made are set out in Note 28.

d) Income taxes

Significant judgment is required in determining the Group's provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

e) Impairment of available-for-sale assets

The Group determines that available-for-sale equity investments are impaired when there has been significant or prolonged decline in fair value below its cost. The determination of what is significant or prolonged requires judgement. In making this judgement, the Group evaluates among other factors, the normal volatility in share price. In addition, impairment may be appropriate when there is evidence of deterioration of the financial health of the investee, industry and sector performance, changes in technology and operational and financial cash flows.

Notes (continued)

4 Segmental reporting

The Group is currently organised into two business units – Corporate and Investment Banking (CIB), Personal and Business Banking (PBB). The results of the business units are reviewed regularly by management in order to make decisions about resources to be allocated to segments and assessing segment performance.

The Group is required to produce segmented financial statements i.e. Income Statement and statement of financial position in compliance with IFRS 8.

An operating segment is a component of the Group engaged in business activities, whose operating results are reviewed regularly by management in order to make decisions about resources to be allocated to segments and assessing segment performance. Identification of segments and the measurement of segment results is based on the Group's internal reporting to management.

Management has determined the operating segments based on the reports reviewed by the Managing Director. Management considers the business from client turnover perspective.

The Group has therefore segmented its business as Personal & Business Banking (PBB), Corporate and Investment Banking (CIB). This is in line with Group reporting and decision making reports.

The geographical spread (across borders) is also used as a part of performance analysis.

Personal and Business Banking (PBB)

PBB provides banking services to individual customers and small to medium sized enterprises. The products offered include:

- Mortgage lending – provides residential accommodation loans to individual customers.
- Instalment sales and finance leases – comprises two areas, instalment finance in the consumer market, mainly vehicles, and secondly, finance of vehicles and equipment in the business market.
- Card products – provides card facilities to individuals and businesses.
- Transactional and lending products – transactions in products associated with the various points of contact channels such as ATMs, Internet, and branches. This includes deposit taking activities, electronic banking, cheque accounts and other lending products.

Corporate and Investment Banking (CIB)

CIB provides commercial and investment financial services to larger corporates, financial institutions and international counterparties. The products offered include:

- Global markets – includes foreign exchange and debt securities trading.
- Transactional products and services – includes transactional banking and investor services.
- Investment banking – includes project finance, advisory, structured finance, structured trade finance, corporate lending, primary markets and property finance.
- Wealth Management & Advising

Major Customers

The Group does not have any one major customer that contributes more than 10 percent of its revenues. However the Group has one major customer whose deposits contribute 22% percent of total deposits as at December 2012. The interest expense paid to this customer is reported under the Corporate and Investment Banking segment.

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Notes (continued)

4. Segmental reporting (continued)

Results by business units

	31 December 2012		
	CIB	PBB	Total
	Shs' 000	Shs' 000	Shs' 000
Continuing operations			
Net interest income	3,544,417	2,998,370	6,542,787
Non interest revenue	6,675,612	873,945	7,549,557
Impairments on loans and advances	(70,529)	(564,900)	(635,429)
Staff cost	(1,627,741)	(1,915,646)	(3,543,387)
Operating expenses	(2,926,808)	(2,398,632)	(5,325,440)
Profit before tax	5,594,951	(1,006,863)	4,588,088
Taxation	(1,752,673)	174,476	(1,578,197)
Profit after taxation	3,842,278	(832,387)	3,009,891
Total Assets	107,843,712	35,368,443	143,212,155
Loans and advances	52,157,527	26,326,301	78,483,828
Derivative assets	1,931,831	-	1,931,831
Customer deposits	47,407,214	27,499,549	74,906,763
Property and equipment and prepaid operating lease	1,179,894	1,188,492	2,368,386
Goodwill	9,349,759	-	9,349,759
Intangibles	413,486	620,944	1,034,430
Total liabilities	84,104,837	31,866,430	115,971,267
Borrowings	4,549,403	2,148,328	6,697,731
Derivative liabilities	2,469,648	-	2,469,648
Additions to property and equipment	141,066	142,094	283,160
Additions to intangible assets	7,895	8,256	16,151
Depreciation and amortisation for the year	312,331	324,165	636,496

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Notes (continued)

4. Segmental reporting (continued)

Results by business units (continued)

	31 December 2011			
	CIB	PBB	Insurance	Total
	Shs' 000	Shs' 000	Shs' 000	Shs' 000
Continuing operations				
Net interest income	3,768,484	2,273,540	-	6,042,024
Non interest revenue	4,076,892	679,963	-	4,756,855
Income from associates	43,238	-	-	43,238
Impairments on loans and advances	(139,421)	(513,432)	-	(652,853)
Staff cost	(1,206,166)	(1,741,250)	-	(2,947,416)
Operating expenses	(2,226,270)	(2,216,677)	-	(4,442,947)
Profit before tax	4,316,757	(1,517,856)	-	2,798,901
Taxation	(1,564,711)	404,967	-	(1,159,744)
Profit after taxation	2,752,046	(1,112,889)	-	1,639,157
Discontinued operations				
Profit for the year from discontinued operations	-	-	199,835	199,835
Profit for the year	2,752,046	(1,112,889)	199,835	1,838,992

Total Assets	113,270,424	36,900,591	-	150,171,016
Loans and advances	69,592,607	25,291,989	-	94,884,596
Derivative assets	6,377,410	-	-	6,377,410
Customer deposits	49,604,053	24,403,081	-	74,007,134
Property and equipment	849,969	1,449,233	-	2,299,202
Goodwill	9,349,759	-	-	9,349,759
Intangibles	686,607	686,607	-	1,373,214
Total liabilities	101,357,603	29,484,285	-	130,841,888
Borrowings	4,418,251	2,668,034	-	7,086,285
Derivative liabilities	6,429,260	-	-	6,429,260
Additions to property and equipment	217,336	370,569	-	587,905
Additions to intangible assets	11,218	11,087	-	22,305
Depreciation and amortisation for the year	273,769	297,274	-	571,043

Notes (continued)

5 Financial risk management

Group risk management framework and governance structures

The Group has exposure to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risks
- Operational risks.

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital.

The Board of Directors has overall responsibility for the establishment and oversight of the Group's risk management framework. The Board has established various committees in the operating subsidiaries, including the Asset and Liability (ALCO), Credit and Operational Risk committees, which are responsible for developing and monitoring risk management policies in their specified areas. All Board committees have both executive and non-executive members and report regularly to the Board of Directors of the Group or the respective subsidiary on their activities.

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered. The Group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment, in which all employees understand their roles and obligations.

The Audit and Risk Committees are responsible for monitoring compliance with the Group's risk management policies and procedures, and for reviewing the adequacy of the risk management framework in relation to the risks faced by the Group. The Audit Committees are assisted in these functions by Internal Audit. Internal Audit undertakes both regular and ad-hoc reviews of risk management controls and procedures, the results of which are reported to the Audit Committees.

a) Capital management

The Group's objectives when managing capital, which is a broader concept than the 'equity' on the face of statement of financial position, are:

- To comply with the capital requirements set by the regulator, Capital Markets Authority.
- To safeguard the Group's ability (and its subsidiaries) to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders.
- To maintain a strong capital base to support the development of its business; and
- To comply, at the operating companies level, with capital requirements set by respective regulators such as the Central Bank of Kenya or respective insurance regulators.

Capital management – Company

The Company's objectives when managing capital are to safeguard the Company's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the company may limit the amount of dividends paid to shareholders, issue new shares, or sell assets to reduce debt.

Notes (continued)

5. Financial risk management (continued)

Capital management – Company (continued)

The company monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents.

Total capital is calculated as equity plus net debt.

	2012 Shs'000	2011 Shs'000
Total borrowings	-	-
Less: cash and cash equivalents	(177,680)	(47,453)
Net debt	(177,680)	(47,453)
Total equity	18,039,646	14,180,197
Total capital	17,861,966	14,132,744

The Board of Directors at the subsidiary companies are responsible for monitoring and ensuring compliance with the regulatory framework as established by the regulating bodies, namely Central Bank of Kenya, Capital Markets Authority, Insurance Regulatory Authority and the Nairobi Stock Exchange. This section presents information about the Group's management of capital in the main operating divisions.

Capital management - Group

The Bank's objectives when managing capital, which is a broader concept than the 'equity' on the face of statement of financial position, are:

- To comply with the capital requirements set by the regulator, Central Bank of Kenya;
- To safeguard the Bank's ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- To maintain a strong capital base to support the development of its business.

The Bank monitors the adequacy of its capital using ratios established by the Central Bank of Kenya (CBK), which ratios are broadly in line with those for the Bank for International Settlements (BIS). These ratios measure capital adequacy by comparing the Bank's eligible capital with its statement of financial position assets, off-balance-sheet commitments and market and other risk positions at weighted amounts to reflect their relative risk.

The risk-based approach applies to both on and off- statement of financial position items. The focus of this approach is credit risk, interest rate risk, market risk, operational risk, concentration risk and underlying collateral risk.

The assets are weighted according to broad categories, each being assigned a risk weighting according to the amount of capital deemed to be necessary to support them. Four categories of risk weights (0%, 20%, 50%, and 100%) are applied.

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Notes (continued)

5. Financial risk management (continued)

Capital management - Group (continued)

The bank is required at all times to maintain:

- A regulatory capital of KShs 1 billion as at 31 December 2012;
- A core capital (tier 1) of not less than 8% of total risk weighted assets plus risk weighted off statement of financial position items;
- A core capital (tier 1) of not less than 8% of its total deposit liabilities; and
- A total capital (tier 1 + tier 2) of not less than 12% of its total risk adjusted assets plus risk adjusted off statement of financial position items.

Off-statement of financial position credit related commitments and forwards are converted to credit risk equivalents using credit conversion factors, designed to convert these items into statement of financial position equivalents. The resulting credit equivalent amounts are then weighted for credit risk using the same percentages as for statement of financial position assets.

Tier 1 capital consists of shareholders' equity comprising paid up share capital, share premium and retained earnings less intangible assets, goodwill and investments in subsidiary institutions and equity instruments of other institutions. Tier 2 capital includes the Bank's term subordinated debt and statutory loan loss reserves and cannot exceed tier 1 capital. Statutory loan loss reserves qualifying as tier 2 capital cannot exceed 1.25% of the risk weighted assets total value.

Regulatory capital

	2012 Kshs'000	2011 Kshs'000
Tier 1 capital (Core capital)		
Share capital	3,411,549	2,441,375
Share premium	3,444,639	534,118
Foreign currency translation reserve	(35,105)	-
Retained earnings	10,212,665	7,179,049
Total Tier 1 capital (Core capital)	17,033,748	10,154,542
Tier 2 capital		
Statutory credit risk reserve		124,232
Borrowings	4,197,234	5,077,271
Total Tier 2 capital	4,197,234	5,201,503
Total capital (Tier 1 + Tier 2)	21,230,982	15,356,045
Risk - Weighted assets		
On-balance sheet	77,475,404	72,268,822
Off-balance sheet	5,651,901	8,386,609
Total risk - weighted assets	83,127,305	80,655,431
Capital adequacy ratios		
Core capital / total risk - weighted assets	20.50%	12.59%
Minimum regulatory requirement	8.00%	8.00%
Total capital / total risk - weighted assets	25.50%	19.04%
Minimum regulatory requirement	12.00%	12.00%

Notes (continued)

5. Financial risk management (continued)

b) Credit risk

CfC Stanbic Holdings Group Credit risk management is governed by the Standard Bank Group's overall credit policy guidelines. Respective Credit Risk Management Divisions are responsible for the implementation of these guidelines, which cover compliance with prescribed sanctioning authority levels, avoidance of a high concentration of credit risk and regular review of credit limits. Limits on facilities to counterparties are governed by internal restraints, which restrict large exposures in relation to the capital.

Exposure to credit risk is managed through regular analysis of the ability of borrower and potential borrowers to meet all payment obligations and by aligning credit limits where appropriate. Exposure to credit risk is also managed in part by obtaining collateral and corporate and personal guarantees, but a significant portion is personal lending where no such facilities can be obtained.

The Group takes on exposure to credit risk, which is the risk that a counter-party will cause a financial loss for the Group by failing to discharge an obligation in full when due. Impairment provisions are provided for losses that have been incurred at the reporting date.

Significant changes in the economy, or in the health of a particular industry segment that represents a concentration of the Group's portfolio, could result in losses that are different from those provided for at the statement of financial position date.

Maximum exposure to credit risk before collateral held or other credit enhancements

Financial instruments whose carrying amounts do not represent the maximum exposure to credit risk without taking account of any collateral held or other credit enhancements are disclosed in Note 39.

Credit exposures classified in terms of maturity

	Group		Company	
	2012	2011	2012	2011
	Shs '000	Shs '000	Shs '000	Shs '000
Neither past due nor impaired	142,538,120	176,043,243	153,102	161,846
Past due but not impaired	6,927,215	5,595,203	-	-
Impaired	1,048,363	861,523	-	-
	150,513,698	182,499,969	153,102	161,846

Each subsidiary (operating division) is required to implement the Group credit policies in line with credit approval authorities delegated. Management therefore carefully manages its exposure to credit risk as indicated in the ensuing paragraphs.

Notes (continued)

5. Financial risk management (continued)

b) Credit risk (continued)

Credit risk management

The Bank structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or groups of borrowers, and to industry segments. Such risks are monitored on a revolving basis and are subject to annual or more frequent review. Limits on the level of credit risk by product, industry sector and by country are approved by the Board of Directors.

The exposure to any one borrower including banks is further restricted by sub-limits covering on - and off-statement of financial position exposures and daily delivery risk limits in relation to trading items such as forward foreign exchange contracts. Actual exposures against limits are monitored daily.

(i) Management reporting

A number of reports are prepared as management information on credit risk. Various analysis of the data are done and a variety of reports are prepared on a monthly and quarterly basis. Some of these reports include:

- Monthly Board Credit and Risk Report
- Quarterly Board Audit Report
- Quarterly Board Risk Report
- Regulatory returns
- Half-year results
- Annual financial statements

These reports are distributed to Standard Bank Group controlling divisions, regulators and are available for inspection by authorised personnel.

(ii) Credit risk measurement

Loans and advances

In measuring credit risk of loans and advances to customers and to banks at a counter-party level, the Bank reflects three components:

- the 'probability of default' by the client or counterparty on its contractual obligations;
- current exposures to the counterparty and its likely future development, from which the Bank derives the 'exposure at default'; and
- the likely recovery ratio on the defaulted obligations (the 'loss given default').

These credit risk measurements, which reflect expected loss (the 'expected loss model'), and are required by the Basel Committee on Banking Regulations and the Supervisory Practices are embedded in the Bank's daily operational management. The operational measurements can be contrasted with impairment allowances required under IAS 39, which are based on losses that have been incurred at the reporting date (the 'incurred loss model') rather than expected losses.

Notes (continued)

5. Financial risk management (continued)

Credit risk management (continued)

The Bank assesses the probability of default of individual counterparties using internal rating tools tailored to the various categories of counterparty. They have been developed by the Standard Bank Group and combine statistical analysis with credit officer judgment and are validated, where appropriate, by comparison with externally available data. Clients of the Bank are segmented into five rating classes. The Bank's rating scale reflects the range of default probabilities defined for each rating class. This means that, in principle, exposures migrate between classes as the assessment of their probability of default changes. The rating tools are kept under review and upgraded as necessary. The Bank regularly validates the performance of the ratings and their predictive power with regard to default events.

Collateral

The Bank employs a range of policies and practices to mitigate credit risk. The most traditional of these is the taking of security for funds advanced, which is common practice. The Bank implements guidelines on the acceptability of specific classes of collateral or credit risk mitigation. The principal collateral types for loans and advances are:

- Mortgages over residential properties;
- Charges over business assets such as premises, inventory and accounts receivable;
- Charges over financial instruments such as debt securities and equities.

Longer-term finance and lending to corporate entities is generally secured; revolving individual credit facilities are generally unsecured. In addition, in order to minimise possible credit loss the Bank seeks additional collateral from the counterparty as soon as impairment indicators are noticed for the relevant individual loans and advances. Collateral held as security for financial assets other than loans and advances is determined by the nature of the instrument. Debt securities, treasury and other eligible bills are generally unsecured, with the exception of asset-backed securities and similar instruments, which are secured by portfolios of financial instruments.

(ii) Credit risk measurement (continued)

Derivatives

The Bank maintains strict control limits on net open derivative positions (i.e. the difference between purchase and sale contracts), by both amount and term. At any one time, the amount subject to credit risk is limited to the current fair value of instruments that are favourable to the Bank (i.e. assets where their fair value is positive), which in relation to derivatives is only a small fraction of the contract, or notional values used to express the volume of instruments outstanding. This credit risk exposure is managed as part of the overall lending limits with customers, together with potential exposures from market movements. Collateral or other security is not usually obtained for credit risk exposures on these instruments, except where the Bank requires margin deposits from counterparties.

Settlement risk arises in any situation where a payment in cash, securities or equities is made in the expectation of a corresponding receipt in cash, securities or equities. Daily settlement limits are established for each counterparty to cover the aggregate of all settlement risk arising from the Bank's market transactions on any single day.

Notes (continued)

5. Financial risk management (continued)

Credit risk management (continued)

Credit related commitments

The primary purpose of these instruments is to ensure that funds are available to a customer as required. Guarantees and standby letters of credit, which represent irrevocable assurances that the Bank will make payments in the event that a customer cannot meet its obligations to third parties, carry the same credit risk as loans. Documentary and commercial letters of credit, which are written undertakings by the Bank on behalf of a customer authorising a third party to draw drafts on the Bank up to a stipulated amount under specific terms and conditions, are collateralised by the underlying shipments of goods to which they relate and therefore carry less risk than a direct borrowing.

Commitments to extend credit represent unused portions of authorisations to extend credit in the form of loans, guarantees or letters of credit. With respect to credit risk on commitments to extend credit, the Bank is potentially exposed to loss in an amount equal to the total unused commitments. However, the likely amount of loss is less than the total unused commitments, as most commitments to extend credit are contingent upon customers maintaining specific credit standards. The Bank monitors the term to maturity of credit commitments because longer-term commitments generally have a greater degree of credit risk than shorter-term commitments.

(iii) Impairment and provisioning policy

The internal and external rating systems described above focus more on credit-quality mapping from the inception of the lending and investment activities. In contrast, impairment provisions are recognised for financial reporting purposes only for losses that have been incurred at the reporting date based on objective evidence of impairment. Due to the different methodologies applied, the amount of incurred credit losses provided for in the financial statements are usually lower than the amount determined from the expected loss model that is used for internal operational management and banking regulation purposes.

The impairment provision shown in the statement of financial position at year-end is derived from each of the five internal rating grades. However, the majority of the impairment provision comes from the bottom two gradings (doubtful and loss categories).

The internal rating tool assists management to determine whether objective evidence of impairment exists under IAS 39, based on the following criteria set out by the Bank:

- Delinquency in contractual payments of principal or interest;
- Cash flow difficulties experienced by the borrower (e.g. equity ratio, net income percentage of sales);
- Breach of loan covenants or conditions;
- Initiation of bankruptcy proceedings;
- Deterioration of the borrower's competitive position;
- Deterioration in the value of collateral.

The Bank's policy requires the review of individual financial assets that are above materiality thresholds at least annually or more regularly when individual circumstances require. Impairment allowances on individually assessed accounts are determined by an evaluation of the incurred loss at balance-sheet date on a case-by-case basis, and are applied to all individually significant accounts. The assessment normally encompasses collateral held (including re-confirmation of its enforceability) and the anticipated receipts for that individual account.

Collectively assessed impairment allowances are provided for: (i) portfolios of homogenous assets that are individually below materiality thresholds; and (ii) losses that have been incurred but have not yet been identified, by using the available historical experience, experienced judgment and statistical techniques.

Notes (continued)

5. Financial risk management (continued)

Credit risk management (continued)

(iii) Impairment and provisioning policy (continued)

The Bank has developed models to support the quantification of the credit risk. These rating and scoring models are in use for all key credit portfolios and form the basis for measuring default risks. In measuring credit risk of loan and advances at a counterparty level, the Bank considers three components: (i) the 'probability of default' (PD) by the client or counterparty on its contractual obligations; (ii) current exposures to the counterparty and its likely future development, from which the Bank derive the 'exposure at default' (EAD); and (iii) the likely recovery ratio on the defaulted obligations (the 'loss given default') (LGD). The models are reviewed regularly to monitor their robustness relative to actual performance and amended as necessary to optimise their effectiveness.

These credit risk measurements, which reflect expected loss (the 'expected loss model'), are required by the Basel Committee on Banking Regulations and the Supervisory Practices (the Basel Committee) and are embedded in the Bank's daily operational management. The operational measurements can be contrasted with impairment allowances required under IAS 39, which are based on losses that have been incurred at the reporting date (the 'incurred loss model') rather than expected losses.

a) Probability of default ("PD")

The Bank assesses the probability of default of individual counterparties using internal rating tools tailored to the various categories of counterparty. They have been developed internally and combine statistical historical analysis of loan loss roll rates. They are validated, where appropriate, by comparison with externally available data. The rating methods are subject to and periodic validation and recalibration so that they reflect the latest projection in the light of all actually observed defaults.

b) Exposure at default ("EAD")

EAD is based on the amounts the Bank expects to be owed at the time of default. For example, for a loan this is the face value. For a commitment, the Bank includes any amount already drawn plus the further amount that may have been drawn by the time of default, should it occur.

c) Loss given default/loss severity ("LGD")

Loss given default or loss severity represents the Bank's expectation of the extent of loss on a claim should default occur. It is expressed as percentage loss per unit of exposure. It typically varies by type of counterparty, type and seniority of claim and availability of collateral or other credit support.

There is a clear distinction between the fundamental credit characteristics of the Bank's customer base. This customer base is managed according to the following market segments:

- Corporate and Investment Banking
- Personal and Business Banking

The Bank has established separate credit management functions for each market segment.

Credit exposure to the corporate sector is usually in the form of short and long-term loans and advances but may include exposures arising from derivative contracts. In these sectors, credit risk management is characterised by a close working relationship between the counter-party, the customer relationship team and an independent credit evaluation manager. The credit evaluation manager bases his lending decision on an in-depth knowledge of the counterparty and the industry in which it operates, as well as an assessment of the creditworthiness of the counter-party based on a review of the audited financial statements and underlying risk parameters.

Notes (continued)

5. Financial risk management (continued)

Credit risk management (continued)

(i) Corporate and Investment Banking (CIB)

CIB believes that the use of sophisticated modelling techniques combined with an in-depth knowledge and understanding of each client is essential in properly assessing the credit risk, both initially and on an ongoing basis, of each counterparty with whom it deals.

To this end CIB uses software developed by third party vendors, which is widely used by the banking industry globally, in its credit management process. Expected default frequencies are an important tool in the formal credit assessment process of both new and existing business, and also form the basis for monitoring changes in counterparty credit quality on a day to day basis. Expected default frequencies will continue to be a vital component of credit risk management as the Bank continues to improve credit processes and increases focus on portfolio credit management.

(ii) Personal and Business Banking (PBB)

The bank's business banking (BB) portfolio is segmented into four tiers. Credit exposure for BB customers is in the form of short, long term, and revolving loans and advances. Application scoring techniques are now being applied in the origination, assessment and approval process for loans within specified parameters. Structured / higher value loans for Tier I/II, BB customers are managed through relationship officers supported by an independent credit evaluation manager. The credit evaluation manager bases his lending decision on an in-depth knowledge of the counterparty and the industry in which it operates, as well as an assessment of the creditworthiness of the counterparty based on a review of the audited financial statements and underlying risk parameters.

The underlying methodology for personal banking credit extension is determined by the nature of the product. Application scoring techniques are widely applied in personal loans, vehicle and asset finance, and home loans. In the branch network, credit is extended through a combination of application and behavioural scoring methodologies for low value/high volume loans. Conventional and intuitive methods are applied to loans in excess of scoring limits and these decisions are taken in a centralised credit environment.

A diverse range of performance analysis techniques are applied across product sets in recognition of differing asset and maturity profiles. Defaulting accounts receive prompt attention and in instances where loss is anticipated, they are handled centrally by rehabilitation and recoveries resources within the credit department.

(iv) Credit tailored to customer profile

There is a clear distinction between the fundamental credit characteristics of the Bank's customer base. This customer base is managed according to the following market segments:

- Corporate and Investment Banking
- Personal and Business Banking

A diverse range of performance analysis techniques are applied across product sets in recognition of differing asset and maturity profiles.

Defaulting accounts receive prompt attention and in instances where loss is anticipated, they are handled centrally by rehabilitation and recoveries resources within the credit department.

Notes (continued)

5. Financial risk management (continued)

Credit risk management (continued)

(v) Maximum exposure to credit risk before collateral held or other credit enhancements

Financial instruments whose carrying amounts do not represent the maximum exposure to credit risk without taking account of any collateral held or other credit enhancements are disclosed in Note 39.

The directors are confident in the ability to continue to control and sustain minimal exposure of credit risk to the Bank resulting from both the loan and advances portfolio and debt securities based on the following:

62% of the total maximum exposure is derived from loans and advances to banks and customers (2011: 66%); 18% represents investments in debt securities (2011: 18%).

- 98% of the loans and advances portfolio is categorised in the top two grades of the internal rating system (2011: 99%);
- 90% of the loans and advances portfolio are considered to be neither past due nor impaired (2011: 87%); and
- 98% of all the debt securities, which the Bank has invested in, are issued by the Central Bank of Kenya (2011: 98%).

(vi) Valuation of collateral

The Bank has a panel of valuers who undertake valuation of property and other assets to be used as collateral. The valuers in the panel are qualified professional valuers with adequate experience in the field of property and machinery valuation. All the valuers on the panel provide the Bank with professional indemnity to cover the Bank in case of negligence. The Bank ensures that all properties used as collateral are adequately insured during the term of the loan. Valuation reports on properties are valid for three years after which the property and equipment is revalued.

The Bank holds the following types of collateral as security and other credit enhancements in respect to credit risk exposure.

Personal and Business Banking

Mortgage lending	First ranking legal charge over the property financed.
Instalment sales	Joint registration of vehicles.
Other loans and advances	Debentures over the company's assets, cash cover in cash margin account, first ranking legal charge over both commercial and residential properties, directors' personal guarantees and company guarantees

Corporate and Investment Banking

Corporate lending	All assets debenture over the company's assets, cash cover in cash margin account, first ranking legal charge over both commercial and residential properties, directors' personal guarantees and company guarantees.
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Notes (continued)

5. Financial risk management (continued)

Credit risk management (continued)

(vii) Credit quality

The credit quality of financial assets is managed by the Bank using the Bank's internal credit rating system. The credit rating system utilises both quantitative and qualitative information in arriving at the credit rating. Financial information is used and is key in arriving at the credit rating of individual borrowers. The qualitative information used in generating the credit rating includes quality of management, account operation and the industry in which the customer operates. The key consideration though remains the ability of the customer to meet its financial obligation from its cash flow. The table below summaries the credit quality in terms of maturity:

	2012	2011
	Shs '000	Shs '000
Neither past due nor impaired	59,724,177	59,070,946
Past due but not impaired	6,927,215	5,595,203
Impaired	1,048,363	861,523
Gross	67,699,755	65,527,672

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Notes (continued)

5. Financial risk management (continued)

Credit risk management (continued)

(vii) Credit quality

The table below shows the credit quality by class of loans and advances based on the banks credit rating system.

Loans and advances to customers	Performing Loans			Non - Performing Loans				Total loans 2012 Kshs' 000	Present value of expected cash flows 2012 Kshs' 000
	Normal	Watch	Total performing	Sub-standard	Doubtful	Loss	Total Non-performing		
	2012 Kshs'000	2012 Kshs'000	2012 Kshs'000	2012 Kshs'000	2012 Kshs'000	2012 Kshs'000	2012 Kshs' 000		
Personal and Business Banking									
- Mortgage lending	8,627,670	520,674	9,148,344	166,562	-	-	166,562	9,314,906	153,306
- Instalment sales and finance leases	6,261,210	649,246	6,910,456	101,010	-	103,429	204,439	7,114,895	69,016
- Card debtors	335,109	28,904	364,013		-	41,204	41,204	405,217	-
- Other loans and advances	8,612,887	1,318,324	9,931,211	170,114	-	425,544	595,658	10,526,869	97,346
Corporate and Investment Banking									
- Corporate lending	37,851,323	2,446,045	40,297,368	-	27,840	12,660	40,500	40,337,868	204,928
Total recognised loans and advances to customers	61,688,199	4,963,193	66,651,392	437,686	27,840	582,837	1,048,363	67,699,755	524,596

Notes (continued)

5. Financial risk management (continued)

Credit risk management (continued)

(vii) Credit quality (continued)

Loans and advances to customers	Performing Loans			Non - Performing Loans				Total loans 2011 Kshs' 000	Present value of expected cashflows 2011 Kshs' 000
	Normal	Watch	Total	Sub-	Doubtful	Loss	Total Non-		
	2011 Kshs'000	2011 Kshs'000	performing 2011 Kshs'000	standard 2011 Kshs'000	2011 Kshs'000	2011 Kshs'000	performing 2011 Kshs' 000		
Personal and Business Banking									
- Mortgage lending	8,466,133	289,443	8,755,576	72,200	-	3,370	75,570	8,831,146	61,507
- Instalment sales and finance leases	5,498,705	730,585	6,229,290	114,924	32,503	41,353	188,780	6,418,070	61,177
- Card debtors	350,295	40,659	390,954	-	-	24,874	24,874	415,828	-
- Other loans and advances	9,453,697	483,525	9,937,222	148,635	11,126	274,588	434,349	10,371,571	118,217
Corporate and Investment Banking									
- Corporate lending	33,349,934	6,003,174	39,353,108	637	70,380	66,932	137,949	39,491,057	28,039
Total recognised loans and advances to customers	57,118,764	7,547,386	64,666,150	336,396	114,009	411,117	861,522	65,527,672	268,940

Notes (continued)

5. Financial risk management (continued)

c) Market risk

The Group takes on exposure to market risks, which is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risks arise from open positions in interest rate, currency and equity products, all of which are exposed to general and specific market movements and changes in the level of volatility of market rates or prices such as interest rates, credit spreads, foreign exchange rates and equity prices.

The Board of Directors at each subsidiary has the responsibility of effectively managing the market risk, in compliance with the Group's market risk framework. Further details per main operating divisions are disclosed separately in this section.

Market risk management

Market risk measurement techniques

As part of the management of market risk, the Bank's major measurement technique is value at risk. The Bank applies 'value at risk' methodology (VAR) to its trading and non-trading portfolios, to estimate the market risk of positions held and the maximum losses expected, based upon a number of assumptions for various changes in market conditions. The ALCO sets limits on the value of risk that may be acceptable for the Bank, which are monitored on a daily basis by the Head of Risk.

VAR is a statistically based estimate of the potential loss on the current portfolio from adverse market movements. It expresses the 'maximum' amount the Bank might lose, but only to a certain level of confidence (98%). There is therefore a specified statistical probability (2%) that actual loss could be greater than the VAR estimate.

The use of this approach does not prevent losses outside of these limits in the event of more significant market movements.

As VAR constitutes an integral part of the Bank's market risk control regime, VAR limits are established by the Board annually for all trading non-trading portfolios. Actual exposure against limits, together with a Bank-wide VAR, is reviewed daily by the Bank's Treasury.

(a) Foreign exchange risk

The quality of the VAR model is continuously monitored by back-testing the VAR results for trading books. All back-testing exceptions and any exceptional revenues on the profit side of the VAR distribution are investigated.

The Bank takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Asset and Liability Committee sets limits on the level of exposure by currency and in total for both overnight and intra-day positions, which are monitored daily.

The table below indicates the extent to which the Bank was exposed to currency risk as at 31 December on its monetary assets and liabilities denominated in foreign currency. The table shows the sensitivity analysis for each currency to which the Bank has significant exposure and the effect of the change in exchange rate on the income statement.

Notes (continued)

5. Financial risk management (continued)

Market risk management (continued)

(a) Foreign exchange risk (continued)

	Increase in currency rate in %	Effect on profit before tax	Effect on profit after tax	Increase in currency rate in %	Effect on profit before tax	Effect on profit after tax
	2012	2012	2012	2011	2011	2011
Currency		Kshs'000	Kshs'000		Kshs'000	Kshs'000
USD	2.8	15,526	10,868	5	(215,522)	(150,865)
GBP	2.5	266	186	5	(55,680)	(38,976)
EUR	4.3	1,163	814	3	(21,721)	(15,205)
Others	-	-	-	5	2,456	1,719
	Decrease in currency rate in %	Effect on profit before tax	Effect on profit after tax	Decrease in currency rate in %	Effect on profit before tax	Effect on profit after tax
	2012	2012	2012	2010	2010	2010
Currency		Kshs'000	Kshs'000		Kshs'000	Kshs'000
USD	3.1	(16,979)	(11,885)	5	215,522	150,865
GBP	2.7	(287)	(201)	5	55,680	38,976
EUR	4.0	(1,079)	(755)	3	21,721	15,205
Others	-	-	-	5	(2,456)	(1,719)

(b) Interest rate risk

The Bank takes on exposure to the effects of fluctuations in the prevailing levels of market interest rates on both its fair value and cash flow risks. Interest margins may increase as a result of such changes but may reduce or create losses in the event that unexpected movements arise. The Asset and Liability Committee (ALCO) sets limits on the level of mis-match of interest rate repricing that may be undertaken, which is monitored daily.

Furthermore the ALCO monitors the sensitivity of net interest income to changes in interest rates. Limits are set and monitored monthly.

Year ended 31 December 2012

	Increase in basis points	Sensitivity of net interest income	Decrease in basis points	Sensitivity of net interest income
		Shs '000		Shs '000
Currency				
Shs	400	(444,175)	400	298,745
Others	75	17,575	75	(105,619)

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Notes (continued)

5. Financial risk management (continued)

Market risk management (continued)

Year ended 31 December 2011

Currency	Increase in basis points	Sensitivity of net interest income	Decrease in basis points	Sensitivity of net interest income
	Shs '000		Shs '000	
Shs	400	252,220	400	(540,295)
Others	75	39,251	75	(36,692)

d) Liquidity risk

Liquidity risk is the risk that the Group and/or its subsidiaries are unable and or will encounter difficulty in meeting obligations from financial liabilities (meet its payment obligations associated with its financial liabilities) when they fall due. The consequence may be the failure to meet obligations to repay depositors, supplier commitments and fulfil commitments to lend. The Board of Directors at each operating entity (subsidiaries) are responsible for the management of liquidity risk within the business units in compliance with the Group risk framework.

Liquidity risk – Company

A summary of liquidity risk showing matching of financial assets and liabilities at CfC Stanbic Holdings Limited (Company only) is shown in the following table.

31 December 2012

	Up to 1 month Shs'000	1 – 6 Months Shs'000	6 – 12 Months Shs'000	Total Shs'000
Cash and bank balances	177,680	-	-	177,680
Other assets	-	-	3,230	3,230
Balances due from Group companies	-	-	-	-
Total assets	177,680	-	3,230	180,910
Other liabilities	-	-	(101,619)	(101,619)
Balances due to Group companies	-	-	(355,074)	(355,074)
Total liabilities	-	-	(456,693)	(456,693)
Net liquidity gap	177,680	-	(453,463)	(275,783)

Notes (continued)

5. Financial risk management (continued)

Liquidity risk – Company (continued)

31 December 2011	Up to 1 month Shs'000	1 – 6 Months Shs'000	6 – 12 Months Shs'000	Total Shs'000
Cash and bank balances	47,453	-	-	47,453
Other assets	-	-	150,981	150,981
Balances due from Group companies	-	-	10,866	10,866
Total assets	47,453	-	161,847	209,300
Other liabilities	103,296	-	-	103,296
Balances due to Group companies	-	-	220,617	220,617
Total liabilities	103,296	-	220,617	323,913
Net liquidity gap	(55,843)	-	(58,770)	(114,613)

Liquidity risk management - Group

The Bank is exposed to daily calls on its available cash resources from overnight deposits, current accounts, maturing deposits, and calls on cash settled contingencies. The Bank does not maintain cash resources to meet all of these needs as experience shows that a minimum level of reinvestment of maturing funds can be predicted with a high level of certainty.

The Asset and Liability Committee (ALCO) sets limits on the minimum proportion of maturing funds available to meet such calls and on the minimum level of inter-bank and other borrowing facilities that should be in place to cover withdrawals at unexpected levels of demand.

The Bank's liquidity management process, as carried out within the Bank and monitored by a separate team in Treasury, includes:

- Day-to-day funding, managed by monitoring future cash flows to ensure that requirements can be met. These include replenishment of funds as they mature or are borrowed by customers;
- Maintaining a portfolio of highly marketable assets that can easily be liquidated as protection against any unforeseen interruption to cash flow; monitoring statement of financial position liquidity ratios against internal and regulatory requirements; and managing the concentration and profile of debt maturities;
- Monitoring and reporting take the form of cash flow measurement and projections for the next day, week and month, as these are key periods for liquidity management. The starting point for these projections is an analysis of the contractual maturity of the financial liabilities and the expected collection date of the financial assets;
- Treasury also monitors unmatched medium-term assets, the level and type of undrawn lending commitments, the usage of overdraft facilities and the impact of contingent liabilities such as standby letters of credit and guarantees.

The table below presents the cash flows payable by the Bank under financial liabilities by remaining contractual maturities at the reporting date. The amounts disclosed in the table are the contractual undiscounted cash flows, whereas the Bank manages the inherent liquidity risk based on expected undiscounted cash inflows.

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Notes (continued)

5. Financial risk management (continued)

Liquidity risk management – Group (continued)

Assets available to meet all of the liabilities and to cover outstanding loan commitments include cash, central bank balances, items in the course of collection; loans and advances to banks; and loans and advances to customers. In addition, debt securities and treasury and other bills have been pledged to secure liabilities. The Bank would also be able to meet unexpected net cash outflows by selling securities and accessing additional funding sources such as asset-backed markets.

	2012	2012	2012	2012	2012	2012
	Up to	1 – 6	6 - 12	1 - 5	Over	
	1 month	months	months	years	5 years	Total
	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000
Financial assets						
Cash and balances with Central Bank	23,366,583	-	-	-	-	23,366,583
Investment securities	778,092	10,865,000	3,800,163	8,646,017	-	24,089,272
Loans and advances to banks	-	12,333,987	-	-	-	12,333,987
Loans and advances to customers	17,527,535	5,755,726	2,876,542	39,990,038	-	66,149,841
Derivative assets	-	-	1,460,375	471,456	-	1,931,831
	41,672,210	28,954,713	8,137,080	49,107,511	-	127,871,514
Financial liabilities						
Derivative liabilities	958,621	820,708	418,936	271,383	-	2,469,648
Deposits from banks	25,556,484	-	-	-	-	25,556,484
Deposits from customers	60,708,680	11,110,672	3,067,906	19,505	-	74,906,763
Subordinated bonds	-	-	-	4,980,304	1,717,427	6,697,731
Other liabilities	5,963,609	-	-	-	-	5,963,609
Total recognised financial instruments	93,187,394	11,931,380	3,486,842	5,271,192	1,717,427	115,594,235
Net liquidity gap	(51,515,184)	17,023,333	4,650,238	43,836,319	(1,717,427)	12,277,279

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Notes (continued)

5. Financial risk management (continued)

Liquidity risk management – Group (continued)

	2011 Up to 1 month Shs '000	2011 1 – 6 months Shs '000	2011 6 - 12 months Shs '000	2011 1 - 5 years Shs '000	2011 Over 5 years Shs '000	2011 Total Shs '000
Financial assets						
Cash and balances with Central Bank	3,103,632	-	-	-	3,998,955	7,102,587
Investment securities	15,838	306,234	5,509,283	23,819,394	-	29,650,749
Loans and advances to banks	12,611,404	7,351,252	10,743,865	-	-	30,706,521
Loans and advances to customers	16,110,271	2,097,556	1,649,265	24,107,959	46,618,523	90,583,574
Derivative assets	47,792	1,242,229	1,014,690	4,045,057	27,642	6,377,410
	31,888,937	10,997,271	18,917,103	51,972,410	50,645,120	164,420,841
Financial liabilities						
Derivative liabilities	15,849	1,445,689	1,306,036	3,634,044	27,642	6,429,260
Trading liabilities	611,738	-	27,080	-	9,853	648,671
Deposits from banks	24,814,186	-	2,647,916	6,282,387	-	33,744,489
Deposits from customers	52,803,950	20,360,099	1,328,105	3,998	-	74,496,152
Subordinated bonds	-	-	425,091	6,107,085	2,550,625	9,082,801
Other liabilities	7,960,659	-	-	-	-	7,960,659
Total recognised financial instruments	86,206,382	21,805,788	5,734,228	16,027,514	2,588,120	132,362,032
Net liquidity gap	(54,317,445)	(10,808,517)	13,182,875	35,944,896	48,057,001	32,058,809

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6 Interest income

	Group		Company	
	2012	2011	2012	2011
	Shs' 000	Shs' 000	Shs' 000	Shs' 000
Interest on loans, advances and short-term funds	10,038,761	7,408,802	21,535	-
Government securities- available-for-sale	1,463,848	925,084	-	-
Placements and other bank balances	150,567	244,063	-	-
Other	282	25,501	-	-
	11,653,458	8,603,450	21,535	-

7 Interest expense

Current accounts	79,317	87,370	-	-
Savings and deposit accounts	4,196,500	1,705,920	-	-
Deposits and placements from other banks	278,100	148,333	-	-
Other interest-bearing liabilities	556,754	619,803	-	-
	5,110,671	2,561,426	-	-

8 Fee and commission revenue

	Group	
	2012	2011
	Shs' 000	Shs' 000
Account transaction fees	915,132	963,595
Knowledge-based fees and commission	697,716	367,108
Electronic banking fees	346,644	317,847
Foreign currency service fees	188,184	120,246
Documentation and administration fees	239,625	232,748
Other	330,744	349,336
	2,718,045	2,350,880

Notes (continued)

9 Fee and commission expense

	Group	
	2012	2011
	Shs'000	Shs'000
Card based commission	43,399	57,581
Knowledge based fees and commission	56,284	76,426
Other bank - related fees and commission	75,163	121,064
	174,846	255,071

10 Trading revenue

Foreign exchange	3,389,123	1,766,267
Debt securities	1,584,739	747,254
	4,973,862	2,513,521

11 Other revenue

	Group		Company	
	2012	2011	2012	2011
	Shs'000	Shs'000	Shs'000	Shs'000
Gain on disposal of property and equipment	1,123	1,525	-	1,524
Gain on disposal of available for sale investments		110,125	-	-
Gain on disposal of investment in associate		25,178	-	-
Dividend income		-	200,000	220,220
Other revenue	31,373	10,697	-	-
	32,496	147,525	200,000	221,744

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Notes (continued)

12 Non current assets held for sale and discontinued operations

CfC Stanbic Holdings Limited (CSHL) was the holding company of the following main entities; CfC Stanbic Bank Limited (100%); CfC Life Assurance Company Limited (100%); The Heritage Insurance Company Limited (64%); and CfC Financial Services Limited (100%) up to April 2011.

In 2009, CSHL began restructuring its group corporate structure. The restructuring process was completed in April 2011. The consequence of the restructuring was to consolidate the insurance businesses under one holding company, CfC Insurance Holdings Limited (CfCIH) and list CfCIH on the Nairobi Stock Exchange (NSE), separate from CSHL.

The restructuring was broken into five main stages. As at 31 December 2010, the first four stages had been completed and the consolidated financial statements of CSHL at that date reflected the restructuring upto that stage.

The last stage of the restructuring was completed in April 2011 and CfCIH was listed on the Nairobi Securities Exchange in April 2011. This last stage involved CfCIH being demerged from CSHL through a distribution as *dividend in specie* to CSHL's shareholders of the entire shareholding of CSHL in CfCIH.

(a) Results of discontinued operations

Analysis of the income statement of discontinued operations, and the result recognised on the demerger of the insurance entities is as follows:

	2012	2011
	Shs'000	Shs'000
Total income	-	982,301
Total expenses	-	(737,659)
Profit before tax of discontinued operations	-	244,642
Tax expense	-	(44,807)
Profit after tax of discontinued operations	-	199,835

(b) Cashflows as a result of demerged entities

	2012	2011
	Shs '000	Shs '000
Cash	-	(2,489,603)
Treasury bills and bonds	-	(2,143,300)
Loans and advances to customers	-	(340,599)
Increase in net asset value of demerged entities	-	(199,835)
Currency translation differences	-	34,648
Decrease in cash and cash equivalents as a result of demerger	-	(5,138,689)

Notes (continued)

13 Credit impairment charges

	Group	
	2012	2011
	Shs'000	Shs'000
Net credit impairments raised for loans and advances	1,507,628	1,303,827
Recoveries on loans and advances	(872,199)	(650,974)
	635,429	652,853
Comprising:		
Net credit impairment charges for non-performing loans	515,323	162,818
Credit impairments for non-performing loans	1,387,522	813,792
Recoveries on loans and advances	(872,199)	(650,974)
Credit impairments for performing loans	120,106	490,035
	635,429	652,853

14 Staff costs

	Group		Company	
	2012	2011	2012	2011
	Shs'000	Shs'000	Shs'000	Shs'000
Salaries and allowances	3,299,092	2,554,094	-	-
Retirement benefit costs	196,688	171,175	-	-
National Social Security Fund	1,837	2,004	-	-
Other staff costs	45,770	220,143	-	-
	3,543,387	2,947,416	-	-

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Notes (continued)

15 Other operating expenses

	Group		Company	
	2012	2011	2012	2011
	Shs'000	Shs'000	Shs'000	Shs'000
Amortisation - intangible assets	385,314	375,139	-	-
Audit fees	12,755	12,667	1,910	2,877
Depreciation (Note 25)	259,386	195,904	106	1,145
Write off of property and equipment	(2,549)	-	-	-
Directors' fees	11,662	8,553	11,662	8,553
Amortisation of prepaid operating lease (Note 26)	2,954	2,953	-	-
Premises	455,837	345,046	-	-
Information technology and communication	661,593	546,108	-	-
Professional fees	622,226	443,033	3,336	19,200
Marketing and advertising costs	266,860	246,665	-	-
Security expenses	170,664	211,052	-	-
Travel and entertainment costs	305,258	195,875	-	-
Processing costs	9,001	66,832	-	-
Stationery and printing costs	81,217	110,964	-	-
Insurance costs	69,173	90,211	-	-
Administration and membership fees	39,811	19,653	-	-
Training expenses	82,822	90,905	-	-
Bank charges	112,435	115,993	-	-
Deposit Protection Scheme contribution	129,872	116,841	-	-
Other expenses	1,649,149	1,248,553	63,801	69,875
	5,325,440	4,442,947	80,815	101,650

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16 Income tax expense

	Group	
	2012	2011
	Shs'000	Shs'000
Current income tax	1,949,476	1,627,229
Deferred income tax (Note 34)	(371,279)	(467,485)
	1,578,197	1,159,744

The tax on the profit before tax differs from the theoretical amount using the statutory income tax rate as follows:

	Group	
	2012	2011
	Shs'000	Shs'000
Profit before income tax	4,588,088	2,798,901
Tax at statutory tax rate of 30% (2011 – 30%)	1,376,426	839,670
Tax effect of:		
Income not subjected to tax	(181,929)	(52,370)
Expenses not deductible for tax purposes	343,475	195,074
Previous year current income tax under provision	5,512	177,370
Previous year deferred income tax under provision	34,713	-
Income tax expense	1,578,197	1,159,744

17 Earnings per share (Group)

Earnings per share are calculated by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

	Group		Company	
	2012	2011	2012	2011
Earnings (Continuing operations) 'Kshs 000'	3,009,891	1,639,157	140,720	120,094
Earnings (discontinued operations) 'Kshs 000'	-	199,835	-	-
Number of shares				
Weighted average number of ordinary shares for the purpose of basic earnings per share	304,001	273,684	304,001	273,684
Earnings per share basic				
Continuing operations(Kshs)	9.90	5.99	0.46	0.44
Discontinued operations(Kshs)	-	0.73	-	-

The calculation of basic and diluted earnings per share is based on both continuing operations and discontinued operations attributable to the ordinary equity holders of the parent entity.

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18 Cash, bank balances and balances with Central Bank of Kenya

	Group		Company	
	2012	2011	2012	2011
	Shs'000	Shs'000	Shs'000	Shs'000
Cash and bank balances	2,164,066	1,507,194	177,680	47,453
Balances with Central Bank of Kenya	21,202,517	5,597,453	-	-
	23,366,583	7,104,647	177,680	47,453

The cash ratio balance is non-interest earning and is based on the value of deposits as adjusted by the Central Bank of Kenya requirements. These funds are not available to finance the Group's day to day operations.

19 Pledged assets

	Group	
	2012	2011
	Shs'000	Shs'000
Securities pledged as collateral	3,123,196	3,643,897
Debt securities - pledged as collateral	3,123,196	3,643,897

Dated pledged assets had a redemption value at 31 December 2012 of KShs 3,220,500,000 (2011 - KShs 4,098,500,000).

The assets pledged by the Group are strictly for the purpose of providing collateral for counter-party. To the extent that the counter-party is permitted to sell and/or re-pledge the assets, they are classified on the statement of financial position as pledged assets.

These transactions are conducted under terms that are usual and customary to security lending, security borrowings and lending activities.

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Notes (continued)

20 Financial investments

	Group 2012 Shs'000	2011 Shs'000
Financial investments - trading assets (note 20(a))	15,226,024	9,554,983
Financial investments - Fair value through profit or loss (note 20(a))	-	5,359,619
Financial investments - available for sale (note 20(b))	5,714,104	6,876,109
Financial investments - held to maturity (note 20(c))	25,948	28,171
	20,966,076	21,818,882

(a) Financial investments – fair value through profit or loss

Classification	Group 2012 Shs'000	2011 Shs'000
Listed securities-trading	15,226,024	9,554,983
Unlisted securities -Fair value through profit or loss	-	5,359,619
	15,226,024	14,914,602

Maturities

Maturing within 12 months	13,809,681	4,464,213
Maturing after 12 months	1,289,275	10,394,774
Undated securities	127,067	55,615
	15,226,024	14,914,602

The maturities represent periods to contractual redemption of trading assets recorded. Dated trading assets had a redemption value at 31 December 2012 of Kshs 15,434,650,000 (2011 - Kshs 14,875,282,000). Trading assets are debt securities issued by the Central Bank of Kenya on behalf of the Government of Kenya. The weighted average effective interest yield on debt securities held for trading at 31 December 2012 was 16.72% (2011 – 6.9%).

Notes (continued)

20 Financial investments (continued)

(b) Financial investments - available-for-sale

Classification	Group	
	2012	2011
	Shs'000	Shs'000
Listed	5,714,104	6,876,109
Comprising:		
Government securities	4,551,775	6,459,077
Corporate bonds	479,337	417,032
Treasury bills	682,992	-
	5,714,104	6,876,109
Maturity analysis		
Maturing within 12 months	1,309,406	1,034,777
Maturing after 12 months	4,404,698	5,841,332
	5,714,104	6,876,109

The weighted average effective interest yield on available-for-sale investment dated securities at 31 December 2012 was 12.19% (2011 – 12.8%).

(c) Financial investments - held to maturity

	Group	
	2012	2011
	Shs'000	Shs'000
Unlisted	25,948	28,171
Maturity analysis		
Maturing within 12 months	-	-
Maturing after 12 months	25,948	28,171
	25,948	28,171

Notes (continued)

21 Trading liabilities

	2012 Shs'000	2011 Shs'000
Trading liabilities – designated at fair value through profit or loss	-	648,671
	-	648,671
Maturity analysis		
Redeemable on demand	-	-
Maturing within 1 month	-	648,671
	-	648,671

22 Loans and advances

The Group extends advances to the personal, commercial and corporate sectors as well as to the public sector. Advances made to individuals are mostly in the form of mortgages, installment credit, overdrafts and credit card borrowings.

(a) Loans and advances to banks

	Group 2012 Shs '000	2011 Shs '000
Balances with banks	12,333,987	30,627,842

The weighted average effective interest rate during the year for deposits due from banking institutions at 31 December 2012 was 1.01% (2011: 0.26%).

Notes (continued)

22 Loans and advances (continued)

(b) Loans and advances to customers

	Group	
	2012	2011
	Shs '000	Shs '000
Gross loans and advances to customers	67,699,755	65,527,672
Mortgage lending	9,314,680	8,881,421
Term lending	32,901,478	31,207,686
Installment sales	8,985,347	8,922,297
Overdrafts and other demand lending	16,498,250	16,516,268
Credit impairment for loans and advances	1,549,914	1,270,918
Impairments for non-performing loans (Note 22(d))	751,473	592,583
Impairments for performing loans	798,441	678,335
Net loans and advances	66,149,841	64,256,754

Maturity analysis

Redeemable on demand	15,847,793	13,989,342
Maturing within 1 month	204,949	2,100,993
Maturing after 1 month but within 6 months	4,595,332	2,038,961
Maturing after 6 months but within 12 months	2,420,431	1,514,875
Maturing after 12 months	43,081,336	44,612,583
	66,149,841	64,256,754

The weighted average effective interest rate on loans and advances to customers as at 31 December 2012 was 12.25%. (2011:12%).

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Notes (continued)

22 Loans and advances (continued)

(c) Industry analysis

	2012		2011	
	Shs'000	%	Shs'000	%
Agriculture	8,698,228	13%	9,816,341	15%
Manufacturing	8,649,696	13%	9,848,985	15%
Electricity and water	322,159	1%	358,489	1%
Building and construction	987,641	1%	725,589	1%
Wholesale, retail trade and restaurants	16,477,446	25%	8,612,467	13%
Transport and communication	9,406,622	14%	10,550,961	16%
Finance and insurance	1,753,819	3%	2,491,808	4%
Real estate and business service	2,810,203	4%	2,890,538	5%
Other activities and social service	17,044,027	26%	18,961,576	30%
	66,149,841	100%	64,256,754	100%

(d) Impairment reserve for the year ended 31 December 2012

	Non- performing loans	Portfolio impairment	Group Total
	Shs'000	Shs'000	Shs'000
At 1 January 2012	592,583	678,335	1,270,918
Amounts written off during the year as uncollectable	(459,816)	-	(459,816)
Amounts recovered during the year	(768,816)	-	(768,816)
Provision for loans impairment	1,387,522	120,106	1,507,628
Off market loans impairment	-	-	-
At 31 December 2012	751,473	798,441	1,549,914

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Notes (continued)

22 Loans and advances (continued)

(d) Impairment reserve for the year ended 31 December 2011

	Non-performing loans Shs'000	Portfolio impairment Shs'000	Group Total Shs'000
At 1 January 2011	856,504	188,300	1,044,804
Amounts written off during the year as uncollectable	(497,198)	-	(497,198)
Amounts recovered during the year	(580,054)	-	(580,054)
Provision for loans impairment	812,360	490,035	1,302,395
Off market loans impairment	971	-	971
At 31 December 2011	592,583	678,335	1,270,918

(e) Loan impairment charge

	2012 Shs'000	2011 Shs'000
Loans impairment for non-performing loans (note 22 (d))	1,387,522	812,360
Loans impairment for performing loans (note 22 (d))	120,106	490,035
Amounts recovered during the period (note 22 (d))	(768,816)	(580,054)
Recoveries of amounts previously written off	(103,383)	(70,920)
Unwinding of accrual of interest	-	955
Amount written off through income statement	-	477
Net loans impairment charge on loans and advances	635,429	652,853

(f) Impaired loans and advances

	2012 Shs'000	2011 Shs'000
Impaired loans and advances	1,048,363	861,523
Provision for impairment losses (note 22 (d))	(751,473)	(592,583)
Recoverable amount of impaired loans and advances	296,890	268,940
Interest in suspense	190,179	181,925

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Notes (continued)

23 Other assets

	Group		Company	
	2012	2011	2012	2011
	Shs'000	Shs'000	Shs'000	Shs'000
Uncleared effects	1,462,056	1,218,300	-	-
Trade receivables and prepayments	357,849	442,658	-	-
Others	130,920	814,807	3,230	10,950
	1,950,825	2,475,765	3,230	10,950

24 Investment in subsidiaries and associates

Associates

	Group	
	2012	2011
	Shs' 000	Shs' 000
At 1 January	-	100,111
Additions	-	-
Currency translation adjustment	-	-
Share of profit after tax	-	43,238
Dividends	-	(44,016)
Share of fair value (losses)/gains	-	-
Transfer to assets held for distribution	-	-
Disposal of investment	-	(99,333)
At 31 December	-	-

The Group had a beneficial interest of 24.42% in Stanbic Investment Management Services (East Africa) Limited (incorporated in Kenya). The associate was disposed to Liberty Holdings Limited on 1 November 2011, as part of the wider Standard Bank Group restructuring exercise.

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Notes (continued)

24 Investment in subsidiaries and associates (continued)

Subsidiaries

Company	Beneficial ownership	Country of Incorporation	Company 2012	2011
			Shs'000	Shs'000
CfC Stanbic Bank Limited	100%	Kenya	18,009,808	14,129,114
CfC Stanbic Financial Services Limited	100%	Kenya	165,530	165,530
			18,175,338	14,294,644

25 Property and equipment

(a) Group

	Land and premises	Equipment furniture & fittings	Motor vehicles	Work in Progress	Total
Cost / valuation	Shs'000	Shs'000	Shs'000		Shs'000
At 1 January 2012	403,932	3,202,398	169,354	-	3,775,684
Additions	-	291,342	18,624	(26,806)	283,160
Disposals	-	(32)	(4,418)		(4,450)
Work in progress	-	7,824		(29,894)	(22,070)
Foreign currency translation difference	-	2,026	225		2,251
At 31 December 2012	403,932	3,503,558	183,785	(56,700)	4,034,575
Depreciation					
At 1 January 2012	36,863	1,354,087	85,531		1,476,481
Charge for the year	13,161	220,165	26,060	-	259,386
Disposals			(3,963)		(3,963)
At 31 December 2012	50,024	1,574,252	107,628	-	1,731,904
Net book value at 31 December 2012	353,908	1,929,306	76,157	(56,700)	2,302,671

As at 31 December 2012, there were no items of property and equipment pledged by the Group to secure liabilities.

In the opinion of the directors, there is no impairment of property and equipment.

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Notes (continued)

25 Property and equipment (continued)

(b) Group (continued)

	Land and premises	Equipment furniture & fittings	Motor vehicles	Total
Cost / valuation	Shs'000	Shs'000	Shs'000	Shs'000
At 1 January 2011	403,932	2,667,742	130,679	3,202,353
Additions	-	534,731	53,175	587,905
Disposals	-	(75)	(14,500)	(14,575)
At 31 December 2011	403,932	3,202,398	169,354	3,775,683
Depreciation				
At 1 January 2011	23,470	1,196,281	71,500	1,291,251
Charge for the year	13,393	157,806	24,705	195,904
Disposals	-	-	(10,674)	(10,674)
At 31 December 2011	36,863	1,354,087	85,531	1,476,481
Net book value at 31 December 2011	367,069	1,848,311	83,823	2,299,202

As at 31 December 2011, there were no items of property and equipment pledged by the Group to secure liabilities.

In the opinion of the directors, there is no impairment of property and equipment.

Notes (continued)

25 Property and equipment (continued)

(c) Property and equipment (company)

	Computer Equipment Shs '000	Motor vehicles Shs '000	Total Shs'000
Cost			
At 1 January 2012	1,659	-	1,659
At 31 December 2012	1,659	-	1,659
Depreciation			
At 1 January 2012	1,493	-	1,493
Charge for the year	106	-	106
At 31 December 2012	1,599	-	1,599
Net book value at 31 December 2012	60	-	60

(d) Property and equipment (company)

	Computer Equipment Shs '000	Motor vehicles Shs '000	Total Shs'000
Cost			
At 1 January 2011	1,659	14,500	16,159
Disposals		(14,500)	(14,500)
At 31 December 2011	1,659	-	1,659
Depreciation			
At 1 January 2011	1,354	9,667	11,021
Charge for the year	139	1,007	1,146
Disposals	-	(10,674)	(10,674)
At 31 December 2011	1,493	-	1,493
Net book value at 31 December 2011	166	-	166

As at 31 December 2012 and 31 December 2011, there were no items of property and equipment pledged by the Company to secure liabilities.

In the opinion of the directors, there is no impairment of property and equipment.

Notes (continued)

26 Prepaid operating lease

	Group	
Cost	2012	2011
	Shs'000	Shs'000
At 1 January	85,499	85,499
At 31 December	85,499	85,499
Amortisation		
At 1 January	16,830	13,877
Charge for the year	2,954	2,953
At 31 December	19,784	16,830
Net book value at 31 December	65,715	68,669

Notes (continued)

27 Intangible assets

	Software	Other intangible assets	2012 Total
Cost	Shs'000	Shs'000	Shs'000
At 1 January	1,486,193	1,099,059	2,585,252
Additions	16,151	-	16,151
Reclassifications from work in progress	22,069	-	22,069
At 31 December	1,524,413	1,099,059	2,623,472
Amortisation			
At 1 January	766,893	445,145	1,212,038
Charge for the year	246,410	130,594	377,004
At 31 December	1,013,303	575,739	1,589,042
Net book value at 31 December 2012	511,110	523,320	1,034,430

	Software	Other intangible assets	2011 Total
Cost	Shs'000	Shs'000	Shs'000
At 1 January	1,463,888	1,099,059	2,562,947
Additions	22,305	-	22,305
At 31 December	1,486,193	1,099,059	2,585,252
Amortisation			
At 1 January	542,117	294,782	836,899
Charge for the year	224,776	150,363	375,139
At 31 December	766,893	445,145	1,212,038
Net book value at 31 December 2011	719,300	653,914	1,373,214

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Notes (continued)

27 Intangible assets (continued)

The intangible assets arising from the business combination comprise of the following:

	Cost	Useful life
	Shs'000	Years
Trade names	260,000	15
Customer relationships	475,000	5 - 15
Others	364,059	2 - 5
	1,099,059	

28 Intangible assets - goodwill

	Group	
	2012	2011
Cost	Shs '000	Shs '000
At 1 January	9,349,759	10,434,405
Goodwill for demerged insurance entities	-	(1,084,646)
At 31 December	9,349,759	9,349,759

Goodwill relating to CfC Stanbic Holdings Limited was tested for impairment on 31 December 2012. The recoverable amount was determined to be the value in use. Unless indicated otherwise, the value in use in 2012 was determined in a manner consistent with that used in 2011. Key assumptions relating to this valuation include the discount rate and cash flows used to determine the value in use. An eight-year forecast was used as a basis for future cash flows, extrapolated in perpetuity to reflect the long-term plans for the entity, using a nominal growth rate of 12.00% (2011: 16.00%). The pre-tax discount rate used was based on an assessment of the risks applicable to the specific entity and country in which it operates. The cost of equity discount rate calculated for the forecast years was 18.20% % per annum (2011: 20.25%). The cost of equity assigned to the cash-generating unit and used to discount its future cash flows can have a significant effect on its valuation. The cost of equity percentage is derived from an equity pricing model deemed appropriate based on the entity under review. The risk-free rate used to determine the cost of equity has been derived from the 10-year local Kenyan government bond. These variables are established on the basis of management judgement and current market conditions. Management judgement is also applied in estimating the future cash flows of the cash-generating units. These values are sensitive to the cash flows projected for the periods for which detailed forecasts are not available and to the assumptions regarding the long-term sustainability of the cash flows thereafter. Based on the testing performed, no impairment was identified.

Goodwill is allocated to the Group's cash-generating units (CGUs) identified according to operating segment. All the goodwill has been allocated to Corporate Investment Banking (CIB) CGU.

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29 Ordinary share capital (continued)

Authorised share capital	Group and Company	
	Number of shares (thousands)	Ordinary shares Shs '000
Balance as at 1 January 2012	473,684	2,368,421
Additions during the year	-	-
Balance as at 31 December 2012	473,684	2,368,421
Issued ordinary shares		
Balance as at 1 January 2012	273,684	1,368,421
Additions during the year	121,638	608,187
Balance as at 31 December 2012	395,322	1,976,608
Ordinary share premium		
	2012 Shs '000	2011 Shs '000
At January	13,586,847	13,586,847
Issued during the year	3,310,542	-
At 31 December	16,897,389	13,586,847

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30 Derivative assets and liabilities

	2012 Fair values			2011 Fair values		
	Notional contract amount	Assets	Liabilities	Notional contract amount	Assets	Liabilities
Foreign exchange derivatives	5,556,219	14,341	1,660	3,063,775	5,869	12,785
Currency forwards	30,566,418	320,045	1,253,115	44,597,367	3,377,345	3,083,015
Currency swaps	35,173,788	994,634	612,062	34,113,520	663,060	1,002,324
Currency options	531,277,862	136,835	136,835	4,420,647,162	1,465,496	1,465,496
Commodity options	-	-	-	170,000	763,638	763,638
Commodity swaps	-	-	-	8,500	102,002	102,002
Total OTC derivatives	602,574,287	1,465,855	2,003,672	4,502,600,324	6,377,410	6,429,260
Interest rate derivatives						
Cross currency interest rate swaps	6,787,218	465,976	465,976			
Total derivative assets held for trading	609,361,505	1,931,831	2,469,648	4,502,600,324	6,377,410	6,429,260
Current	607,473,738	1,926,351	2,442,315	3,957,921,660	4,447,993	5,041,947
Non current	1,887,767	5,480	27,333	544,678,664	1,929,417	1,387,313

All derivatives are classified as derivatives held for trading.

Fair values

The fair value of a derivative financial instrument represents, for quoted instruments, the quoted market price and for unquoted instruments, the present value of the positive or negative cash flows, which would have occurred if the rights and obligations arising from that instrument were closed out in an orderly market place transaction at year end.

Notional amount

The gross notional amount is the sum of the absolute value of all bought and sold contracts. The amount cannot be used to assess the market risk associated with the position and should be used only as a means of assessing the Group's participation in derivative contracts.

Use and measurement of derivative instruments

In the normal course of business, the Group enters into a variety of derivative transactions for both trading purposes. Derivative financial instruments are entered into for trading purposes and for hedging foreign exchange exposures. Derivative instruments used by the Group in both trading and hedging activities include forwards and other similar types of instruments based on foreign exchange rates and interest rates.

Notes (continued)

31 Deposits and current accounts

Deposit products include cheque accounts, savings accounts, call and notice deposits, fixed deposits and negotiable certificates of deposit.

	2012	2011
	Shs'000	Shs'000
Deposits from banks	25,556,484	33,674,186
Deposits from customers	74,906,763	74,007,134
Current accounts	45,733,131	37,302,464
Call deposits	9,222,257	5,567,683
Savings accounts	8,166,396	2,027,687
Term deposits	11,784,979	29,109,300
	100,463,247	107,681,320

Maturity analysis of deposits from customers

The maturity analysis is based on the remaining periods to contractual maturity from year end.

	Group	
	2012	2011
	Shs'000	Shs'000
Repayable on demand	45,733,131	45,016,369
Maturing within 1 month	9,222,257	622,116
Maturing after 1 month but within 6 months	9,645,398	11,028,070
Maturing after 6 months but within 12 months	2,112,448	11,533,202
Maturing after 12 months	8,193,529	5,807,377
	74,906,763	74,007,134

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32 Borrowings

At 31 December 2012

	Notional value Kshs'000	Carrying value Kshs'000	Interest Rate	Date of Issue	Maturity date
CfC Stanbic Bond	2,402,093	2,391,451	12.50%	07 July 2009	07 July 2016
CfC Stanbic Bond	97,907	96,896	182 day T-bill+175 bps	07 July 2009	07 July 2016
CfC Stanbic Bond	2,500,000	2,500,497	7.25%	27 December 2010	22 December 2014
IFC Loan*	850,000	850,149	6 Month LIBOR+400 bps	15 June 2009	30 June 2019
Shareholders' loan	850,000	858,738	3 Month LIBOR+300 bps	30 June 2008	30 June 2018
Total	6,700,000	6,697,731			

* IFC - International Finance Corporation

At 31 December 2011

	Notional value Kshs'000	Carrying value Kshs'000	Interest Rate	Date of Issue	Maturity date
CfC Stanbic Bond	2,402,093	2,389,205	12.50%	07 July 2009	07 July 2016
CfC Stanbic Bond	97,907	96,388	182 day Treasury Bill + 175bps	07 July 2009	07 July 2016
CfC Stanbic Bond	2,500,000	2,500,497	7.25%	27 December 2010	22 December 2014
CfC Bond	400,000	400,000	91 day Treasury Bill + 175bps	31 October 2005	31 October 2012
IFC Loan*	850,000	850,112	6 month libor + 400bps	15 June 2009	30 June 2019
Shareholders' loan	850,000	850,083	3 Month libor + 300bps	30 June 2008	30 June 2018
Total	7,100,000	7,086,285			

The shareholder loan was obtained from Stanbic Africa Holdings Limited on 30 June 2008 and has a 10-year term, but is callable at the option of the issuer one day after the fifth anniversary of the issue date or on any interest payment date thereafter.

The weighted average effective interest rate on borrowings as at 31 December 2012 was 10.23% (2011 was 8.45%).

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33 Other liabilities

	Group		Company	
	2012	2011	2012	2011
	Shs'000	Shs'000	Shs'000	Shs'000
Sundry creditors and accruals	2,231,086	1,072,952	101,619	52,198
Margin on guarantees and letters of credit	1,074,790	5,338,495	-	-
Unpresented bank drafts	141,748	121,557	-	-
Other liabilities	2,515,984	1,875,625	-	51,098
	5,963,608	8,408,629	101,619	103,296

34 (a) Current income tax recoverable

	Group		Company	
	2012	2011	2012	2011
	Shs'000	Shs'000	Shs'000	Shs'000
At January	158,846	158,846	140,031	140,031
Income tax recoverable	158,846	158,846	140,031	140,031

34 (b) Current income tax payable

At January	587,723	246,827	-	-
Exchange difference on translation	(7,470)	-	-	-
Tax charge (Note 16) - Current Year	1,949,476	1,627,229	-	-
Income taxation paid	(2,152,696)	(1,286,333)	-	-
	377,033	587,723	-	-

34 (c) Deferred tax asset / (liability)

	2012	2011
	Shs'000	Shs'000
At start of year	616,128	(200,443)
Charge to income statement (note 16)	371,279	467,485
Charge to other comprehensive income	(509,012)	684,424
Consolidation adjustment	-	(333,900)
Eliminated on deconsolidation	-	(1,438)
At end of year	478,395	616,128

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34 (c) Deferred tax asset / (liability) (continued)

	1.1.2012	Credited to income statement	Credited to OCI	31.12.2012
	Shs'000	Shs'000	Shs'000	Shs'000
Year ended 31 December 2012				
Arising from:				
Property and equipment	(185,622)	22,132	-	(163,490)
Unrealised gain on bonds	538,960	91,000	(509,012)	120,948
Portfolio impairment	192,619	175,113	-	367,732
Revaluation surplus	(36,779)	-	-	(36,779)
Other provisions	307,307	41,362	-	348,669
Group intangible assets	(200,357)	41,672	-	(158,685)
Net deferred asset / (liability)	616,128	371,279	(509,012)	478,395

	1.1.2011	Consolidation adjustment	Credited / (charged) to income statement	Charged to OCI	Net assets held for distribution	31.12.2011
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Year ended 31 December 2011						
Arising from:						
Property and equipment	(236,228)	-	50,606	-	-	(185,622)
Unrealised gain on bonds	(199,414)	-	53,950	684,424	-	538,960
Portfolio impairment	65,277	-	127,342	-	-	192,619
Revaluation surplus	(36,779)	-	-	-	-	(36,779)
Other provisions	206,701	-	102,044	-	(1,438)	307,307
Group intangible assets	-	(333,900)	133,543	-	-	(200,357)
Net deferred (liability) / asset	(200,443)	(333,900)	467,485	684,424	(1,438)	616,128

Notes (continued)

35 Notes to the cashflow statement

(a) Reconciliation of profit before taxation to net cash generated from operating activities

	Group	
	2012	2011
	Shs'000	Shs'000
Profit before taxation	4,588,088	2,798,901
Depreciation (Note 25(a))	259,386	195,904
Amortisation of intangible asset (Note 27)	377,004	375,139
Amortisation of operating lease prepayments (Note 26)	2,953	2,953
Profit on sale of equipment	(3,672)	(1,525)
Fair value adjustment for derivative assets and liabilities	485,969	81,357
Share of results of associates	-	(43,238)
Share based payment reserve	30,552	32,805
Gain on disposal of associate	-	(25,178)
	5,740,280	3,417,118

Notes (continued)

35 Notes to the cashflow statement (continued)

(b) Analysis of balances of cash and cash equivalents as shown in the statement of financial position and notes

	2012	2011
	Shs '000	Shs '000
Cash, banks and Central Bank of Kenya balances	19,533,516	3,105,692
Treasury bills and bonds	-	413,559
Loans and advances to banks	10,884,906	30,627,842
Deposits from banks	(24,608,653)	(33,674,186)
	5,809,769	472,907

For the purposes of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from banks repayable within three months from the date of the advances.

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Notes (continued)

36 Fair value of financial instruments

The table below analyses financial instruments carried at fair value, by level of fair value hierarchy. The different levels are defined as follows:

Level 1	quoted prices in active markets for identical assets or liabilities.
Level 2	inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly.
Level 3	inputs for the asset or liability that are not based on observable market data (unobservable inputs)

		Level 1	Level 2	Level 3	Total
	Note	Kshs'000	Kshs'000	Kshs'000	Kshs'000
At 31 December 2012					
Assets					
Trading assets	20	127,067	15,098,957	-	15,226,024
Financial investments	20	-	5,740,052	-	5,740,052
Pledged assets	19	-	3,123,196	-	3,123,196
		127,067	23,962,205	-	24,089,272
Comprising:					
Held-for-trading	20	127,067	15,098,957	-	15,226,024
Designated at fair value through profit or loss		-	-	-	-
Available-for-sale	20	-	8,863,248	-	8,863,248
		127,067	23,962,205	-	24,089,272
Derivative assets	30	-	1,931,831	-	1,931,831
		-	1,931,831	-	1,931,831
Comprising:					
Held-for-trading		-	1,931,831	-	1,931,831
		-	1,931,831	-	1,931,831
Liabilities					
Trading liabilities	21	-	-	-	-
		-	-	-	-
Comprising:					
Designated at fair value through profit or loss		-	-	-	-
		-	-	-	-
Derivative liabilities	30	-	2,469,648	-	2,469,648
		-	2,469,648	-	2,469,648
Comprising:					
Designated at fair value through profit or loss		-	2,469,648	-	2,469,648
		-	2,469,648	-	2,469,648

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Notes (continued)

36 Fair value of financial instruments (continued)

		Level 1	Level 2	Level 3	Total
	Note	Kshs'000	Kshs'000	Kshs'000	Kshs'000
At 31 December 2011					
Assets					
Trading assets	20	39,864	14,874,738	-	14,914,602
Financial investments	20	-	6,904,280	-	6,904,280
Pledged assets	19	-	3,643,897	-	3,643,897
		39,864	25,422,915	-	25,462,779
Comprising:					
Held-for-trading	20	39,864	9,515,119	-	9,554,983
Designated at fair value through profit or loss	20	-	5,359,619	-	5,359,619
Available-for-sale		-	10,520,006	-	10,520,006
		39,864	25,394,744	-	25,434,608
Derivative assets					
	30	-	6,377,410	-	6,377,410
	-		6,377,410	-	6,377,410
Comprising:					
Held-for-trading		-	6,377,410	-	6,377,410
	-		6,377,410	-	6,377,410
Liabilities					
Trading Liabilities	21	-	648,671	-	648,671
Derivative liabilities	30		6,429,260	-	6,429,260
		-	7,077,931	-	7,077,931
Comprising:					
Designated at fair value through profit or loss		-	648,671	-	648,671
Held-for-trading			6,429,260	-	6,429,260
		-	7,077,931	-	7,077,931

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Notes (continued)

37 Related party transactions

CfC Stanbic Holdings Limited is a subsidiary of Stanbic Africa Holdings Limited (SAHL), incorporated in the United Kingdom. The ultimate parent of SAHL is Standard Bank Group Limited, which is incorporated in South Africa. There are other companies which are related to CfC Stanbic Group through common shareholdings or common directorships. In the normal course of business, nostro and vostro accounts are operated and placing of both foreign and local currencies are made with the parent company and other Group companies at interest rated in line with the market. The relevant balances are as shown below:

Group

	2012	2011
	Shs ' 000	Shs ' 000
Amounts due from the Standard Bank Group	2,263,443	26,538,493
Interest income earned on the above	195,357	462,119
Amounts due to the Standard Bank Group	1,484,593	1,135,265
Interest expenses incurred on the above	150,453	67,005

Company

Amounts due from CfC Insurance Holdings limited	-	10,866
Amounts due to group companies	355,074	220,617

Loans and advances

Included in loans and advances are amounts advanced to certain companies in which directors are involved either as shareholders or directors (associated companies). In addition, there are contingent liabilities including guarantees and letters of credit, which have been issued to associated companies. The balances as at 31 December 2012 are as shown below:

Directors' associated companies

	2012	2011
	Shs '000	Shs '000
At 1 January	1,127,466	1,921,377
Net movement for the year	(731,856)	(793,911)
At 31 December	395,610	1,127,466

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Notes (continued)

37 Related party transactions (continued)

Employees

	2012	2011
	Shs '000	Shs '000
At 1 January	2,444,131	1,711,726
Net movement for the year	156,862	732,405
At 31 December	2,600,993	2,444,131

These loans and advances are performing and adequately secured.

Deposits

	2012	2011
	Shs '000	Shs '000
At 1 January	327,495	1,699,094
Net movement for the year	398,668	(1,371,599)
At 31 December	726,163	327,495

Key management compensation

	2012	2011
	Shs '000	Shs '000
Salaries and other short-term employment benefits	463,101	298,483
Directors' remuneration		
Fees for services as directors	11,485	8,553
Other emoluments (included in key management compensation above)	70,915	57,847
	82,400	66,400

Contingent liabilities at 31 December 2012 include contingencies on behalf of companies associated to the directors of Shs 1,192,187,000(2011 - Shs 1,365,489,000).

The Group incurred the following related party expenses:

	2012	2011
	Kshs'000	Kshs'000
Franchise fees	405,101	305,819
Information technology	99,123	215,070
Other operating costs	18,226	30,982
	522,450	551,871

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Notes (continued)

38 Retirement benefit liability

The Group operates a retirement benefit arrangement known as the Stanbic Bank Kenya Staff Pension and Life Assurance Scheme ('the Scheme'), which has been inherited by the Group on the acquisition of Stanbic Bank Kenya Limited.

After the merger in June 2008 ("Effective Date") of CfC Bank Limited and Stanbic Bank Kenya Limited, there have been effectively two schemes in operation running parallel to each other; namely Stanbic Bank Kenya Limited Staff Retirement Benefits Scheme ("SBK Scheme") and the CfC Bank Limited Staff Retirement Benefits Scheme ("CfC Scheme").

The CfC Bank Limited Staff Retirement Benefits Scheme was incorporated in 1 January 1975 and it operates on a defined contribution basis.

Until 30 September 2001, the Stanbic Bank Kenya Staff Pension and Life Assurance Scheme operated on a "defined benefits" basis. With effect from 1 October 2001, the Trustees of the Scheme resolved to convert the Scheme to operate on a "defined contribution" basis in respect of the active in-service members. In compliance with the provisions of the Trust Deed and Rules of the Scheme, the Bank (sponsoring employer) gave its approval to the conversion. Under a defined contribution basis, the quantum of benefits received by the member at retirement or earlier exit depend on the actual contributions paid plus interest declared on the actual contributions to the date of retirement or earlier exit.

With effect from 1 October 2001 all the active in-service members were transferred to the defined contribution fund with the actuarial reserves / liabilities calculated on the defined benefits basis as at 30 September 2001 forming the opening balances in the members' defined contribution fund credit.

Pensions have continued to be paid to existing pensioners from the Scheme Fund and the terms for benefit provision to deferred pensioners have been retained on a defined benefits basis. Accordingly, the pension benefits payable to all the existing pensioners and deferred pensioners will continue to be met from the resources of the Scheme Fund. The consulting actuaries carried out an actuarial review of the Scheme as at 31 December 2012 and that valuation revealed the following financial position:

	2012	2011
	Shs'000	Shs'000
Present value of funded obligations	95,637	81,579
Fair value of plan assets	(106,019)	(88,356)
Present value of unfunded obligations/(over funding)	(10,382)	(6,777)
Unrecognised actuarial remeasurements	14,898	11,758
Liability or asset in the statement of financial position	4,516	4,981

The movement in the defined benefit obligation over the year was as follows:

At start of year	81,579	103,738
Current service cost	816	1,288
Interest cost	9,866	9,756
Actuarial remeasurements	15,560	(19,559)
Benefits paid	(12,184)	(13,644)
At end of year	95,637	81,579

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Notes (continued)

38 Retirement benefit liability (continued)

The movement in the fair value of the plan assets is as follows:

	2012 Kshs'000	2011 Kshs'000
At start of year	88,356	113,271
Expected return on scheme assets	8,226	10,645
Actuarial re-measurements	21,621	(21,916)
Benefits and expenses paid	(12,184)	(13,644)
At end of year	106,019	88,356

Plan assets comprise:

	2012		2011	
	Shs'000	%	Shs'000	%
Equity instruments	17,045	16	12,038	14
Debt instruments	40,878	39	42,012	47
Property and other	48,096	45	34,306	39
	106,019	100	88,356	100

The amounts that should be recognised in the income statement for the year are as follows:

	2012 Kshs'000	2011 Kshs'000
Current service cost	816	1,288
Interest cost	9,866	9,756
Net actuarial (gain) /loss recognised in the year	(2,922)	-
Expected return on plan assets	(8,226)	(10,645)
	(466)	399

The principal actuarial assumptions used in 2012 were as follows:

Rate of return on investments/discount rate	10%/12% p.a. compound
Rate of pension increases	0% p.a.
Mortality in retirement	a(55) Males/Females Ultimate
Mortality in deferment	A1949/52 Ultimate

Five year summary

	2012 Kshs'000	2011 Kshs'000	2010 Kshs'000	2009 Kshs'000	2008 Kshs'000
Present value of defined benefit obligation	95,637	81,579	103,738	105,675	105,633
Fair value of plan assets	(106,019)	(88,356)	(113,271)	(107,211)	(103,401)
(Surplus)/deficit in plan	(10,382)	(6,777)	(9,533)	(1,536)	2,232

Notes (continued)

39 Contingent liabilities

	2012	2011
	Shs'000	Shs'000
Commitments with respect to:		
Irrevocable letters of credit	4,508,450	2,957,900
Irrevocable unutilised facilities	25,947,649	37,416,158
Guarantees	5,719,668	8,971,675
Acceptances	3,250,883	3,492,993
	39,426,650	52,838,726

Nature of contingent liabilities

Letters of credit commit the Group to make payments to third parties, on production of documents, which are subsequently reimbursed by the customers.

Guarantees are generally written by a Group to support performance by a customer to third parties. The bank will only be required to meet these obligations in the event of customers' default.

An acceptance is an undertaking by the Group to pay a bill of exchange drawn on a customer. The Group expects most of the acceptances to be presented, and to be reimbursed by the customer almost immediately.

40 Other reserves

	Group	
	2012	2011
	Shs '000	Shs '000
Statutory reserve	(202,078)	(77,846)
Fair value reserve	199,038	(988,656)
Currency translation reserve	(35,105)	-
Share based payment reserve	95,751	65,199
Revaluation reserve	85,819	85,819
At end of year	143,425	(915,484)

The revaluation reserve represents solely the surplus on the revaluation of buildings and freehold land net of deferred income tax and is non-distributable.

Fair value reserve represents the surplus or losses arising on fair valuation of available for sale financial instruments.

Currency translation reserve represents exchange differences arising on the translation of the net investment in foreign entities.

Notes (continued)

40 Other reserves (continued)

The statutory reserve represents an appropriation from retained earnings to comply with the Central Bank of Kenya's Prudential Regulations. The balance in the reserve represents the excess of impairment provisions determined in accordance with the Prudential Regulations over the impairment provisions recognised in accordance with the Company's accounting policy. The reserve is not distributable.

The group's share incentive scheme enables key management personnel and senior employees of the group to benefit from the performance of Standard Bank Group (SBG) shares.

The group has two equity-settled schemes, namely the Group Share Incentive Scheme and the Equity Growth Scheme. The Group Share Incentive Scheme confers rights to employees to acquire ordinary shares at the value of the SBG share price at the date the option is granted. The Equity Growth Scheme represents appreciation rights allocated to employees. The eventual value of the right is effectively settled by the issue of shares equivalent in value to the value of the rights.

As at 31 December 2012, the total amount included in share based payment reserve for Group Share Incentive Scheme was Shs 86,344,000 (2011 - Shs 58,791,000) and for Equity Growth Scheme was Shs 9,406,000 (2011 - Shs 6,408,000).

The share based arrangement is accounted for as equity settled in the consolidated financial statements of the parent. The company measures the services received from the employees, by reference to the grant date fair value, and recognised as an expense over the vesting period, with a corresponding credit to equity.

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Shareholding

The ten largest shareholdings in the company and the respective number of shares held at 31 December 2012 are as follows:

Name	Number of shares held	Shareholding (%)
Stanbic Africa Holdings Ltd. (UK)	163,715,735	41.41
CfC Stanbic Nominees (K) Ltd non-resident account 00901	73,477,246	18.59
African Liason and Consultant Services Ltd	43,063,683	10.89
Standard Chartered Nominees non-resident account 9866	19,375,083	4.90
Standard Chartered nominees non-resident A/C 9867	16,024,572	4.05
Sovereign Trust Ltd	10,745,554	2.72
Standard Chartered nominees non-resident A/C KE9053	8,432,533	2.13
Archer & Wilcock Nominees Limited	6,125,000	1.55
Kingsway Nominees Ltd	5,198,498	1.32
The Permanent Secretary to the Treasury of Kenya (on behalf of the Government of Kenya)	4,342,548	1.10

	Number of shareholders	Number of shares held	Shareholding (%)
1 – 500	1,491	301,348	0.08%
501 – 1,000	494	408,725	0.10%
1001 – 5,000	838	1,914,460	0.48%
5,001 – 10,000	402	2,929,480	0.74%
10,001 – 50,000	307	6,090,968	1.54%
50,001 – 100,000	61	4,173,950	1.06%
100,001 – 500,000	56	11,666,564	2.95%
500,001 – 1,000,000	7	4,208,384	1.07%
Over 1,000,000	17	363,627,759	91.98%
Total	3,673	395,321,638	100.00%

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The Company Secretary
CfC Stanbic Holdings Limited
CfC Stanbic Centre
Chiromo Road, Westlands
P.O. Box 72833 – 00200
Nairobi

PROXY FORM

I/We,

.....

of P.O. Box

.....

being a member of CFC STANBIC HOLDINGS LIMITED hereby appoint

.....

.....

of

.....

.....

or failing him

.....

of

.....

.....

as my/our proxy to vote on my/our behalf at the Annual General Meeting of the Company to be held on 24th May, 2013, and any adjournment thereof.

Dated thisday of

.....2013

Signed

Name

Note: The proxy form should be completed and returned to the Company Secretary no later than 48 hours before the meeting or any adjournment thereof.